Introduction to SHRM Learning System® for SHRM-CP/SHRM-SCP

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SHRM Body of Competency and Knowledge

The SHRM-CP and SHRM-SCP certifications signify mastery of the HR competencies and knowledge that are defined in the SHRM Body of Competency and Knowledge (BoCK).

SHRM CERTIFIED PROFESSIONAL

SHRM SENIOR CERTIFIED PROFESSIONAL

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SHRM BoCK

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

The SHRM BoCK is the basis for the SHRM credentials. It:

- Draws heavily on the SHRM Competency Model.
- Describes the Behavioral Competencies and HR Functional Areas needed for effective job performance.
- Explains what HR professionals need to know and how they apply this expertise to perform effectively in the workplace.

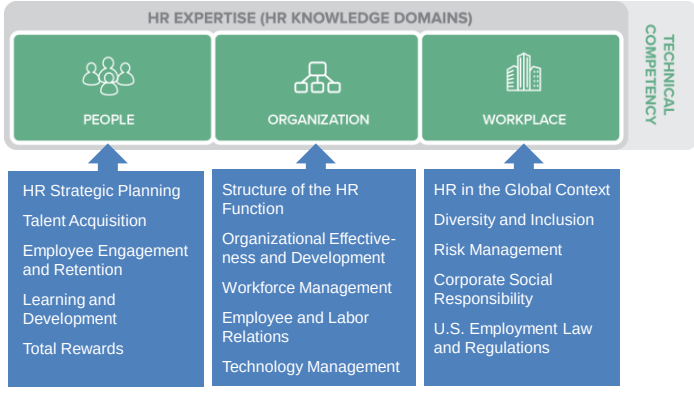
The exams and the SHRM Learning System are built upon this foundation.

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Technical Competency

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The SHRM BoCK Technical Competency is **HR Expertise,** knowledge of the principles, practices, and functions of effective HR management. It comprises three knowledge domains made up of 15 HR Functional Areas.



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Behavioral Competencies

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The eight Behavioral Competencies reflect the way HR professionals apply their technical expertise.



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Which Certification Is Right for You?

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

SHRM-CP

For HR professionals who are primarily engaged in operational roles

SHRM-SCP

For HR professionals at a senior level who operate primarily in a strategic role

See *Certification Handbook* for more information on which certification to pursue.

CREDENTIAL	Less than a Bachelor's Degree*		Bachelor's Degree		Graduate Degree	
	HR-RELATED PROGRAM	NON-HR PROGRAM	HR-RELATED DEGREE	NON-HR DEGREE	HR-RELATED DEGREE	NON-HR DEGREE
SHRM-CP	3 years in HR role	4 years in HR role	1 year in HR role	2 years in HR role	Currently in HR role	1 year in HR role
SHRM-SCP	6 years in HR role	7 years in HR role	4 years in HR role	5 years in HR role	3 years in HR role	4 years in HR role

*Less than a bachelor's degree includes: working toward a bachelor's degree; associate's degree; some college; qualifying HR certificate program; high school diploma; or GED.

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Exam Overview

- Computer-based testing
- Two exam windows: May 1–July 15, 2018; December 1, 2018–February 15, 2019
- Four hours to complete 160 questions

Breakdown of Testing Time	
Confidentiality agreement	2 minutes
Introduction and tutorial	8 minutes
Exam	4 hours
Survey	5 minutes

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Taking the Certification Exam

SHRM-CP and SHRM-SCP

- 160 questions
  - Approximately 95 stand-alone knowledge-based questions
  - Approximately 65 situational judgment items

* Note that both exams include some “field test” items that do not count toward a candidate's final score.

Questions appear in “clusters” of items. You will first see a “cluster” of knowledge items, then a “cluster” of SJ items, etc. There are approximately five “clusters” on the test.

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Types of Items

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HR-Specific Knowledge Items	Foundational Knowledge Items	Situational Judgment Items	Field-Test Items
Cover key concept topics associated with the 15 HR Functional Areas.	Cover key concept topics considered foundational to the eight Behavioral Competencies.	Assess candidates' judgment and decision-making skills	Allows the gathering of data on a question's effectiveness before it is included on future exams as a scored item.
Examinees receive credit for selecting the correct answer to a given question; otherwise, no credit is awarded.	Examinees receive credit for selecting the correct answer to a given question; otherwise, no credit is awarded.	Examinees are presented with realistic work-related scenarios and asked to choose the best strategy to address the issues.	Examinees' answers to field-test items do not count toward any part of their exam scores.

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Distribution of Items

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Behavioral Competency Clusters	Percent of Questions	Item Type
	13%	Situational Judgment (40%) Foundational Knowledge (10%)
	18.5%	
	18.5%	

HR Knowledge Domains (HR Expertise)	Percent of Exam	Item Type
	People—17%	HR-Specific Knowledge (50%)
	Organization—17%	
	Workplace—16%	

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SHRM Learning System for SHRM-CP/SHRM-SCP

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

- Based on the SHRM BoCK
- Designed to help students pass exam for both certifications
- Developed with the input of global HR professionals
- Incorporates learning modules and online learning system for exam preparation



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Learning Content

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

Four modules:

- *HR Competencies*
- *People*
- *Organization*
- *Workplace*

Accessible via embedded e-reader or downloadable to e-reader for access on the go.

Content features:

- Section progress checks
- Key points
- References to websites with additional information
- "Competency Connection" vignettes
- Module index, glossary, bibliography

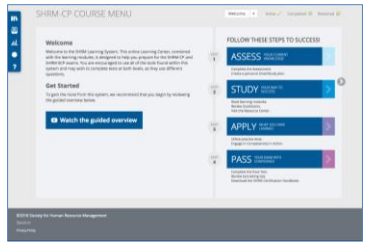
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Online Learning Center

2018 SHRM LEARNING SYSTEM FOR **SHRM-CP/SHRM-SCP**

ASSESS—Use assessment and SmartStudy.

STUDY—Content for reading, Quickstarts, flashcards.



APPLY—Competencies in Action, Situational Judgment and Knowledge Tests.

PASS—Post-test, test-taking tips, *Certification Handbook.*

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Resources

2018 SHRM LEARNING SYSTEM FOR **SHRM-CP/SHRM-SCP**

- SHRM Learning System—Online Learning Center: learnhrm.partnerrc.com
- SHRMcertification.org
- Prometric.com/shrm

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Functional Area #1: HR Strategic Planning

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Strategy

Strategy is…

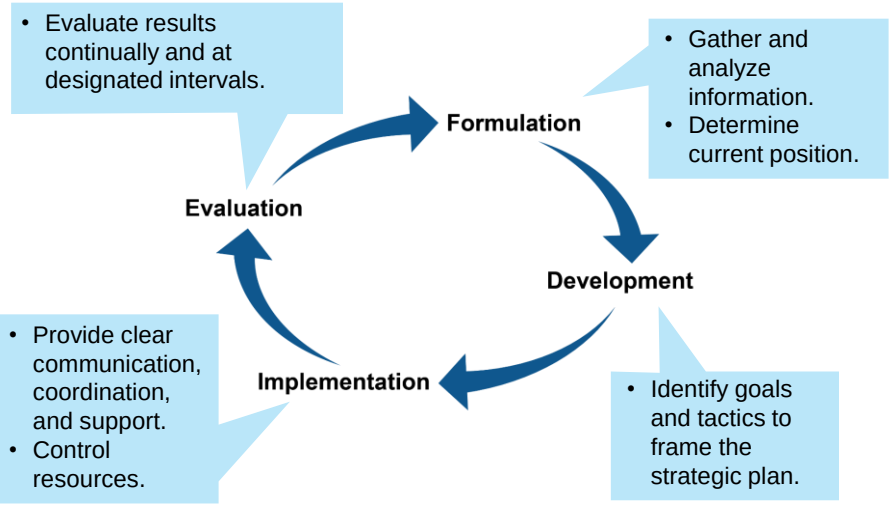
- A long-range plan of action oriented to achieving defined goals.
- Created and refined through a **strategic planning** process.
- Implemented through **strategic management.**



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Strategic Planning and Management Process

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Critical Success Factors

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- Alignment of effort
- Control of drift
- Focus on core competencies

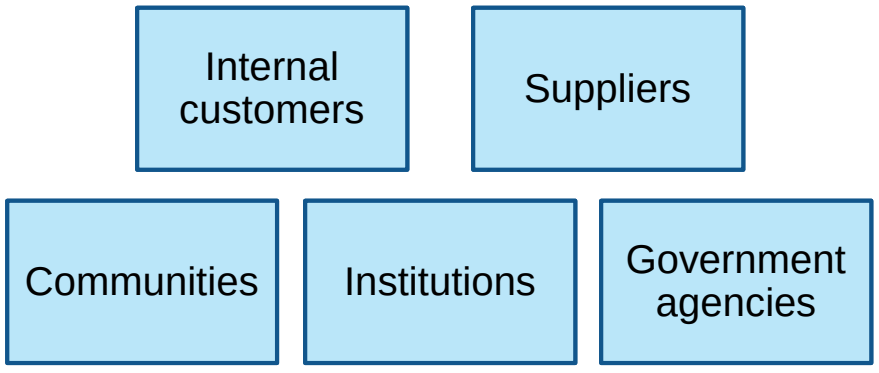
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HR and Value Creation

HR ***creates value*** by…	Consulting and advising on aligning workforce assets with strategy demands.
HR ***contributes value*** by…	Building "pivotal talent pools."
HR ***protects value*** by…	Managing labor supply to support optimal productivity.
HR ***enhances value*** through…	Sustaining its leader and performance development processes.
HR ***adds value*** by…	Acquiring strategically important new areas of talent.

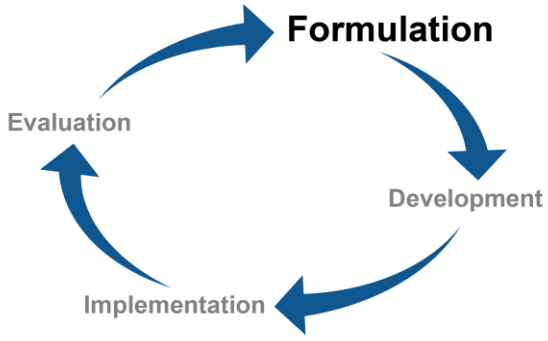
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HR Stakeholders



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Formulating Strategy



Deepening one's understanding of the organization and its internal and external environments and opportunities and challenges

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Systems Theory

Strategic planning and management requires systems thinking. Challenge is to coordinate interacting and sometimes interdependent parts to achieve strategic goals.



An input-process-output (IPO) model is often used to analyze actions.

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Environmental Scanning

Systematic survey and interpretation of relevant internal and external data to:

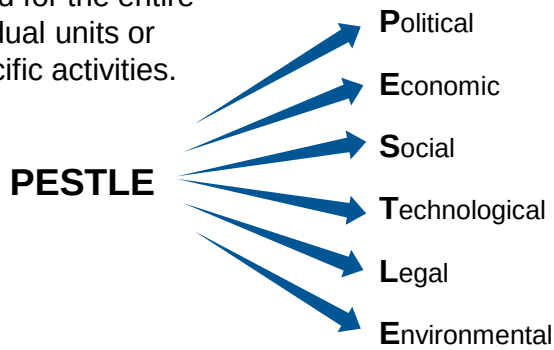
- Identify external threats and opportunities.
- Strengthen strategic plans and goals.

- ✓ PESTLE analysis
- ✓ SWOT analysis
- ✓ Growth-share matrix
- ✓ Scenario analysis

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PESTLE Analysis

- Systematic searching for environmental forces organized under specific categories.
- PESTLE can be used for the entire enterprise, for individual units or functions, or for specific activities.



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PESTLE Process

List.
- Focus groups
- Experts

Identify impacts.
- Positive and negative
- Short and long term
- Ripples

Research impacts.
- Causes
- Dimensions
- Connections

Assess.
- Importance
- Strength of data

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SWOT Analysis

- Uses data to assess strategic capabilities in comparison to threats and opportunities identified during environmental scanning.
- Can be performed for organizations, functions, initiatives.
- Can be applied to specific HR activities.

Internal **S**trengths	Internal **W**eaknesses
External **O**pportunities	External **T**hreats

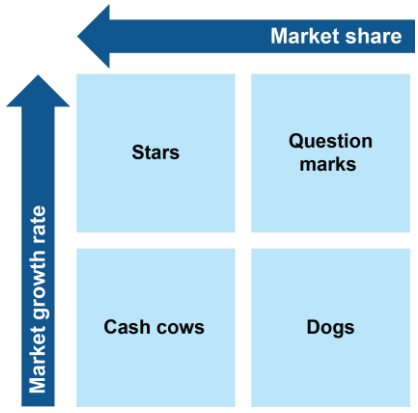
SWOT

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Growth-Share Matrix

Uses data to find where the greatest value in the organization resides:

- **Stars**—high value
- **Cash cows**—create value reliably but with little opportunity for growth
- **Dogs**—consume resources without offering strong value or future growth
- **Question marks**—could be winners or losers



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Scenario Analysis

Compares the impact of changes in the environment on the organization's outputs

Identifies environmental factors that have the greatest potential for positive or negative impact

Facilitates the application of risk management principles to strategy formulation



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Improving Environmental Awareness

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Mission, Vision, Values

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Mission
- What the organization/function intends to pursue and its charted management course
- Provides focus and purpose of strategy

Vision
- What the organization/function aspires to become in the future
- Provides motivation and unity

Values
- What beliefs the organization/function supports through behaviors and actions
- Provides guidepost for decision making

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Setting Goals

General goals suggest how the organization will focus its resources.

Starts moving the organization and people in the intended direction.

Example: Increase productivity.

Organizational goal-setting process must be repeated on unit or functional level.

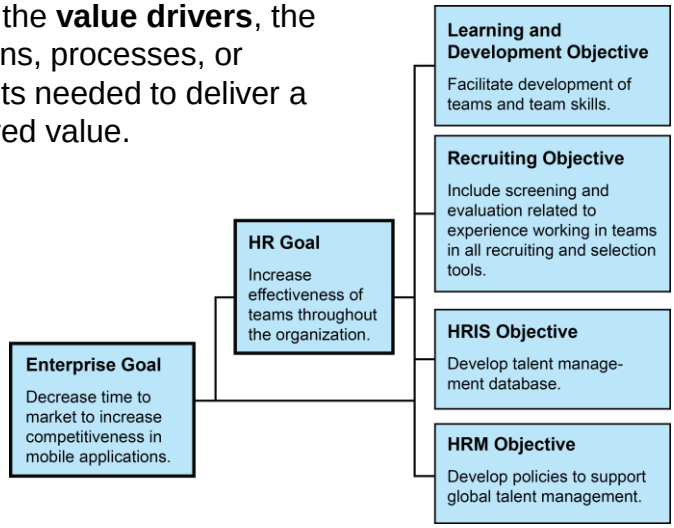
Creates a line of sight from the organization's strategic goals to the goals and objectives of the organization's functions and units.

Example for HR: Improve quality and efficiency of talent supply chain.

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Aligning HR Strategic Goals

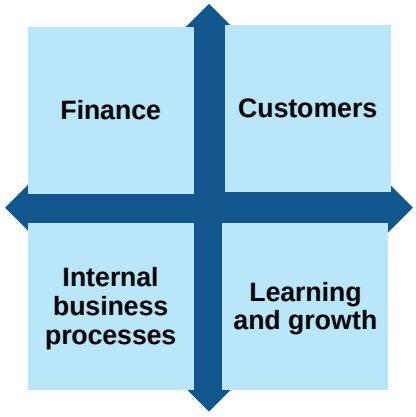
Find the **value drivers**, the actions, processes, or results needed to deliver a desired value.



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Using Balanced Scorecards

Provide a more strategy-focused, balanced, multi-perspective assessment of performance



Original balanced scorecard developed by Robert Kaplan and David Norton

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Leading/Lagging Indicators

Balanced scorecards include leading and lagging performance indicators.



Describes effects that have already occurred and cannot be changed.

For example, turnover rate indicates the success or lack of success in employee engagement.

Describes predictive actions that can change future performance and help achieve success.

For example, employee satisfaction indicates future retention rates and associated costs of hiring.

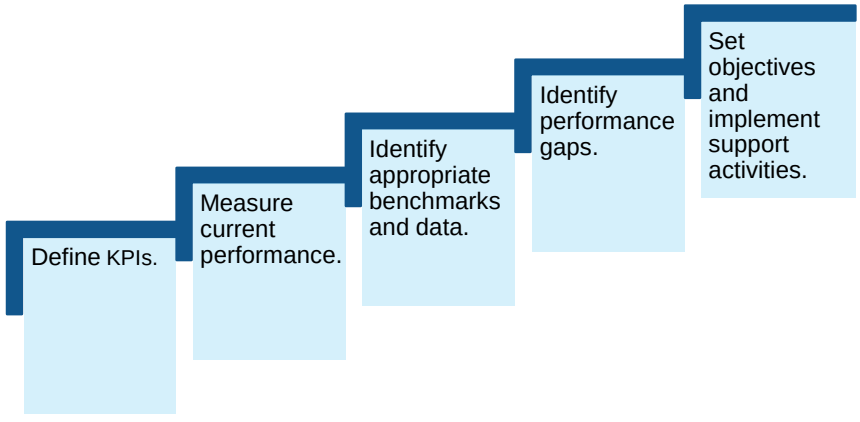
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SMARTER Performance Objectives

S	Specific
M	Measurable
A	Attainable
R	Relevant
T	Timebound
E	Evaluated
R	Revised

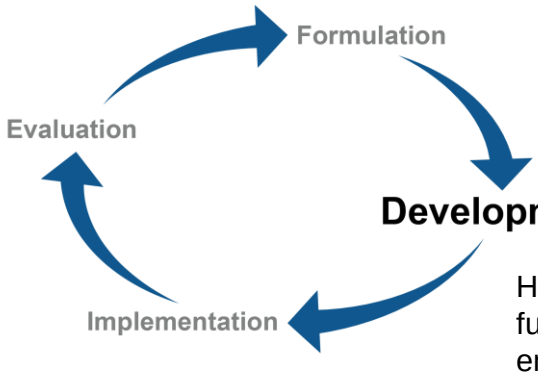
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Benchmarking Process



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Developing Strategy



How do we get to the future we have envisioned?

What strategy or strategies have "fit"?

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Strategic Fit

- Describes the consistency of strategy with internal and external environments.
- Reflects interconnectedness and alignment of activities throughout the organization (e.g., resources and capabilities deployed toward strategic goals).
- Strategic fit exists when activities:
  - ✓ Are consistent with the strategy.
  - ✓ Interact with and reinforce each other.
  - ✓ Are "optimized" to reach the strategic goal.

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Creating Competitive Advantage

There are two ways that an organization can create competitive advantage, and both involve change.

External changes

Compete by adapting quickly to changes in the external environment.

Internal changes

Compete through change, innovation, and reinvention.

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Porter's Competitive Strategies

Cost Leadership

Lowest price

Economies of scale, efficient production, agility

Differentiation

Higher price for unique offering

Skillful marketing and quality management

Focus

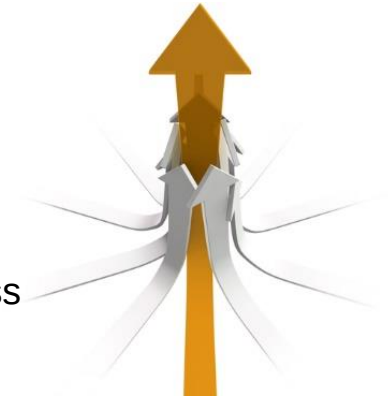
Apply either strategy in segment or niche

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Impact on HR Strategy

HR strategy can influence a primary lever of organizational strategy—employees:

- Talent management
- Workforce planning
- Compensation
- Employee engagement
- Organizational effectiveness
- Diversity and inclusion



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Growth Strategy Options

Each strategy requires different levels of investment and offers different levels of control and return.

- Strategic alliance
- Joint venture
- Equity partnership
- Merger/acquisition
- Franchising
- Licensing
- Contract manufacturing
- Management contract
- Turnkey operation
- Greenfield operation
- Brownfield operation

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Growth and Divestiture Strategies

Corporate decision to expand or contract



- Corporate strategies often involve expanding or contracting.
- Level of HR involvement varies.
- HR can help capture lessons learned from decisions and actions, analyze the experiences, and communicate useful lessons for growth and divestitures.

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HR's Role in Divestiture Strategy *

Identify the candidate.
Perform due diligence, identifying potential risks; participate in SWOT analysis.

Identify a target buyer.
Provide accurate information about the value of the workforce.

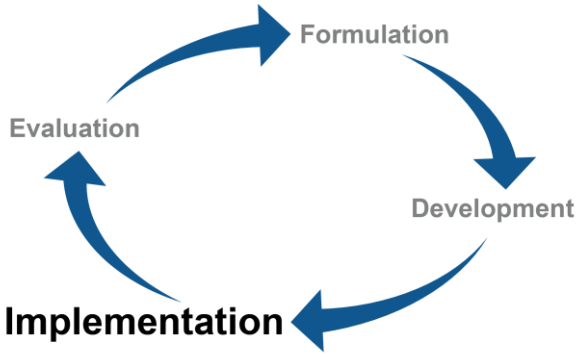
Restructure.
Identify and prepare strong leaders.
Design incentive offers.

Execute the deal.
Assemble a balanced transition team.
Facilitate the exit of departing employees.

* See Workforce Management in *Organization* module.

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Implementing Strategy



Translates strategic intent into specific plans of action.

Requires communicating the value of the strategies to all members and effectively managing the implementation of plans.

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Resource Allocation

Operational Budget	Strategic Budget
Funds ongoing activities required to provide HR services to internal customers *Examples:* • Talent acquisition costs • Compensation and benefits	Funds initiatives aligned with strategic goals (line of sight) *Examples:* • Development of mentoring program • Initiative to improve cultural alignment
Many items are variable and affected by organizational and HR strategies.	Initiatives must compete for available resources and are funded according to strategic priorities.

See section on Business Acumen competency in *HR Competencies* module.

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Communicating Strategy

- Communication occurs in different ways and at different levels.

  Examples: Formal communication or team meetings

- The communication plan should include ongoing opportunities for feedback.

Core Elements of Success

- ✓ Two-way communication:
  - Outward to entire team
  - Inward toward leaders
- ✓ Leadership support
- ✓ Free flow of information across organizational "silos"
- ✓ Helping team members see how their work connects to the strategy

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Managing Strategy Implementation

HR action plans are implemented through normal operations and through specific initiatives managed as time-limited projects.

Multiple phases

Simple or complex deliverables

Large or small budgets

Projects can vary in complexity. Some require dedicated project managers.

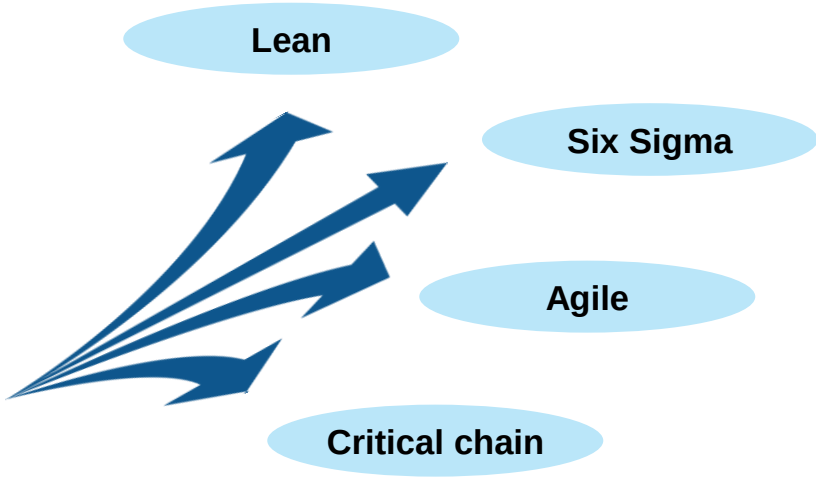
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Project Stages

Planning	Executing	Closing
• Working with stakeholders • Defining deliverables • Scheduling (e.g., critical path analysis, Gantt charts) • Assembling team	• Communication • Leadership • Removing obstacles • Managing stakeholders • Monitoring and controlling	• Assessment and evaluation • Team debriefing • Continuous improvement • Continuous learning

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Specialized Project Management Approaches

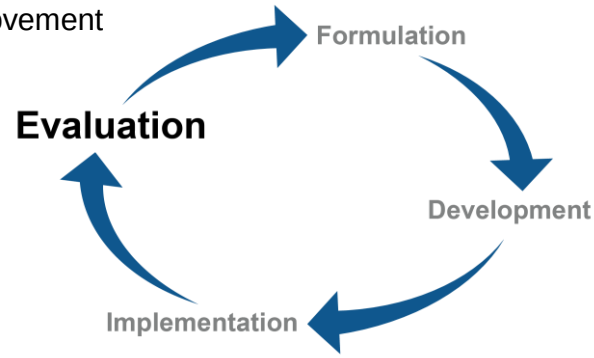


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Evaluating Strategy

Essential for:

- Sound management
- Good governance
- Continuous improvement



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Evaluating Strategic Results

Appears as the final phase of strategic management but is often a factor in the preceding stages.

Requires:

- Developing tools and establishing processes to collect data.
- Analyzing data at agreed points.
- Investigating discrepancies between planned and actual.

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Communicating Strategic Results

- **Create a narrative** that explains results.
- **Visualize** data analysis with tools such as bar charts and Pareto charts, trend diagrams, etc.
- **Acknowledge** disappointments as well as successes.
- **Invite** reactions and feedback.
- **Describe** next steps.



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Discussion

A company currently spends over $1 billion in health-related areas. The company has multiple locations.

The VP of HR has been tasked with:

- Developing a strategy to improve employee health, reduce costs, and limit the company's risks.
- Linking the health-care strategy to corporate strategy.

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Discussion

How should the VP of HR develop a health-care (HC) strategy that will link with the corporate strategy?

A. Benchmark the HC strategy against industry practices.
B. Align the HC strategy with the organization's human capital vision and mission.
C. Focus on developing the most cost-effective HC strategy.
D. Focus on understanding and satisfying senior management's desires.

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Feedback

The correct answer is B. Assuming that the company wants to compete, benchmarking (A) can be helpful. But aligning the HC strategy with the organization's human capital vision and mission helps make sure that the strategy fits the corporation's goals for its employees. HR will be able to draw connections for management.

The ultimate strategic goal is not necessarily cost efficiency, nor is it to please management (C and D).

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Discussion

How should the VP develop the health-care strategy to ensure that it addresses the health needs of the employees?

A. Listen to the water cooler talk from employees.
B. Conduct focus groups with random samples of employees.
C. Survey the entire workforce about health needs.
D. Evaluate the data from the annual report on the employee assistance program.

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Feedback

The correct answer is C. Focus groups (B) would be good, especially as follow-up to a larger survey. But surveying the entire workforce about health needs first provides more and better-quality data from a larger sample. This will also create better employee engagement in the process.

The other incorrect answers (A and D) provide limited and biased data.

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Discussion

What can HR do to ensure that the new health-care strategy is understood and the benefit is used effectively by all employees?

A. Develop and mail health-care brochures to each employee's home.
B. Send a mass e-mail to all employees about the new health-care system.
C. Conduct a health fair at each location and present the new benefit.
D. At each location, introduce providers and lead Q&A sessions with all employees.

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Feedback

The correct answer is D. Conducting a health fair at each location (C) would get employees involved in their health issues and deliver information about the new benefit. However, introducing providers at each location and leading Q&A sessions with all employees gives employees information directly and interactively and allows them to question providers.

The other incorrect answers (A and B) are passive and rely on employees reading information.

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Functional Area #2: Talent Acquisition

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Staffing

Attempts to provide an adequate supply of qualified individuals to complete the body of work necessary for the organization's financial success

- Acts on the organizational human capital needs identified through workforce planning
- Anticipates organizational staffing needs and balances those needs with actual talent supplies

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Effect of Growth Strategies

Type	Implications
Merger/acquisition	New resources for talent Retention of talent
Joint venture	Contributions of how much and what type of talent from each partner
Greenfield operation	All new staff Effects of local laws and labor markets
Strategic alliance	Staffing requirements if new venture is formed

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Global Talent Acquisition

Home-country staffing policies are replicated in host countries.

Ethnocentric

Polycentric

Policies are unique to each country.

Global policies are developed based on organizational impact and needs.

Geocentric

Regiocentric

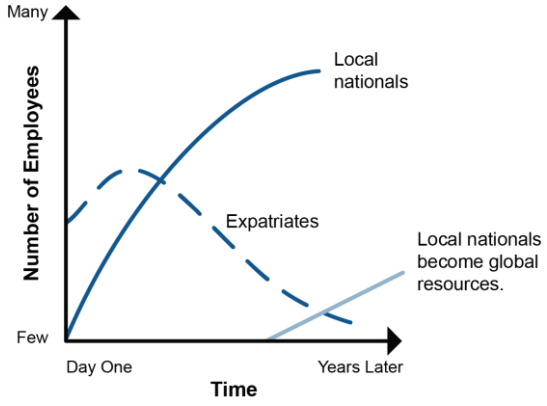
Policies are developed and coordinated within regions.

Based on Howard V. Perlmutter

© SHRM

Staffing Patterns in Global Organizations

Initial staffing may rely on assignees. Gradually they are replaced by local nationals. Eventually the local nationals become global assignees themselves.



Based on Calvin Reynolds

© SHRM

Employment Branding

Positions the organization as an "employer of choice" in the labor market

- Creates a positive, compelling image of the organization
- Provides a clear and consistent message about what it is like to work at the organization
- Encourages the best potential candidates to apply
- Reinforces the public's image of the organization

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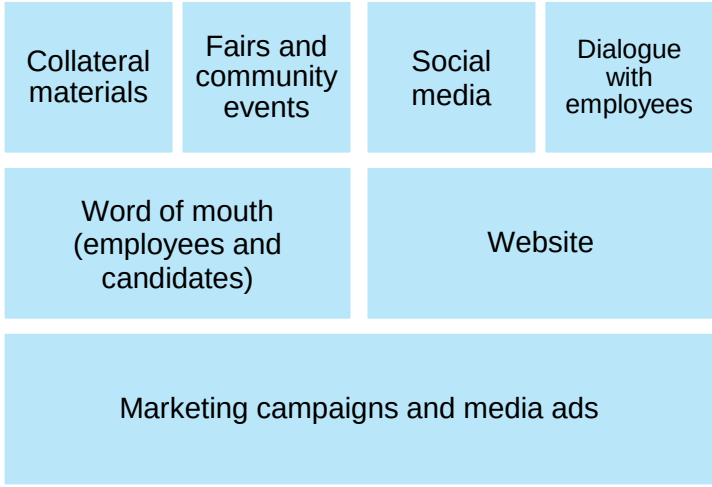
Employee Value Proposition

- The foundation of employment branding
- A magnet to the organization's employment brand
- Aligned with the organizational strategic plan, vision, mission, and values
- An image that answers the questions why top talent:
  - Would want to start working for this organization
  - Would want to stay working for this organization

Must accurately reflect the work environment and be congruent with the external brand

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Employment Branding Tools



© SHRM

Building an Employment Brand

How are we perceived now?

Who is our competition for high-quality employees?

What are the strengths and weaknesses of our brand?

What value and benefits shall we communicate?

Is our brand consistent across all audiences?



Test the brand.

Execute the brand.

Reassess and revitalize the brand periodically.

Promote the brand continuously.

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Best Practices for Employment Branding

- Brand pillar identification
- Achievement of work environment awards
- Benchmarking
- Touchpoint mapping
- Online job and career portrayals
- Personalized channels for external audiences

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Job Analysis and Job Documentation

Job Analysis

- Determines activities (tasks) and responsibilities, personal qualifications necessary, and work conditions
- Results in a written statement

Job Documentation

- Involves the creation of job descriptions, specifications, and competencies

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Job Description

Written description of a job and its requirements, including tasks, knowledge, skills, abilities, responsibilities, and reporting structure

Common Elements

- Job identification
- Position summary
- Minimum qualifications
- Duties and responsibilities
- Success factors
- Physical demands
- Working conditions
- Performance standards

Additional Elements

- Essential functions
- Nonessential functions
- Sign-off
- Disclaimers

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Global Job Descriptions

Uses

- Intracountry and cross-border transfers
- Career management and succession planning
- Compensation studies
- Statistics for job types across the organization
- Comparison and alignment of business processes across countries

Challenges

- Lack of a global competency model
- Country variations
  - Interpretations of job functions
  - Expectations for similar jobs
  - Approaches to on-the job development
  - Work environments
  - Compliance requirements
  - BFOQs

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Job Specifications

Describe the minimum qualifications necessary to perform a job.

Include experience, education, training, licenses and certification (if required), mental abilities and physical skills, level or organizational responsibilities.

Should reflect what is necessary for satisfactory performance, not what the ideal candidate should have.

The role they play in the legal and regulatory environment can vary from one country to another.

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Writing Job Descriptions and Specifications

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- ✓ Give jobs realistic and descriptive titles.
- ✓ Keep the summary short (no more than four or five sentences).
- ✓ List only the most important duties, tasks, or responsibilities.
- ✓ Identify the essential job duties and responsibilities.
- ✓ Review the KSAs to be sure they are job-related.
- ✓ Secure approvals and dates.
- ✓ Include any appropriate disclaimers.

Jobs change and necessitate regular reviews and updates.

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Job Competencies and Models

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Competency

A cluster of highly interrelated attributes, including knowledge, skills, and abilities, that give rise to the behaviors needed to perform a given job effectively

Competency Model

A set of competencies defining the requirements for effective performance in a specific job, profession, or organization (e.g., the SHRM BoCK™)

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Sourcing and Recruiting

- Sourcing: generates a pool of qualified applicants
- Recruitment: encourages candidates to apply

Internal

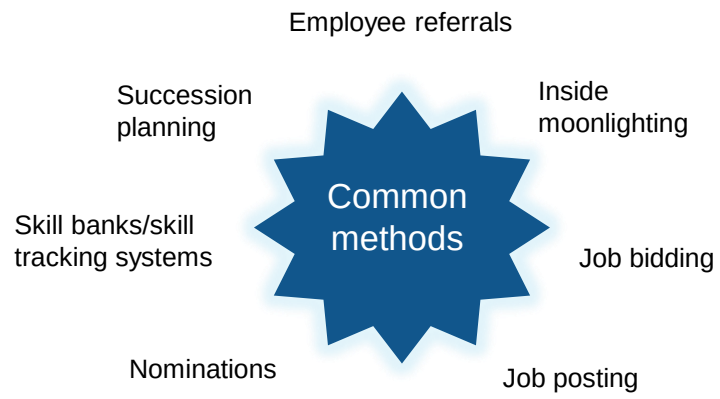
- Identifies candidates with domestic or global operations
- Typically uses internal postings and succession planning

External

- Finds candidates through a variety of sources outside the organization
- Talent shortages and globalization force organizations to cast a "wide net"

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Internal Recruiting Methods



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External Recruiting Methods

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Robust Sourcing Strategy

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- Understanding who you really want
- Finding who you really need
- Growing people internally through job rotation
- Using multiple strategies
- Recruiting continuously
- Hiring external people to refresh the talent pool

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Recruiting Effectiveness

- Be proactive.
- Brand.
- Use realistic profiles.
- Automate.
- Innovate.
- Interact.
- Promote.
- Adapt.
- Champion diversity.
- Be judicious.
- Be vigilant.

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HR Metrics: Workforce Reporting

Head count	Indicates the number of people on the organization's payroll at a particular time.
	Calculating average head count over a year provides a representation of the average number of employees the organization requires.
Groups and subgroups	Divides and subdivides employees into categories (e.g., executive, manager, staff, trainees, contractor, status).
	Knowing composition of the workforce helps planning for diversity and operational requirements.
Demographics	Provide basic statistics and characteristics about employee groups (e.g., age, occupation, income).
	Demographic trends provide important metrics for HR planning and forecasting.

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HR Metrics: Cost per Hire

$$\text{Cost per hire (CPH)} = \left[\frac{\sum(\text{External costs}) + \sum(\text{Internal costs})}{\text{Total number of hires in a time period}}\right]$$

- SHRM standard that addresses problems with variability in the traditional cost-of-hire measure (total costs divided by number of new hires)
- Differentiates between internal and comparable CPH metrics:
  - Cost per hire, internal (CPHI)
  - Cost per hire, comparable (CPHC)

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HR Metrics: Recruitment Cost and Yield Ratios

Recruitment cost ratio (RCR)

$$\frac{\text{External costs + Internal costs}}{\text{Total first-year compensation of hires in a time period}} \times 100 \qquad \frac{\$200{,}000}{\$2{,}000{,}000} \times 100 = 10\%$$

Yield ratios

$$\frac{\text{Qualified applicants}}{\text{Total applicants}} \quad \frac{100}{300} = 33\%$$

$$\frac{\text{Minority applicants}}{\text{Total applicants}} \quad \frac{80}{300} = 27\%$$

$$\frac{\text{Female applicants}}{\text{Total applicants}} \quad \frac{185}{300} = 62\%$$

$$\frac{\text{Offers extended}}{\text{Qualified applicants}} \quad \frac{5}{15} = 33\%$$

$$\frac{\text{Offers extended}}{\text{Final interviews}} \quad \frac{5}{10} = 50\%$$

$$\frac{\text{Offers accepted}}{\text{Offers extended}} \quad \frac{3}{5} = 60\%$$

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HR Metrics: Days to Fill

Number of days from opening of job requisition to acceptance of offer

- Helps HR determine a realistic amount of time for hiring new employees
- Helps managers plan how to best redistribute work
- Supports resource and budget planning

Emphasizing speed may **increase recruitment costs** and **decrease quality of hire.**

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HR Metrics: Attrition

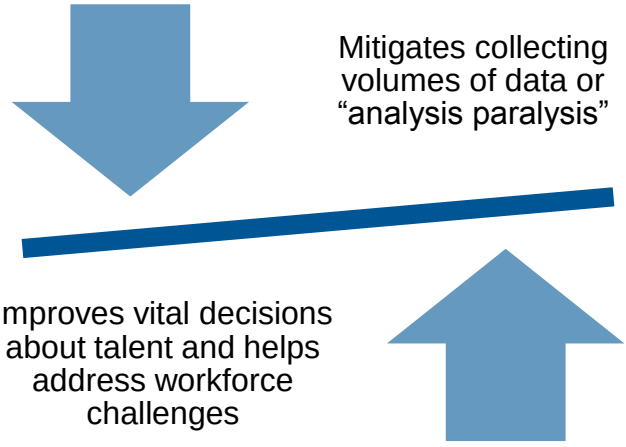
- Loss of employees for reasons other than firing and other employer-initiated events
- Implies that an employer has no direct control over how many personnel are lost to employee attrition

It is important to understand why employees leave, not just the fact that they leave.

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Workforce Analytics

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E-Recruitment

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Advantages

- Widens recruitment sourcing (e.g., active and passive candidates)
- Provides almost immediate response
- Increases applicant pool
- Facilitates better candidate matching
- Supports realistic job previewing
- Supports targeting specialized skills and particular lifestyle or culture-fit groups

Disadvantages

- High volume of responses, many from unqualified candidates
- May require labor-intensive and costly filtering processes
- May be restricted by data privacy regulations
- May exclude qualified candidates
  - Who would rather send a résumé
  - Who do not have access to the technology

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Social Media in Recruiting

Advantages

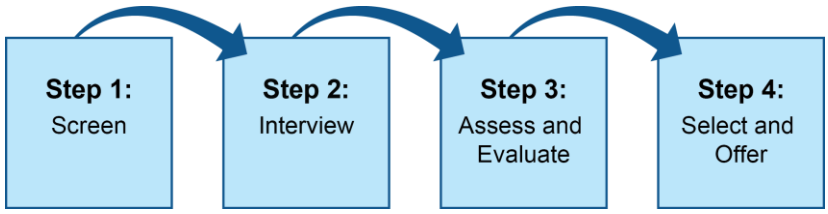
- Low-cost organizational publicity
- Posting of vacancies
- Branding
- Targeting geographically diverse talent
- Employment screening
- Reduced recruiting costs and time to fill
- Engagement of passive job candidates

- Potential inaccuracy of information learned about candidates
- Legal risks associated with what employer learns about prospective candidates and how information is used or managed

Disadvantages

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Selection Process



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Step 1: Screen

Selection screening involves analyzing the candidates' application forms, curricula vitae, and résumés to locate the most-qualified candidates for an open job.

- Identifies applicants who fit minimum selection criteria
- Provides a source of questions for subsequent interviews
- Provides information for reference checks
- Helps to ensure that managers or other internal stakeholders spend time interviewing only qualified candidates

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Applicant Tracking Software (ATS)

Provides an automated way for organizations to manage the entire recruiting process, from receiving applications to hiring employees

- Greatly reduces the time spent reviewing documents
- Tracks where candidates found a job posting
- Helps build a database for use with future vacancies

May be mandatory for regulatory compliance

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Curricula Vitae (CVs) and Résumés

Both provide an overview of a person's experience and other qualifications.

Are country- and culture-specific.

CV

Fairly detailed overview of a candidate's accomplishments, especially those relevant in academia or research

Résumé

Typically a more concise and general introduction of a candidate's experiences and skills; modified for each position a candidate applies for

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Warning Signs in Application Forms, CVs, and Résumés

- Overqualified or underqualified
- Attempts to hide employment gaps
- Excessive "filler information"
- Messy, poorly organized, or incomplete
- Too much self-promotion (versus team credit)
- Vague terms
- Inconsistent career path

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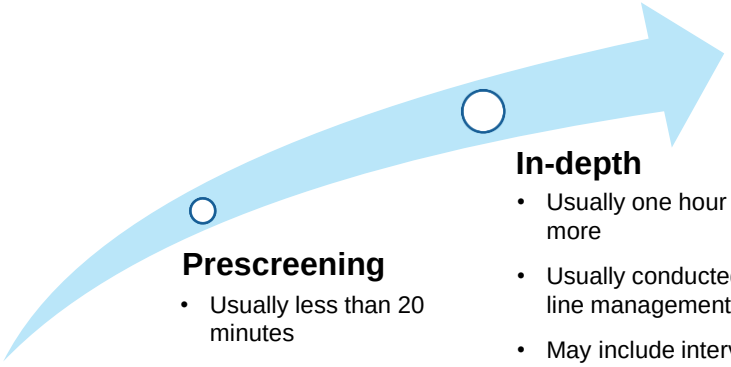
Step 2: Interview

Selection interviews are designed to probe areas of interest to the interviewer in order to determine how well the candidate meets the needs of the organization.

- Ask the candidate a series of questions
- Qualify candidates more than any other procedure in the selection process
- Require that interviewers are properly trained

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Interviews



Prescreening

- Usually less than 20 minutes
- Usually conducted by HR
- Useful for high volume of applicants

In-depth

- Usually one hour or more
- Usually conducted by line management
- May include interviews conducted by potential colleagues

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Interviews

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Structured	Every candidate is asked same questions.	• Repetitive interview
Unstructured	Process is more conversational, building on candidate's responses.	• Non-directive interview
Behavioral	Focus is on how candidate handled past situations and on pointed questions about minimum qualifications.	• "Give me an example…" • "Describe a situation…" • "Tell me how you handled…"

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Interviews

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Competency-based	Candidates are asked to illustrate how they demonstrated needed KSAs in past.	• "How did you manage this situation?" • "What did you do when X happened?"
Group	Multiple candidates are interviewed at the same time. Each candidate is interviewed by multiple people.	• Fishbowl interviews • Team interviews • Panel interviews
Stress	Interviewer puts the applicant under some degree of stress.	• Interviewer attitude • Puzzles • Case interviews and simulations

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Interview Guidelines

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Before

- Become familiar with the position's duties and requirements.
- Be prepared to answer general questions about the organization.
- Formulate your questions.
- Organize the questions (e.g., in the order to be asked).
- Review the candidate's application, CV, and/or résumé.

During

- Establish rapport.
- Listen carefully.
- Make smooth transitions from one topic to another.
- Observe nonverbal behavior.
- Take notes.
- Conclude the interview.

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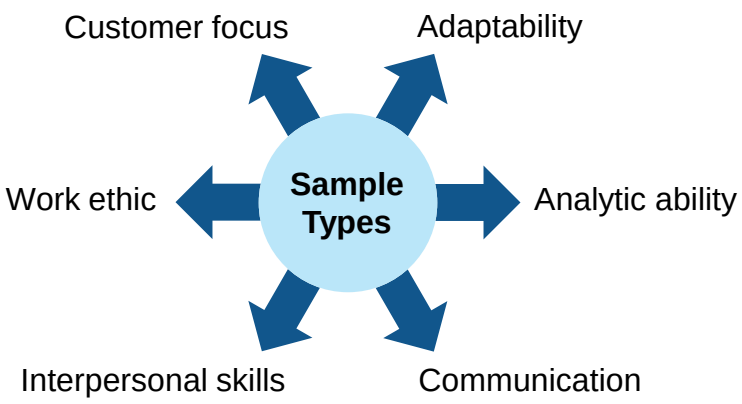
Effective Questioning Techniques

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- ✓ Turn each desired skill set or job characteristic into a series of open-ended questions.
- ✓ Facilitate the candidates' sharing of their experience and expertise through their responses.
- ✓ Ask questions that lead a candidate to:
  - Describe, in detail, his or her technical expertise.
  - Discuss core competencies.
  - Demonstrate problem-solving behavior, learning and communication style, and other necessary attributes.

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Interview Question Focus



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Step 3: Assess and Evaluate

Goal of assessment is to determine if candidate has potential to be successful in job.

Aim for transparent decisions based on fact.



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Assessment Methods

Assessment methods help to identify applicant knowledge and skills that cannot be determined through interviews.

Substantive (Preemployment) Assessments	Discretionary Assessments	Contingent Assessments
• Cognitive ability tests • Personality tests • Aptitude tests • Psychomotor tests • Assessment centers	• Methods sometimes used to separate finalists who receive job offers	• Drug tests • Medical exams

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Examples of Cultural Assessment Tools

- Cross-Cultural Adaptability Inventory (CCAI)
- Cultural Orientations Indicator® (COI®)
- Intercultural Development Inventory (IDI)
- SAGE (Self-Assessment for Global Endeavors)

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Selection Equity and Cost-Effectiveness

Equity

- Has the organization been successful in identifying and selecting a diverse, multifaceted workforce?
- Do job applicants view the process and decisions as fair?

Cost-Effectiveness

- Do the costs of assessment and the entire selection program correlate with productive and successful hires?

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Background Investigations and Reference Checks

Background investigations

- Authenticate information (e.g., education and work history) supplied by a job applicant
- Usually improve hiring decisions and may avoid negligent hiring claims

Reference checks

- Verify previous employment and provide information about the applicant's aptitude and character
- Involve contacting the applicant's former employers, learning institutions, and personal references

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Step 4: Select and Offer

Last step in the selection process

- Brings everything together to complete candidate evaluations.
- Should document results and be systematic.
- Ideally, the selection process yields a pool of qualified candidates (not just one).

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Decision Process

1. Organize/summarize information in terms of selection criteria.
2. Identify and rank acceptable candidates.
3. Collect additional information as necessary.
4. Make an offer to the top candidate.

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Job Offers

Contingent Job Offer	Employment Offer	Employment Contract
• A job offer that is contingent on the candidate passing certain tests or meeting certain requirements	• An oral/written communication that formally offers the applicant the job • Generally not legally binding	• A written agreement between the organization and an employee that explains the employment relationship • Confers legal obligations

Nonselected candidates for an open position should be notified promptly.

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Engagement in Talent Acquisition

Based on Brilliant Ink survey data

- **Make the job hunt simple, seamless, and informative.**
- **Create accurate first impressions.**
- **Make the first day count.**
- **Give employees a structured onboarding experience.**
- **Provide a "buddy."**
- **Show employees a path to success.**

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Orientation and Onboarding

Orientation

- Helps employees (new or rehired) become familiar with organization, department, coworkers, and job.
- Generally lasts one to two days.
- Helps employee develop realistic image of organization and/or job.

Onboarding

- Encompasses orientation as well as first months of employee's tenure.
- Helps employees develop positive working relationships with their supervisor, coworkers, and others.
- May be informal or formal.

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Discussion

A company has a rigorous drug use and criminal conduct screening process for all job applicants. The drug test is a straightforward pass/fail screen. HR is the only party involved who has access to more details about the results.

A hiring manager comes to HR wanting more details about a candidate disqualified on the drug screen. The manager asks, "Was it just marijuana?"

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Discussion

- What are the main issues raised by this scenario?
- How would you handle this?
- What HR competencies would be useful here?

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Discussion

In another application, a criminal background report indicates that six years ago a candidate was convicted of driving while intoxicated (DWI), and her driving license was revoked for six months. Driving is not part of the duties for this job position. The hiring manager is new to the company, and this is his first hire. He feels very invested in this choice. He calls HR to check on the applicant's progress.

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Discussion

- As an HR professional, what are your main responsibilities in this situation?
- How would you handle this?
- What HR competencies would be useful here?

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Functional Area #3: Employee Engagement and Retention

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HR Tasks in Employee Engagement

- Gain management support.
- Evaluate current engagement.
- Implement actions to increase engagement throughout life cycle.
- Regularly measure success.

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Employee Engagement

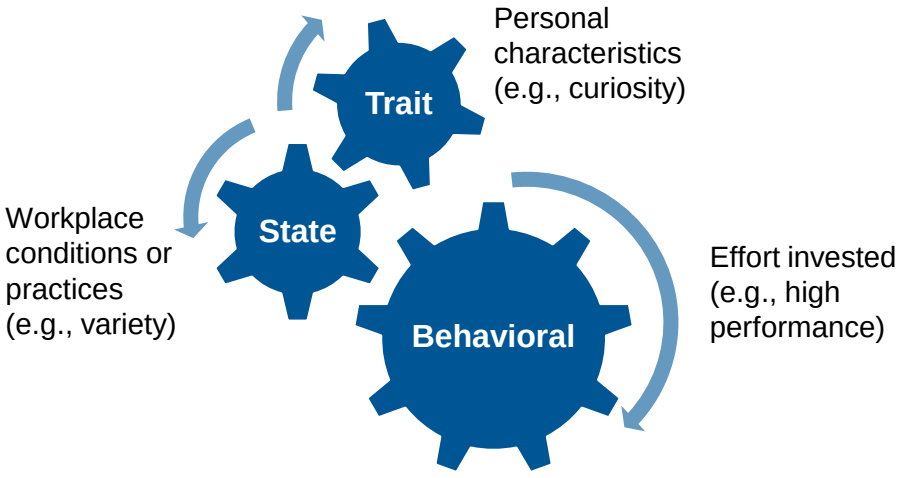
Embodies broader concept than employee satisfaction, commitment, and morale

Involves employee behaviors that positively influence individual- and business-level performance

Characterized by a desire to stay with the organization in the future and willingness to "go the extra mile"

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Facets of Employee Engagement



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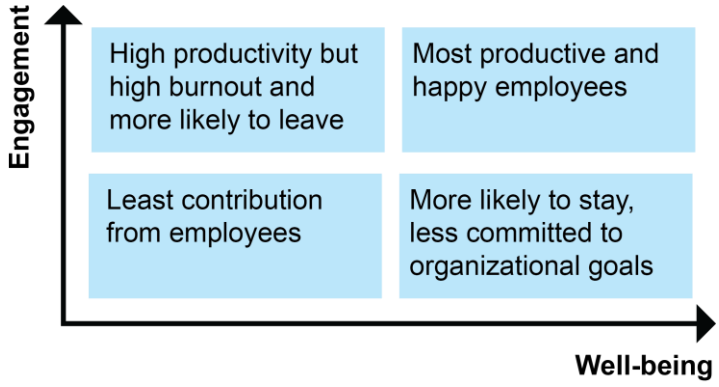
Employee Engagement Benefits

Gallup analysis of data from almost 200 organizations showed a correlation between employee engagement and business results.

- Customer ratings
- Profitability
- Productivity
- Turnover
- Safety incidents
- Shrinkage (thefts)
- Absenteeism
- Quality (defects)

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Employee Engagement and Well-Being*



* Based on Towers Watson data

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Role of Culture in Engagement

- What organizational culture have we created?
- Is this culture helping us achieve our strategic goals?
- How can our culture be expressed in a way that increases employee engage-ment?

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Common Engagement Drivers

- Satisfying work and job opportunities
- Confidence and trust in leaders
- Recognition and rewards
- Timely and orderly communication

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Other Engagement Drivers

Work Experience Drivers

- Brand
- Leadership
- Performance
- The work (e.g., collaboration, empowerment, tasks)
- The basics (e.g., benefits, job security, work environment)
- Company practices

Engagement Outcomes

- Say
- Stay
- Strive

Based on Aon Hewitt data

© SHRM

Management and Employee Engagement

HR needs to support manager behavior that:

- Reflects concern for employees' professional and personal well-being.
- Expresses gratitude for contributions.
- Amplifies employees' accomplishments.
- Values communication and emphasizes positive feedback.

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Challenges to Engagement

- Global competition
- Economic conditions
- Continuous innovation
- New technology

External stressors

Difficulty maintaining work/life boundaries

- Mobile workplaces
- 24/7 contact

Internal stressors

Decreased employee engagement

HR needs to make the business case for investing in employee engagement.

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HR Engagement Strategies

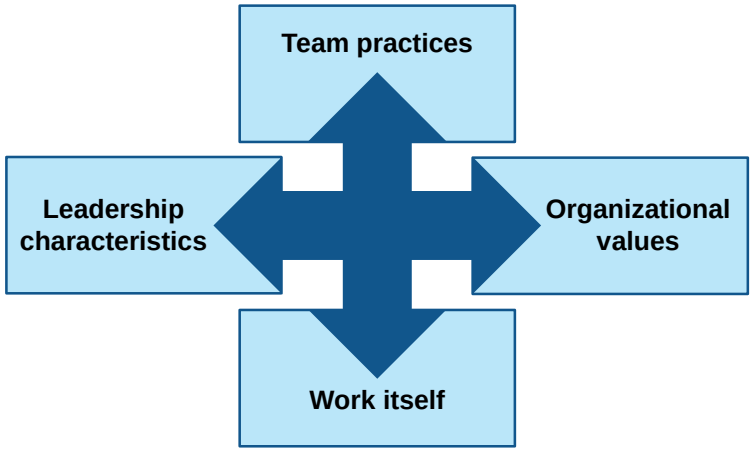
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- Commit long-term.
- Measure consistently.
- Connect engagement to business results.
- Seek employee input.
- Gain leadership support.

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Key Engagement Areas to Explore

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Gather Employee Input

Career development	• Opportunities for advancement • Access to and support for learning and development
Relationship with management	• Communication with management • Autonomy • Recognition
Compensation and benefits	• Competitive wages and benefits • Work/life balance programs
Work environment	• Job-strategy connection • Organizational culture • Relationships with coworkers

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Employee Surveys

Types

- Attitude
- Opinion
- Engagement

Purpose

Collect and assess employee perceptions about the work environment

Benefits

Numerous if properly designed and administered and results are communicated and visibly acted upon

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Survey Development Principles

- **Prepare employees; communicate the purpose.**
- **Survey significant areas.**
- **Guarantee confidentiality and anonymity.**
- **Provide timely and actionable feedback on the results.**

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Online Surveys

Advantages	Disadvantages
• Higher response rates • Improved responses to open-ended questions • Quicker results • Immediate status of survey progress • No interviewer bias • Ease and flexibility of aggregation and analysis	• Requires computer access • Requires e-mail contacts • Need for pilot testing • Space limitations that discourage extended open-ended answers • Virus-checking software • Need to secure data

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Analyzing Survey Results

Connect survey results to business performance.

Prioritize actions that will have meaningful impact.

Communicate results to management and employees as quickly as possible.

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Acting on Survey Results

Identify engagement drivers that can be realistically addressed.

Make action plans realistic and measurable.

Track and communicate efforts and results.

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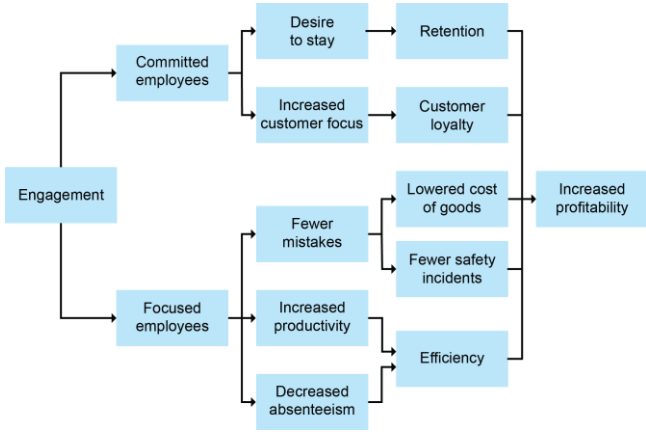
Selecting Engagement Initiatives

- ✓ **Make sound investments.**
- ✓ **Develop a compelling business case.**
- ✓ **Consider unintended consequences.**
- ✓ **Base investment decisions on sound data.**
- ✓ **Create an "engagement culture."**

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Make a Business Case

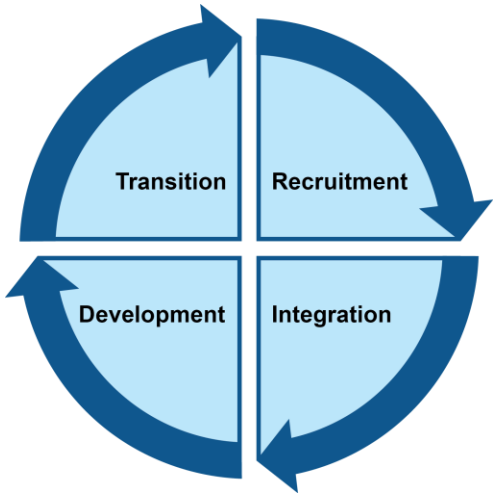
Connect engagement with the drivers of the organization's strategic goals.



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Employee Life Cycle (ELC) Phases

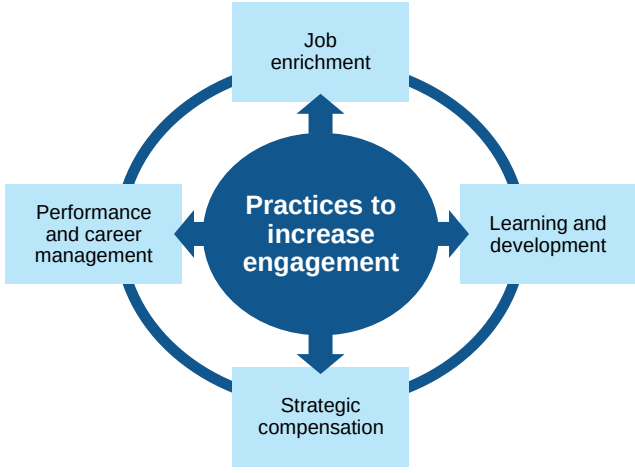
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Keep Employees Engaged

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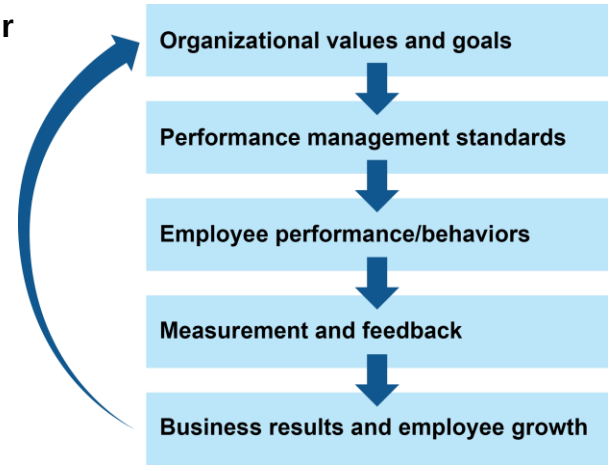


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Performance Management

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Maintaining or improving employee job performance



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Performance Standards

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Management expectations translated into:

Behaviors	Results
What the organization wants the employee to do	What the employee must produce or deliver

Standards should be objective, measurable, realistic, and stated clearly in writing (or otherwise recorded), and communicated throughout the organization.

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Performance Appraisal

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Measuring the degree to which an employee (or group) accomplishes work requirements

Purposes

- Provide feedback and counseling.
- Help in allocating rewards and opportunities.
- Help in determining employees' aspirations and planning developmental needs.

Desired Outcomes

- Constructive feedback and improved productivity
- Training and developmental needs
- Clear expectations
- Commitment and mutual understanding

Performance evaluations should be communicated continuously.

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Performance Appraisal Methods

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Category Rating	Comparative	Narrative
• Graphic scale • Checklist • Forced choice	• Ranking • Paired comparison • Forced distribution	• Essay • Critical incidents • Field review

Management by objectives (MBO) and behaviorally anchored rating scale (BARS) may be used to overcome appraisal challenges.

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Errors in Performance Appraisal

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Halo/horn effect	**Strictness**
Recency	**Leniency**
Primacy	**Central tendency**
Bias	**Contrast**

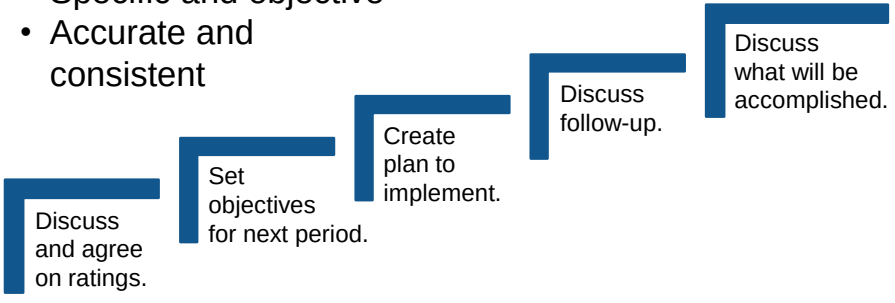
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Appraisal Meeting

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Proper **documentation** is critical:

- Timely
- Specific and objective
- Accurate and consistent



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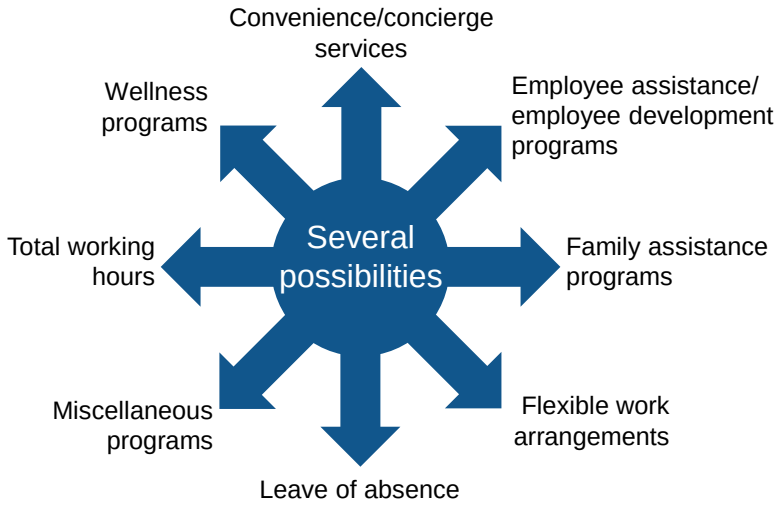
Evaluating the Performance Management System

Approaches to measuring effectiveness of performance management system

- Track training of users.
- Track completion of activities.
- Review performance standards periodically.
- Review alignment with organization's strategic goals.
- Confirm positive relationship of appraisal results with promotions and pay increases.
- Gather feedback from users.

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Use Work/Life Balance Programs



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Rewards and Recognition

- Tied to strategic goals and organizational values
- In a form meaningful to individual recipient
- Use positive and negative reinforcement of desired behavior (Skinner's behaviorist school)
  - Positive: adding something desired
  - Negative: removing something not desired

Financial

- Bonuses
- Prizes

Nonfinancial

- Public or private recognition
- Opportunities
- Greater autonomy or access to resources
- Work/life balance benefits

© SHRM

HR Role in Recognition

Promote a strategic recognition program.

Tie recognition programs to corporate goals and values.

Encourage corporate spending on employee recognition.

© SHRM

Engagement Practices During Separation

The employer brand is strengthened by:

- Humane and honest behavior during workforce reductions.
- Exit interviews that uncover obstacles to engagement.
- Well-handled separation processes.
- Creation of an alumni network.

Maintaining awareness of engagement during separation can lead to the eventual return of valued employees or valuable referrals of new employees.

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Retention

The ability to keep talented employees in the organization

- Involves strategic actions to keep high performers motivated and focused
- Preserves and develops an organization's human capital
- Reduces voluntary turnover costs

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Retention Drivers

Why are high performers more likely to stay?

- They believe they are doing meaningful work.
- They are recognized for going above and beyond.
- The organization provides tools/ resources needed to succeed in job.
- Performance management systems are fair, consistent, and transparent.
- The organization offers appealing incentives and perks.

© SHRM

Retention Practices and Strategies

- Organization's good reputation in community and with employees
- Good matches of skills and culture
- Competitive compensation and benefits

The imperative for an organization is to sustain and increase an employee's engagement.



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Realistic Job Previews and Retention

- Help a candidate make an informed decision
- Allow the organization to objectively portray the job
- Increase the potential of a good match

Examples:

- Videos about the organization and its brand
- Tours of the workplace (virtual or walk-throughs)
- Interviews with future coworkers
- Job-related videos
- Simulations that replicate working conditions

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Improving Employee Retention

✓	Treat retention of key employees as a proactive, strategic part of talent management.
✓	Know what motivates each segment of the workforce.
✓	Conduct ongoing research to monitor motivation and workforce trends.
✓	Develop a deep understanding of the reasons employees want to stay or leave.
✓	Link the ability to retain and develop high-value talent to managers' performance evaluations; reward appropriately.
✓	Keep employees informed about the organization.
✓	Monitor retention and turnover rates.
✓	Work to align systems, departments, processes, and procedures to improve retention.
✓	Use stay interviews.

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Engagement Metrics

Focus on:

- Measuring outcomes with strategic significance.
- Specific metrics before and after implementing an engagement initiative.

Metrics could include:

- Employee absence rate.
- Workers' compensation incidence rate.
- Monthly voluntary turnover rate.
- Revenue per employee.
- Yield ratios.

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Evaluating Retention

- Examine **employee turnover.**
- Review **absenteeism rates** and the number of **discrimination claims.**
- Audit.
- Collect **exit** information.



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Discussion

A business unit in a health-care organization conducts an employee satisfaction and engagement survey each year. Two measures have remained low across all departments:

- Employees' perception as being valued by the organization
- Leadership's understanding of the demands of employees' daily work

Some departments are clear outliers in the data. The HR director and the department managers are uncertain why these measures have declined.

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Discussion

To ensure that these factors do not affect the unit's ability to attract and retain the best talent, senior leadership has asked the HR director to partner with the department managers to put solutions in place. The goal is to improve the unit's results in the next 12 months, which is in line with the timing of the next satisfaction survey.

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Discussion

To improve the business unit's employee engagement results within the next 12 months, what is the first thing the HR director should do?

A. Communicate the survey results via an e-mail broadcast to the entire employee group in the business unit.
B. Conduct focus groups with employees in the departments that had the greatest decline in the two measures.
C. Coordinate a meeting with all department managers to review the survey results and determine next steps.
D. Meet with senior leadership to better understand the goals and expectations for the next survey process.

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Feedback

The correct answer is C. Gathering all managers provides a look at the entire spectrum of performance and allows discussion of successes. This demonstrates the Consultation competency.

Focus groups with employees in the departments with the greatest declines would be premature as a first step. Communicating survey results is necessary but will not help achieve the current objective. Management's goal is already clear.

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Discussion

What is the most effective way the HR director can engage the managers in the analysis of the survey data and the development of solutions?

A. Facilitate discussions between department managers with similar survey results to determine where there may be common themes.
B. Partner with department managers to form committees within and across departments to further interpret results and determine actions.
C. Clearly communicate the goals of the next survey and request that each department manager work with employees to set measurable objectives to achieve the goals.
D. Review department-level results with each manager in the business unit and develop action plans based on the analysis of the survey results.

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Feedback

The correct answer is B. This is a great way to make managers feel ownership of the survey process. It demonstrates the Leadership and Navigation competency.

Further due diligence by managers should precede any direct actions by employees.

A is not inclusive enough (only managers with similar results), and D does not include employees in data analysis and response development.

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Functional Area #4: Learning and Development

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Learning, Training, and Development

Learning

Acquiring knowledge, skills, behaviors, and competencies

Training

Providing knowledge, skills, or abilities (KSAs) specific to a particular task or job

Development

Preparing for future responsibilities through job experiences, relationships, assessment, and educational courses

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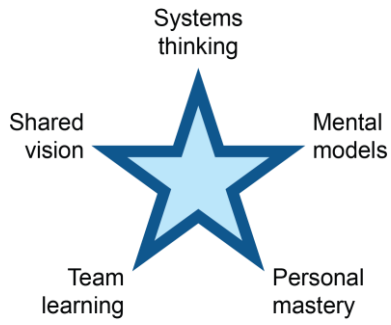
HR's Role in Learning and Development

- Ensure alignment of learning and development activity with strategic goals.
- Gather input from stakeholders.
- Use workforce analytics to guide development.
- Scan internal and external environment to identify critical learning needs and opportunities.

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The Learning Organization

A learning organization adapts quickly to changes in the environment by altering organizational behavior. It provides the environment for learning and development.



— Peter Senge, *The Fifth Discipline*

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Organizational Learning

Occurs mainly through experience and what is learned from others and training	**Individual**
Occurs through increase in skills, knowledge, and abilities accomplished within groups or teams	**Group**
Begins through shared insights and knowledge of individuals and groups and builds on past organizational memories	**Organizational**

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Knowledge Retention

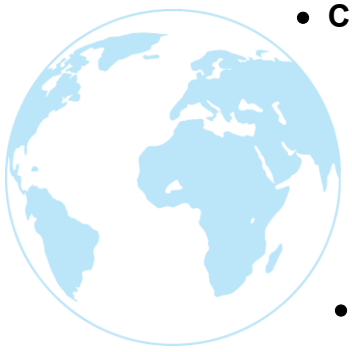
Knowledge retention strategies consider:

- What knowledge may be lost.
- The consequences of losing that knowledge
- The actions that can be taken to retain that knowledge.

Technology-based systems + **Softer systems** = **Knowledge retention**

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Global Learning and Development



- Cross-cultural awareness
  - International assignment preparation
  - Global team building
  - Managing virtual teams
- Issues related to laws, ethics, and organizational values

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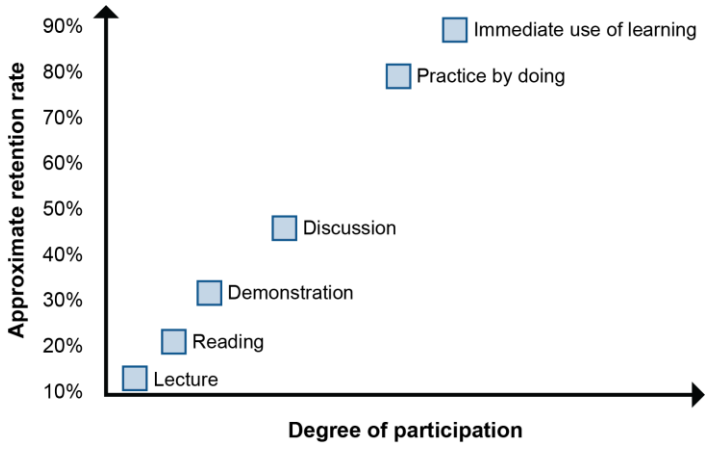
Adult Learning

Adults learn differently from children. They:

- Are self-directed.
- Have experience as a resource.
- Are ready to learn.
- Are more problem-focused.
- Are internally motivated to learn.
- Are willing to “unlearn to learn.”

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Learner Participation and Retention



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Obstacles to Learning

Resistance to learning can be caused by external or internal factors:

- Low tolerance for change
- Lack of trust
- Peer group pressure
- Bad previous experience
- Lack of organizational commitment

Leverage adult learners' experience and relationships.

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Learning Styles

Visual learners

- Learn from seeing
- Associate information with images

Kinesthetic learners

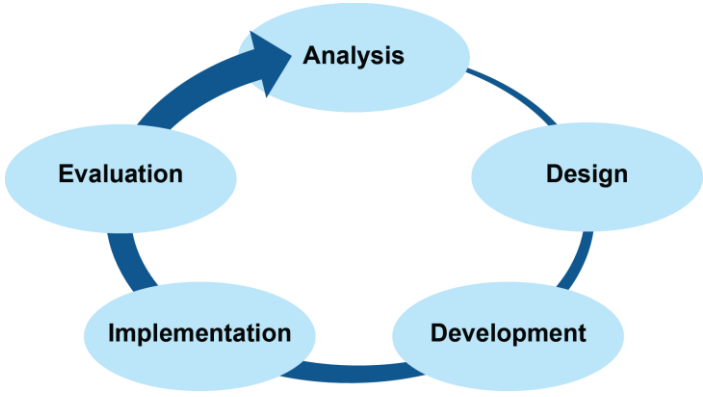
- Learn by doing it themselves (tactile learning)
- May be bored by inactivity

Auditory learners

- Learn by hearing (more than reading)
- Are sensitive to speech patterns

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Training: ADDIE Model



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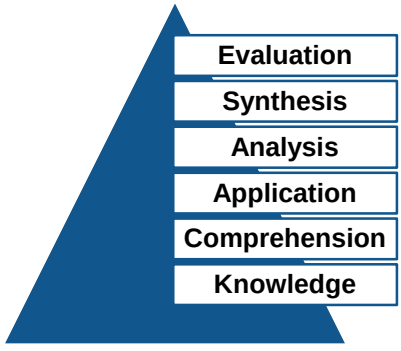
ADDIE Process—Analysis

Level	Measures
Organizational	• Where is training needed? • What conditions affect training choices?
Task	• What needs to be taught? • What does effective performance look like?
Individual	• Who should be trained? • What kind of training do they need?

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ADDIE Process—Design

Apply Bloom's taxonomy.



Be aware of cultural influences:

- Preferred learning strategies
- Team rather than individual goals
- Topic- or subject-centered versus situational or problem-focused learning
- Instructor or individual and self-directed training

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ADDIE Process—Development

Activities

- Case studies
- Round robin
- Role plays
- Structured exercises
- Simulations
- Fishbowl activities
- T-groups



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ADDIE Process—Development

Delivery Approaches

Self-directed	Instructor-led	On-the-job	Blended
• Self-directed • Self-paced • Multimedia • Mobile	• Actual or virtual classroom • Incorporates multiple activity styles	• Demonstration • Immediate feedback • Retesting	• Adjust mix to content and audience

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Learning Tools/ Transfer of Learning

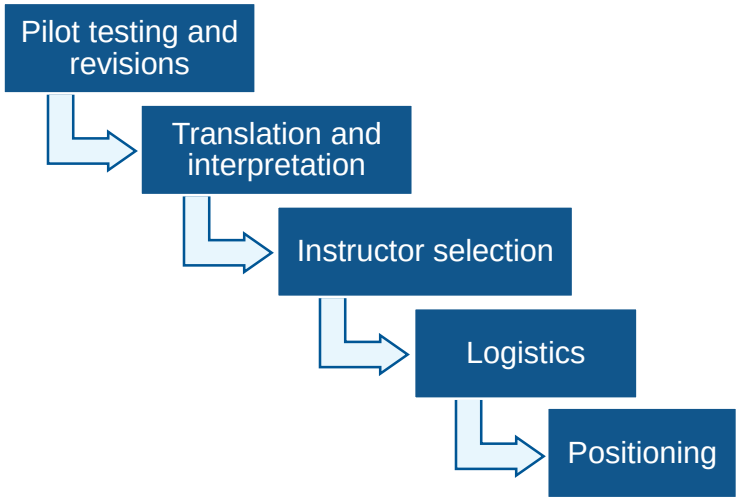
Learning tools:

- **E-learning**
- **Learning portals**
- **Learning management systems**
- **Webinars**
- **Mobile learning**
- **Virtual-world simulations**
- **Social media**

Transfer of learning: effective and continuing application of knowledge and skills at the work site.

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ADDIE Process—Implementation



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ADDIE Process—Evaluation

- Assess objectives.
- Identify best practices.
- Conduct investment analysis.
- Measure impact of training on individuals.
- Collect data to influence future training.
- Analyze design and delivery.
- Guide future decisions.

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Kirkpatrick's Levels of Evaluation

Level 1: Reaction	Level 2: Learning
Measures reaction of participants to the training.	**Measures how knowledge, skills, and attitudes changed.**
Checklists	Post-measures
Questionnaires	Pre-/post-measures
Interviews	Pre-/post-measures with control group

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Kirkpatrick's Levels of Evaluation

Level 3: Behavior

Measures a change in behavior.

- Performance tests
- Critical incidents
- 360-degree feedback
- Simulations
- Observations

Level 4: Results

Measures organizational results.

- Return on stakeholder expectations
- ROI analysis
- Progress toward organizational objectives
- Performance appraisals

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Training ROI

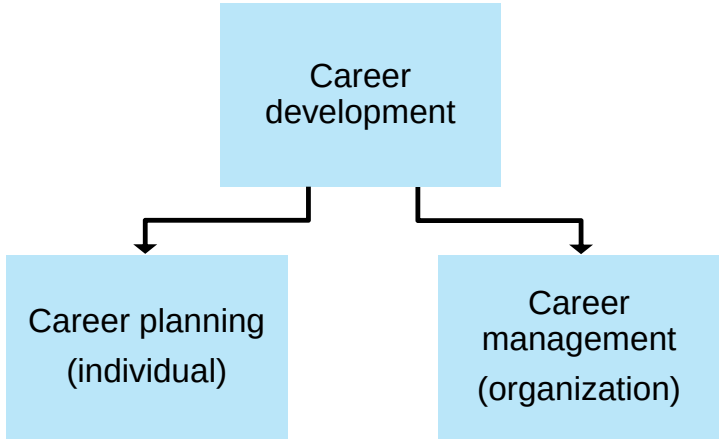
1. Isolate effects of training.
2. Convert effects (benefits) into monetary values.
3. Calculate costs of training.
4. Compare.

$$\text{ROI \%} = \frac{\text{Net program benefits}}{\text{Total incurred costs}} \times 100$$

HR professionals should be aware of their organization's thresholds for ROI and their effects on L&D activities.

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Career Development



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Roles in Career Development

- Every employee bears primary responsibility for his or her own career.
- HR leaders can:
  - Link career development and organization strategy.
  - Align career management with business needs.
  - Reward managers and supervisors who help employees in career planning.
  - Participate in career development workshops and meetings.
  - Measure career development success (metrics).

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Individual Development Plans

Base-line information:

- Employee profile
- Career goals/objectives
- Development objectives
- Training and development interventions
- Outcomes
- Signatures and dates

Most effective when:

- Aligned to organizational needs
- Are an objective, accurate assessment
- Include challenging development activities
- Include coaching and feedback opportunities
- Employee owns and embraces them

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Cultural Influences on Career Development

Be mindful of cultural effects:

- Cultural characteristics (e.g., power distance, paternalism, time orientation)
- Favoritism within groups
- How advancement opportunities may be seen
- External conditions (e.g., unions, political instability)

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Forms of Career Development

- Employee self-assessment tools
- Apprenticeships
- Job rotation, enlargement, enrichment
- Projects, committees, teams
- Internal mobility
- Coaching and mentoring
- Academic institutions, associations, continuing education

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Career Development Trends

- Multiple jobs and careers
- Greater individual responsibility
- Nontraditional employment
- Temporary, contract, and contingent work
- Accelerated responsibility

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Leadership Development

Leadership

Ability of an individual to influence a group or other individual to achieve a goal or result

Leadership development

Organization's training and professional development programs aimed at building executive/manager skills and abilities to influence and flex to different and challenging situations

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Why Leaders Fail

- Inability to learn from mistakes
- Lack of:
  - Interpersonal skills
  - Openness to new ideas
  - Accountability
  - Initiative
- Assumption of dominance
- Self-identification with organization
- Thinking they have all the answers
- Demand for total backing
- Obsession with company image
- Underestimation of major obstacles
- Resistance to change and new ideas

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HR's Role in Leadership Development

- HR professionals must be leaders themselves, proposing and implementing changes that improve the organization's effectiveness.
- They can improve the organization's leadership bench strength by:
  - Identifying current employees who are or could be leaders and providing them with leadership development opportunities.
  - Making sure that recognized leaders have what they need to develop skills further or improve weak skills.
- They continually align the organization's leadership needs with its strategy and adjust development programs accordingly.

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Obstacles to Leader Development

Slowly developing crises	**Potential negative publicity**
Suppressive effects of organizations and communities	**Lack of global mindset**
Valuing individual performance over teamwork	**Insufficient organizational focus**

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Leaders at Different Levels

Provide the competencies leaders need throughout their careers.

Lower-level
- Administering and managing
- Aligning tasks with strategic mission and goals
- Addressing obstacles

Middle-level
- Implementing structures and policies
- Leading multiple units
- Planning and coordination

Executive-level
- Long-range assessment and planning
- Communicating strategic vision and plans and implementing structural and policy changes
- Managing stakeholder relationships
- Fostering a high-performance culture

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Leadership Assessment Tools

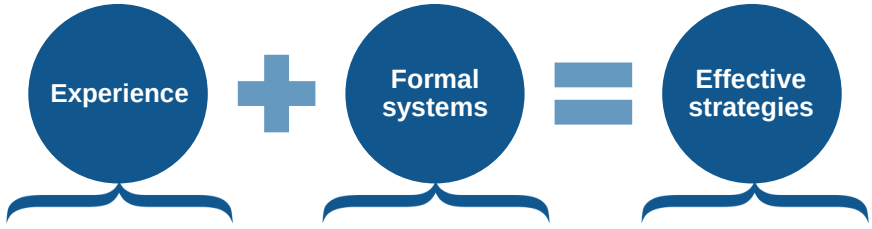
- Leadership inventories (e.g., 360-degree instruments)
- Work sample measures
  - Situation judgment tests
  - Assessment centers and simulations
- Emotional intelligence assessment tools



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Leader Development Strategies

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP



- Even “bad” bosses” can positively influence one’s sense of leadership.
- “Good” bosses focus on mentoring and coaching.

- Build leadership pipeline in integrated, system-wide manner
- Require organizational discipline

- Greater competitive advantage
- Sustainable leadership strategy built on actions and culture

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Leader Development Methods

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

More-challenging assignments/risk management

With supportive training to address increased risk

Hardship testing

High-pressure, emotionally charged situations that develop emotional competence and resilience

Problem solving in controlled environments

Manage real risk

Training

Delivered when an individual needs and can apply the knowledge and skills

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Action Learning Leadership Development

- Continuous learning and improvement through "real work"
- Opportunities for reflection and feedback
- Learning how to learn
- Opportunities to apply new skills immediately

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Developing Global Leaders

Be aware of the challenges in a global organization such as:

- Local feelings about whether leaders are "born" or "made."
- Leadership models in different cultures.

Respond by:

- Developing an organizational culture that values leadership development.
- Localizing leadership competency models.
- Prioritizing local acceptance and support.

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Discussion

An independent luxury hotel (single location, not a franchise), located in a competitive market, needs a comprehensive management and supervisory development program and employee skills training. HR is tasked with providing a solution as quickly as possible.

Retail skills are critical in the workforce, since the gourmet restaurant, day spa, and shops provide critical revenue. Revenue from retail has been declining.

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Discussion

Due to the immediacy of the training request, what is the best and first action the HR director should take?

A. Outsource the task to a local consultant who can immediately offer generic courses on time management and effective communication.
B. Assess organization-wide training needs and, with management, prioritize based on ROI.
C. Convene the executive team and solicit their input on topics.
D. Focus on team building.

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Feedback

The correct answer is B. This question requires competency-related judgment—specifically, Critical Evaluation. The causes for declining retail performance must be understood.

This learning and development opportunity should not be restricted to the single identified issue.

HR would not demonstrate its value as a consultant by deferring its leadership role to management. Generic training may be quick but ineffective.

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Discussion

What question should the HR response team analyze first as they consider training design?

A. How many people will need to be trained in each retail operation?
B. What effect will work schedules and wage laws have on our choice of training delivery method?
C. What would be the optimal length of a training event for each group?
D. How do the learner profiles in these different operations compare?

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Feedback

The main issue during the design phase is to choose an approach that is effective in achieving training objectives while being efficient in using the training budget and the learners' time.

The correct answer is D. The different groups may have distinct learning needs, even when the content may be the same. For example, suggestive selling could be a more difficult concept for some cultural or demographic groups. The Critical Evaluation and Global and Cultural Effectiveness competencies are demonstrated.

A does not provide critical information about how these employees learn. B addresses constraints on delivery options, but this issue should follow a discussion of design. C could create problems by suggesting actions without first understanding what is needed.

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Functional Area #5: Total Rewards

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Key Terminology

Total rewards	Encompasses direct and indirect remuneration approaches that employers use to attract, recognize, and retain workers; "remuneration" and "compensation and benefits" have the same meaning.
Benefits	Tangible payments or services provided to broad groups of employees to cover common issues (e.g., retirement and paid time off), in addition to those required by law.
Compensation	Refers to all other financial returns (beyond any tangible benefits payments or services), including salary and allowances.
Perquisites	Compensation provided on an individual basis in the form of goods or services (e.g., automobiles and mobile devices).
Incentives or premiums	Payments in return for the achievement of specific, time-limited, targeted objectives; often calculated as a percentage of base salary and paid as lump sums or ongoing payments.

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Compensation Philosophy

A short (but broad) statement documenting the organization's guiding principles and core values about employee compensation

Philosophy should be:

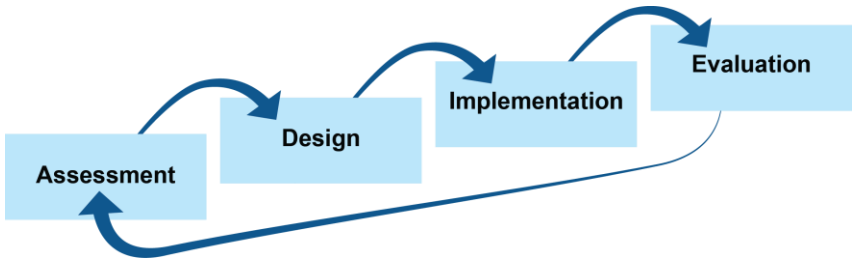
- ✓ Equitable
- ✓ Defensible
- ✓ Perceived as fair
- ✓ Fiscally sensitive
- ✓ Legally compliant
- ✓ Easy to communicate

Programs offered should be:

- ✓ Fair
- ✓ Competitive
- ✓ Aligned to philosophy and policies

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Process to Develop a Total Rewards Strategy



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Objectives of a Total Rewards Strategy

- Compatible with the organization's mission and strategy
- Compatible with the organizational culture (e.g., entitlement-oriented versus contribution-oriented)
- Appropriate for the workforce
- Internally and externally equitable

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Pay Strategies

Compares an organization to other organizations that share its industry, occupation, or location

Organizations may decide to:

Lag **Match** **Lead**

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Alignment with Global Staffing

Global Orientation

Ethnocentric

Transfer of headquarters compensation policies.

Inadequate attention to local differences.

Polycentric

More likely to have integrated and consistent policies within each subsidiary.

Incentives tied to local objectives.

Regiocentric

Greater potential for consistency within regions

May suffer blind spots with respect to country differences.

Geocentric

More likely to have strategies consistent with global policies.

Too much consistency can lead to inappropriate local policies.

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Global Influences

- Standardization versus localization
- Culture
- Competitive labor market
- Collective bargaining, employee representation, government mandates
- Economic factors
- Taxation

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Importance of Total Rewards Strategy Communication

- Educating employees about the organization's total rewards practices
- Achieving employees' buy-in and making them aware of the overall value
- Supporting the organization's strategic objectives
- Supporting the organization's goals for performance management

A total rewards program is a powerful motivator when it is understood and accepted by employees.

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Pay Transparency Considerations

Potential advantages

- Supports the achievement of strategic business objectives
- Reduces conflicts among employees and between employees and management regarding pay

Potential challenges

- Leads to jealousy and performance problems and employees questioning the system's fairness
- Poses a risk that information may be used for inappropriate or unintended purposes
- Requires protection of employee privacy and proprietary information
- Raises individual and cultural concerns about fairness in the global environment

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Effective Communication of Total Rewards

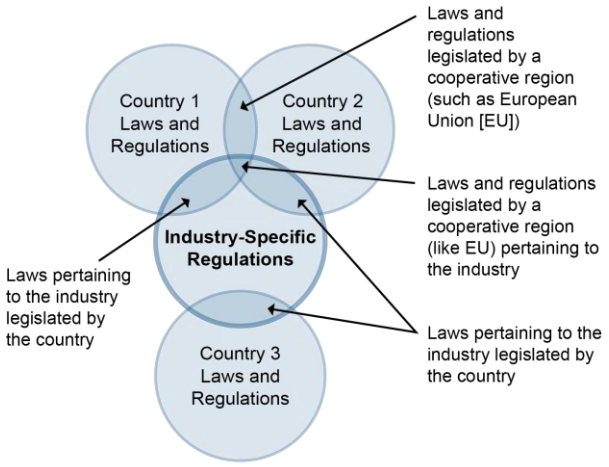
Requires attention to a variety of factors, such as:

- ✓ Type of information (required and voluntary communication)
- ✓ Communication plans
- ✓ Direct communication
- ✓ Individualized total compensation statements
- ✓ Self-service technologies
- ✓ Consistent key messages

Starts with an overarching strategy and standard implementation guidelines but adaptable to organizational specifications and local conditions and norms.

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Legal Compliance Example



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Legal Compliance Complexities

Due diligence should include an understanding of relevant:

- International standards and regulations.
- Extraterritorial application of national law.
- Application of national laws to international-owned subsidiaries operating within a nation's borders.



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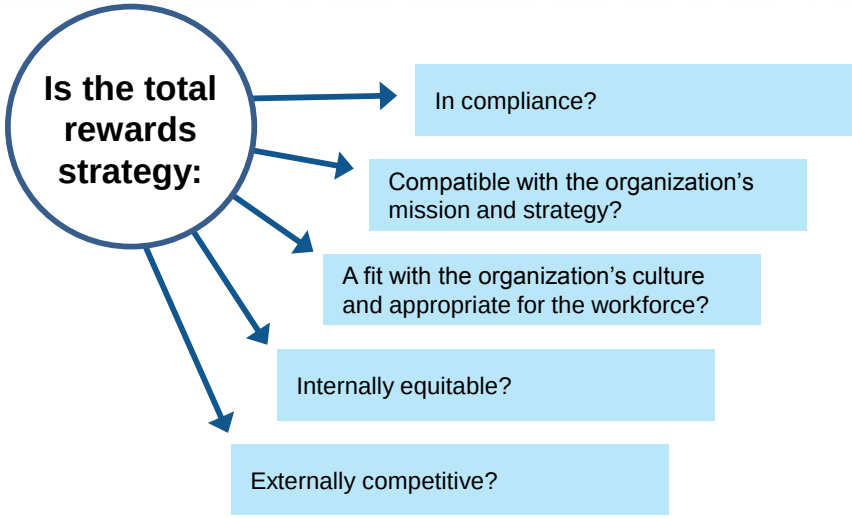
Finance and Accounting Knowledge

- Total rewards are a significant component of an organization's operating expenses.
- Understanding key finance and accounting terms and concepts, financial statement basics, and payroll provides critical insights.

Partnering with finance colleagues is always helpful as well as consulting "finance for non-finance professionals" resources.

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Evaluating a Total Rewards Strategy



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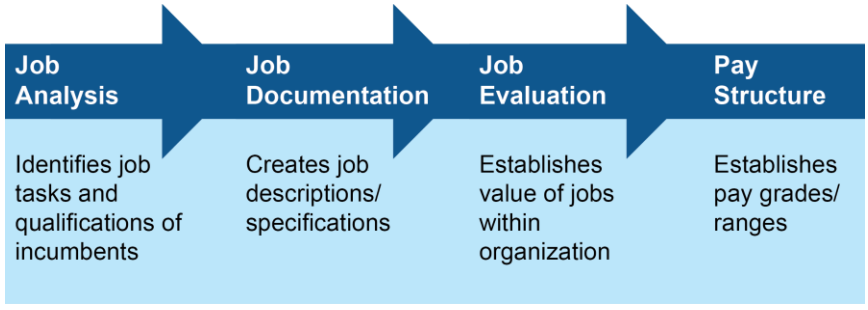
Measures, Metrics, and Analytics

- There are many possible measures, metrics, and analytics HR can use to analyze the effectiveness of the organization's total rewards strategy.
- The best measures are the ones that are connected to existing organizational frameworks and systems and enhance decisions.

Measuring *the right variables* has a lot to do with measurement success.

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Compensation System Design



© SHRM

Job Analysis

Knowledge	Body of information necessary for task performance
Skills	Level of proficiency needed for task performance
Abilities	Capabilities necessary to perform job

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Roles of Job Analysis in HR



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Job Analysis Considerations

Generally gathers information about:

- Job context—the purpose of the job, its work environment, its place in the organizational structure
- Job content—the duties and responsibilities of people who hold the job
- Job specifications/qualifications—knowledge, skills, and abilities required for a person to have a reasonable chance of successfully performing the job
- Performance criteria—desired behaviors/results that will constitute performance in the job

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Job Analysis Methods and Outcomes

Common Methods

- Observation
- Interview
- Open-ended questionnaire
- Highly structured questionnaire
- Work diary or log

Outcomes *

- Job description
- Job specifications
- Job competencies

* Deliverables are job documentation.

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Internal Job Evaluation

Determines the relative worth and pay structure of jobs based on an assessment of their content and relationship to other jobs in the organization

Nonquantitative or whole-job methods

Establish order of jobs in terms of their value to the organization

For example, job ranking, paired comparison, job classification

Quantitative methods

Use scale based on compensable factors to show how much more one job is worth than another

For example, point-factor system

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External Job Evaluation

Market-Based Job Evaluation

Determines the relative worth and pay opportunities of different jobs based on their market value or the going rate in the marketplace

- Sometimes called “market pricing.”
- Data collection includes survey formats, survey analysis, and slotting.
- Job content or internal job relationships may be secondary considerations.

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Remuneration Surveys

Collect information on prevailing market compensation and benefits practices

Internal surveys

Allow for more control over survey technique and data analysis

External surveys

Offer different options for externally published data

Considerations between internal and external surveys:

- Internal time and expertise required
- Relevance/match of external surveyed jobs to organization's jobs
- How current external survey data is
- Expense associated with type of survey

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Global Market Survey Considerations

What are the best sources of salary data?

How much information is available?

How frequently does the market change?

Does the data for the jobs available match or compare to the ones being compared?

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Data Analysis

Salary data may need to be aged, leveled, and/or factored for geography.

- Aging uses movement in market rates to adjust outdated salary data.
- Leveling adjusts salaries when surveyed jobs are similar but not identical to jobs in the organization.
- Since wage rates will vary by location, the organization should factor any national salary survey data for geography.

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Additional Information Sources

Benchmarking

- Initiatives range from informal networking and knowledge sharing to formal engagements with private firms.
- Helps to identify gaps in policies and procedures compared to competitors and best practices.

Other Sources

Typical sources include:

- Government sources (e.g., ministries of labor or government statistical bureaus).
- International organizations (e.g., International Labor Organization).
- Membership-based business organizations (e.g., employer federations and local chambers of commerce)
- Professional, trade, and industrial associations

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Creating a Pay Structure

Establish pay grades.

- Group jobs that have the same relative internal or external worth.
- Pay the same rate or within the same pay range.

Set pay ranges.

- Set upper/lower bounds of possible compensation for individuals whose jobs fall in a pay grade.
- Market data from surveys used to determine a midpoint.

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Compa-Ratios

- Divide the pay rate of an employee by the midpoint of the range.
  - Given a range of $16 to $20 an hour, a midpoint of $18, and a salary of $16 an hour, the compa-ratio is:

$16 ÷ $18 = .89 or 89%.

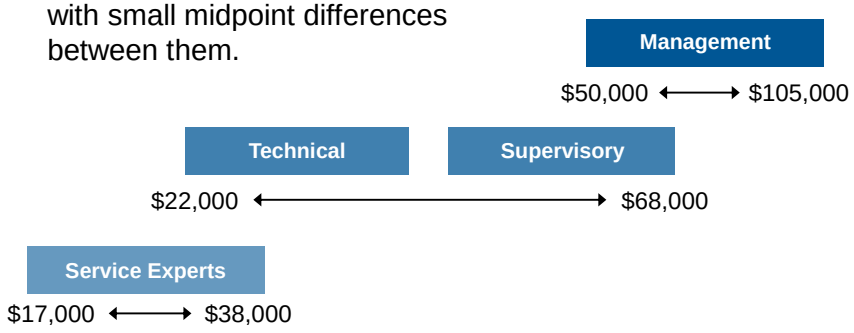
- Compa-ratios below 1.00 mean wages are below the midpoint; compa-ratios greater than 1.00 mean wages exceed the midpoint.

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Broadbanding

Combines salary grades to create larger ranges

- Allows people to move within their job without outgrowing the pay scale.
- Avoids having too many grades with small midpoint differences between them.



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Broadbanding Advantages and Disadvantages

Advantages	Disadvantages
• Provides wider ranges • Reduces the number of job grades • Supports de-layering • Provides more autonomy to line managers • Enhances employee mobility	• Reduces the value of ranges • Affords less control • Creates overly broad ranges • Difficult to maintain perception of equity • Reduces the opportunity for promotion • Can lead to divergence from the market

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Base-Pay Systems

Develop and maintain a pay system that helps attract, motivate, and retain employees.

Most employees receive base pay in the form of an hourly wage or salary.

© SHRM

Base-Pay Systems

Single- or flat-rate	• Employees receive the same rate of pay, regardless of performance or seniority. • Generally corresponds to target market survey data for the job. • May be a training wage in a flat-rate job.
Time-based step-rate	• Rate based on longevity. • Increases occur on pre-determined schedule: – Automatic by percentage and time. – Affected by performance. – Combination of step-rate and performance (when job rate is reached).

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Base-Pay Systems

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

Performance-based or merit pay (P4P or PfP)	• Linked to measures of work quality or goals. • Employers must be able to defend practices. • Global differences must be addressed: – Types of incentives and remuneration. – Individual vs. collective performance. – Impact on risk.
Productivity-based	• Based on output. • Straight piece-rate (base plus). • Differential piece-rate (rate increases in steps after standard is met).
Person-based	• Affected by employee's knowledge, skill, or competencies.

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Pay Variations

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

Red-circle rates — Rates above the range maximum

Green-circle rates — Rates below the range minimum

Pay compression — Small differences in pay regardless of experience, skills, level, or seniority

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Pay Adjustments

- Pay adjustment matrix
- COLAs
- General pay increases
- Seniority increases
- Lump-sum increases
- Market-based increases

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Differential Pay

Time-Based

- Based on when an employee works
- *Examples:*
  - Shift pay
  - Emergency-shift pay
  - Premium pay
  - On-call or call-back pay
  - Reporting pay
  - Travel pay
  - Overtime pay

Geographic

Differentials:

- For labor costs
- To attract workers to certain locations
- For foreign countries

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Incentive Pay

- Motivates employees to perform at higher levels
- Pays for performance beyond base-pay expectations
- Must be related to aspects of the job that an employee can influence with achievable goals
- Can be structured to reward short-term accomplishments or long-term results or a balance of both short- and long-term goals

© SHRM

Types of Incentives

Individual	Group	Organization-wide
Purpose is to improve individual performance *Examples:* piece rate, commissions, noncash reward programs	Used when measuring individual performance is difficult or when performance requires cooperation *Examples:* gainsharing plans, team bonuses	Reward overall results *Examples:* profit sharing, stock ownership, bonus programs

Challenges for global organizations include designing and awarding culturally appropriate incentives and regulatory compliance.

© SHRM

Types of Executive Compensation

- Stock option plans
- Stock purchase plans
- Restricted stock grants
- Phantom stock
- Restricted stock units
- Performance grants

HR's role in executive remuneration varies and may include:

- Consulting on strategy.
- Participating in selecting outside experts.
- Monitoring and evaluating compensation systems.

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Direct Sales Compensation



Straight salary	Salary plus commission and/or bonus	Straight commission
Use when:	**Use when:**	**Use when:**
More time is spent on service than sales. Measuring sales performance is difficult. Individual sales and support efforts are hard to separate. Sales cycle is long.	Organization needs to reward behaviors that support strategy. System needs to be adaptable and allow for readjustments. Competitors use the same strategy.	Organizational objective is to increase volume (even if it means less service). Holding down cost of sales is important. Competitors use the same strategy.

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Compensation for Professionals

Dual career ladder

Allows senior technical personnel to earn as much as management personnel

Maturity curves

Correlate pay with time spent in the field; used for teachers, research scientists, engineers, technical personnel

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Compensation for Outside Directors

- Base pay or retainer
- Fees paid for various events or services
- Benefits (e.g., liability, life insurance)
- Perquisites
- Nonqualified stock options/grant plans
- Nonqualified deferred compensation programs

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Common Compensation Metrics

Metric	Description/Formula	Strategic Value
Compensation ratio	Relationship of current salaries to the midpoints of the salary ranges $\frac{\text{Employee's pay rate}}{\text{Pay range midpoint}}$	Allows managers to consider if employees are being paid appropriately
Total company compensation expense	All costs associated with employment, including salaries, overtime, benefits, and bonuses $\frac{\text{Salaries + Overtime + Benefits + Bonuses}}{\text{Total costs}}$	Helps an organization manage the costs associated with human capital

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Wage and Hour Law Compliance

Considerations include:

- Minimum wage and increases
- Overtime and holiday pay
- Equal pay
- Exemption
- Cap on hours worked
- Special issues under local law
- Taxation

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Benefits Structure

Designed to:

- ✓ Reward continued employment and promote loyalty.
- ✓ Protect financial and physical well-being of employees and their families.
- ✓ Help to recruit and retain talent.
- ✓ Provide cost-effective and affordable offerings that comply with laws and regulations.

© SHRM

Deciding Which Benefits to Offer

Which benefits are required by law?

Which benefits enable an employer to compete for employees?

Which benefits are cost-effective to purchase and to administer?

Which benefits do employees prefer?

Which benefits provide creative choices?



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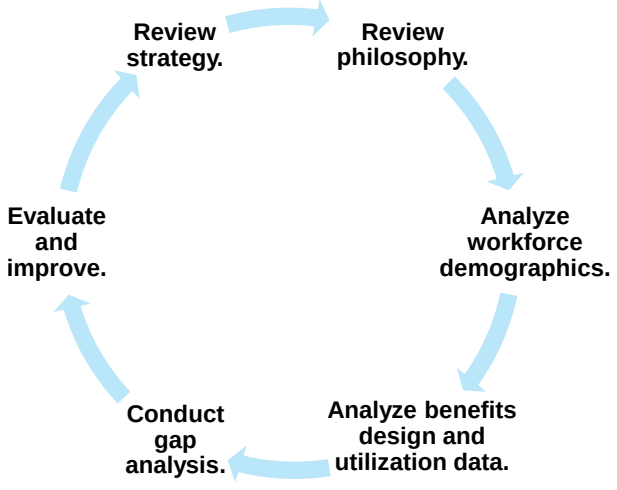
Variations in Benefits

- Government-provided benefits
- Government-mandated benefits
- Voluntary or discretionary benefits
- Market practice benefits
- Tax treatment of benefits

Standardization is difficult because of variations in benefits.

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Benefit Needs Assessment



© SHRM

Types of Benefits

Paid time off (PTO)	Often legislated or part of collective bargaining agreements; embedded in culture and tradition. *Examples:* public holidays, parental leave, leave for illness.
Family-oriented	Help employees balance work roles with family roles. *Examples:* flexible work hours, child and elder care, domestic partner benefits.
Health and welfare	Funded through social or private insurance; affected by culture and location. *Examples:* medical, dental, wellness, employee assistance programs.

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Types of Benefits

Disability	Pays employees unable to work because of illness or injuries; causes may be in or outside the workplace; may be funded by government, employer, and employee. Short-term, long-term, and permanent.
Life insurance	Funded through social insurance and/or private insurance; paid to beneficiary.
Workers' compensation	Pays employees portion of salary if they are unable to work as the result of work-related accident or illness.

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Terminations and Severance

Terminations

- Voluntary terminations
  - When an employee resigns or retires
- Nonvoluntary terminations
  - When employers discharge employees for cause or workforce adjustments
- Circumstances under which an organization can terminate employment are prescribed by law and differ by country.

Severance

- If required, severance pay must be compliant and fairly compensate terminated employees to avoid discrimination lawsuits and regulatory fines and penalties.
- Circumstances, requirements, and amount varies by country; some similarities within regions.

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Retirement Plans

Defined Benefit Plan

- Promises payment of a specific benefit amount at retirement.
- Vesting schedule is set up.
- Benefits are based on service and perhaps salary; decided by a formula.
- Provides a pre-specified level of benefits.
- Employer bears investment risk.

Defined Contribution Plan

- Money contributed regularly is specified.
- No promise is made regarding the future value of the benefit.
- Employees receive 100% of their investment and the vested employer portion.
- Requires individual employee accounts.
- Amount at retirement depends on the return.
- Employee bears investment risk.

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Fiduciary Responsibility

Fiduciary duty

Implies a legal obligation of one party (e.g., the employer) to act in the best interest of another (e.g., the employees).

Fiduciary

Refers to the obligated party (e.g., an individual or party entrusted with the care of money or property).

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Unemployment Insurance

Applies toward paying a percentage of an employee's salary in the case of the employee losing his or her job through no fault of the employee.

Helps workers who have been terminated to transition from one job to another equally suitable job.

May require a waiting period; benefit period is limited, as is the financial payout.

Other terms associated with this benefit are employment insurance, job seekers' allowance/benefit, redundancy funds.

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Social Security

- Varies by country.
- Generally refers to:
  - Social insurance, where people receive benefits or services in recognition of contributions to an insurance program.
  - Services provided by government or designated agencies responsible for social security provision.
  - Basic security irrespective of participation in specific insurance programs where eligibility may otherwise be an issue.

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Perquisites

- Free/discounted products or services
- Mobile devices
- Professional organizations/certifications
- Training programs
- Education fees
- Housing
- Company car and/or cash car allowances
- Club memberships
- Meal allowances

Perquisites vary by country and culture.

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Common Benefits Metrics

Metric	Description/Formula	Strategic Value
Benefits costs as a percentage of total payroll costs	Reflects the total costs of benefits divided by the total payroll costs for the organization. $\frac{\text{Total benefit costs}}{\text{Total payroll costs}}$	Pay and benefits together make up organizational wage costs. This metric identifies the proportion of benefits costs.
Health-care expense per employee	Measures the health-care expense per employee for a given fiscal year. Total expenses include employee- and company-paid premiums, stop-loss insurance, and administrative fees $\frac{\text{Total health-care expenses}}{\text{Number of employees enrolled in a health-care plan}}$	This measurement can show per-capita cost of employee benefits (e.g., the average per person).

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Common Benefits Metrics

Metric	Description	Strategic Value
Annual increase/decrease in health-care benefit costs	Represents the expected increase/decrease in the organization's health-care expense for a given fiscal year; a comparison of the current health-care expense per employee metric to previous years and projected.	This measurement alerts an organization to the increasing costs of health-care benefits and helps the organization assess if actions must be taken to control benefits costs (e.g., changing/reducing benefits, sharing the costs with employees).

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Discussion

The leader of a mid-sized organization asks HR to recommend an approach to total compensation practices for a new international location (the organization's first).

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Discussion

The HR director considers:

- The value the employees will add. Highly knowledgeable and talented workers will be required.
- Competitiveness in the local labor market. It's tight. Many workers will have to be lured away from competitors.
- The organization's current pay practices. In current locations, total rewards practices have lagged the market due to employer brand and significant labor supplies.
- The probable labor budget in the new location.

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Discussion

- What should the HR director recommend regarding pay practices for the new location?
- What impact will this have on the organization?
- What primary competency would the HR director be demonstrating?
- What secondary competencies will be needed?

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Functional Area #6: Structure of the HR Function

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HR as a Profession

What distinguishes HR as a profession?

- ✓ A national organization…**SHRM**
- ✓ A code of ethics…**the SHRM Code of Ethics**
- ✓ Research…**the SHRM Foundation**
- ✓ Necessary knowledge and competencies… **the SHRM BoCK**
- ✓ A credentialing organization… **the SHRM Certification Commission**

© SHRM

HR's Strategic Role in the Organization



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HR's Administrative and Operational Roles

Administrative

- Use technology to capture and analyze data, reduce transactional time
- Focus on core capabilities

Operational

- Knowledge management
- Talent acquisition and development
- Incentive systems
- Employee engagement programs

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Core Business Functions



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Executive Management

The C-suite is ultimately responsible for all of the core business functions and their effect on the organization's performance.

- Develop and communicate strategy.
- Monitor and control implementation of strategic and operational activities through control of financial resources.
- Be the primary interface with the organization's stakeholders.
- Lead the organization through a shared vision and the values they model.

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Finance and Accounting

Finance:

- Supports operations and strategic initiatives through the creation and monitoring of operating and capital expenditure budgets.
- Provides financial analysis used in strategic planning.
- Manages the organization's "treasury."

Accounting:

- Focuses on tracking financial transactions and reporting financial information to finance and to external stakeholders.

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Marketing and Sales

Brings in revenue; may be separate functions or together.

Marketing Strategies

Often categorized as:

- "Push"—getting products/ services in front of customers.
- "Pull"—attracting customers to the product.

Sales Strategies

- Heavily influenced by an industry's customary distribution practices and the company's marketing strategy.
- Affects HR needs, including talent acquisition and compensation.

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Research and Development (R&D)

- Generates future revenue through new product design and development.
- May be conducted in a centralized manner (for example, with a globalized strategy) or implemented in business units so that projects stay focused on customer needs.



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Operations and IT

Operations	IT
• Develops, produces, and distributes products/ services. • Concerned with efficient use of resources, quality, environmental impact, worker health and safety. • Requires complex logistics and sophisticated planning.	• Manages storage, access, exchange, and analysis of organizational data through hardware and software systems. • Supports integration of data across enterprise through ERPs. • Maintains security and reliability of data.

© SHRM

Human Resources

- Understands the organizational goals and the role each function plays.
- Serves as a cross-functional bridge:
  - Facilitates cross-functional understanding and collaboration.
  - Advises core functions on how to align with organizational strategy.
  - Identifies and supports need for resources or training.
  - Locates talent resources dispersed throughout the organization.

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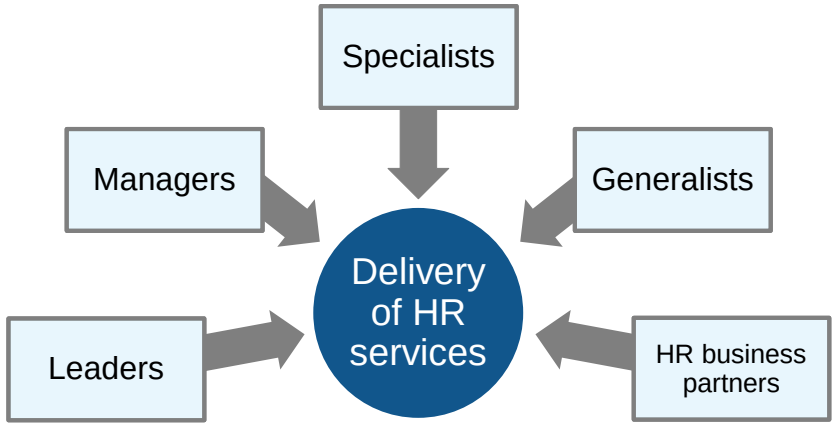
HR Function Structure

The optimal HR structure is designed to:

- Assist in implementing and supporting organizational and HR strategy.
- Facilitate achievement of organizational and HR goals.
- Be consistent with the organization's structure.

© SHRM

HR Team



© SHRM

HR Structural Alternatives

Centralized

- All HR personnel are located within the HR department.
- Headquarters makes all HR policy and strategy decisions and coordinates all HR activities and programs.
- Helps ensures standardized HR policies and processes.
- Creates efficiencies in delivery of services.

Decentralized

- Each part of the organization controls its own HR issues.
- Strategy and policy may still be made at headquarters, but HR staff within each function, business unit, or location carries out the required activities.

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HR Structural Alternatives

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Functional

- Headquarters HR specialists craft policies.
- HR generalists (e.g., located within divisions or other locales) implement these policies, adapt them as needed, and interact with employees.

Dedicated

- HR function at headquarters and separate HR functions located (or “embedded”) in separate business units.
- Corporate HR articulates basic HR values, develops tools to be used by the organizational-level HR functions, and creates programs (e.g., global literacy and leadership skills).
- Business unit HR staff develops local policies and practices.

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HR Structural Alternatives

Shared Services

- Centers with specific areas of expertise develop HR policies in those areas and then offer the service to all units.
- Frequently used in organizations with multiple business units.
- Units select what they need from a menu of shared services (usually transactional).

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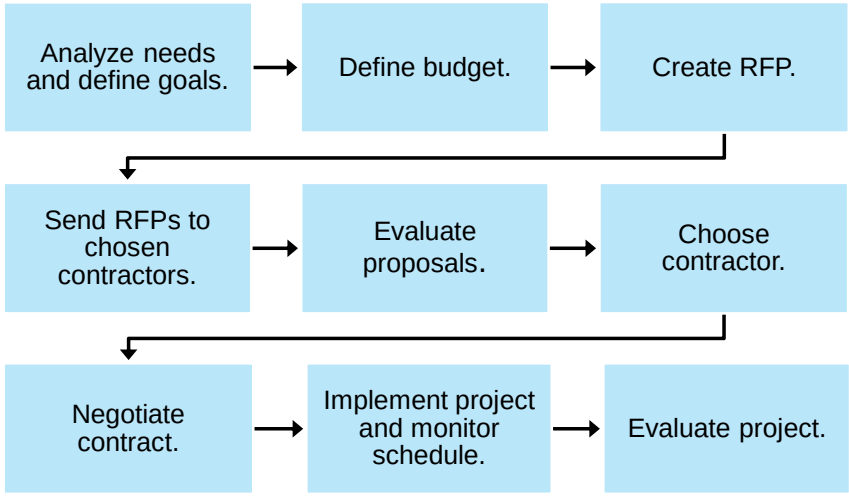
Third-Party Contractors

Successful outsourcing/cosourcing depends on:

- Choosing the right activities to outsource/cosource.
- Alignment of vendor's performance objectives with strategic requirements.
- Confirmation of vendor's reliability, capacity, expertise, and ethical behavior.

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Outsourcing Process



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Demonstrating HR's Value

Benefits of measuring and reporting results include:

- Reinforcing HR's role in strategic development by measuring the effectiveness of HR strategies and senior management's implementation of those strategies.
- Identifying opportunities for redirection and improvement through periodic measurement of progress on strategic objectives.
- Strengthening HR's relationship with internal business partners.
- Supporting future investment in HR programs.

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Evaluating HR Performance

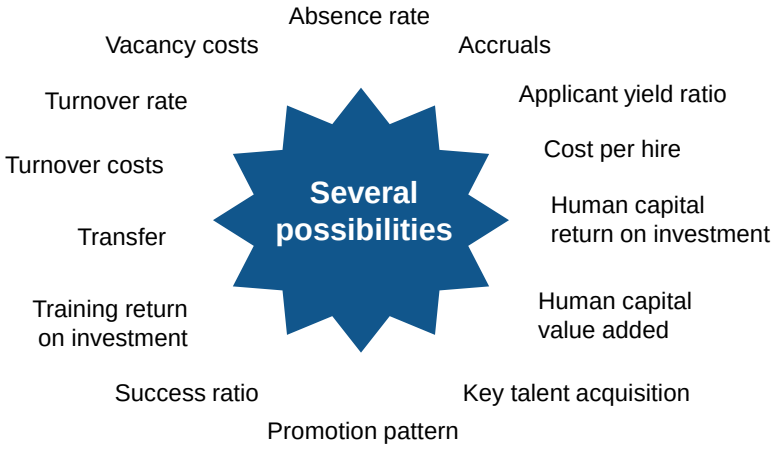
Balanced scorecards help support clear line of sight from strategic goals to strategic performance.

Effective balanced scorecards:

- ✓ Contain accountability and measurable results.
- ✓ Are valid (e.g., understandable measures, metrics, and targets that are aligned to an objective and supported by solid data).
- ✓ Contain only measures that are most important to the objective and the organization's strategic plan (e.g., measures must result in actionable items).
- ✓ Focus on results.
- ✓ Are carefully planned and executed.

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Sample HR Metrics



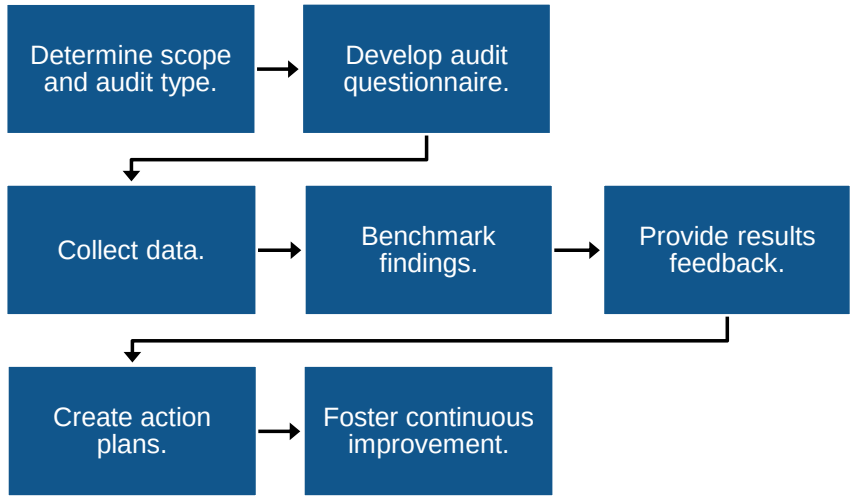
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Types of HR Audits

- Compliance
- Best practices
- Strategic
- Function-specific

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HR Audit Process



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Discussion

The newly appointed VP of HR is excited about participating in the upcoming strategy session and discussing a number of ideas on how to improve the efficiency of the HR department. These ideas will require a significant investment in technology and in upgrading the skill set of the HR department.

During the session, most of the other leaders provide direct and indirect feedback about the ineffectiveness of the HR department and complain that HR is out of touch with the rest of the organization. Often these leaders intentionally exclude the HR department and actively work around them until they are compelled to cooperate.

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Discussion

- What must the VP of HR do to convince the organization that the HR team is adding value to the organization?
- What primary competencies must the VP of HR demonstrate before other leaders support the implementation of the structural and operational changes within the HR department?
- What are some of the secondary competencies the VP of HR will need to demonstrate?

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Functional Area #7: Organizational Effectiveness and Development

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OED Focus

- Identifying and clearing away internal obstacles to help achieve strategic goals and continuous improvement.
- Asking questions such as:
  - — Where do we want to go?
  - — What is keeping us from getting there?

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Organization Development

Process of enhancing the effectiveness and efficiency of an organization and the well-being of its members through planned interventions.

Organizational performance is assessed based on:
- Efficiency in using resources to create value.
- Effectiveness in achieving its strategic goals.

Organizational interventions ("structured activities") can be:
- Proactive.
- Remedial.

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Characteristics of Effective Interventions

- ✓ Strategically aligned
- ✓ Collaborative
- ✓ Supported by top management
- ✓ Producing sustainable results
- ✓ Supporting continuous improvement
- ✓ Using common tools
- ✓ Using common language
- ✓ Explicit assumptions
- ✓ Fact-based
- ✓ Oriented toward systems and processes
- ✓ Flexibility
- ✓ Multiple perspectives

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OED Competencies

- Relationship management
- Personal characteristics
- Professional skills
- Critical evaluation
- Consulting
- Business acumen
- Expertise in specific types of interventions

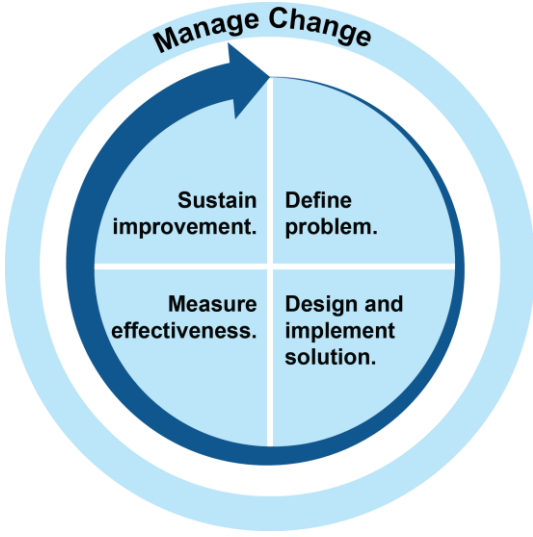
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Why Interventions Fail

- Lack of senior management support and buy-in
- Poor planning
- "Analysis paralysis"
- Reluctance to take reasonable risks
- Failure to communicate need
- Too much change for available resources, time, or change management capability

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OED Process Model



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Understanding the Problem

Problem solving starts with a thorough understanding of:

- The problem as perceived by the intervention client.
- Underlying issues.
- Potential obstacles to solving the problem.

The problem as presented by the client may need to be reframed to address the root causes.

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Planning the OED Project *

Identify and involve stakeholders.

Results in stronger solutions.

Define achievable objectives.

Helps to promote confidence in the OED process and demonstrate HR's value.

Plan appropriate ways to gather information.

Requires sufficient data to support reliability, capture multiple perspectives, and avoid bias.

* See HR Strategic Planning in *People* module.

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Are We Ready to Change?

The organization's, group's, or individual's readiness to change will affect the initiatives adopted.

Issues to consider include:

- The nature of the change.
- Duration.
- Key milestones.
- Change process.
- Roles and responsibilities.
- Cultural impacts.
- Fears and resistance.
- Productivity issues.
- Benchmarks.
- Local interests.

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Analyzing Data *

Sort data.	• Use tools like an affinity diagram.
Plot statistical data.	• Find key data characteristics and "outliers."
Analyze root causes.	• Create a cause-effect diagram.
Determine trends.	• Plot frequency and severity of events against time. • Establish priorities.

***** See section on Critical Evaluation competency in *HR Competencies* module.

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Providing Feedback

Present data that is:

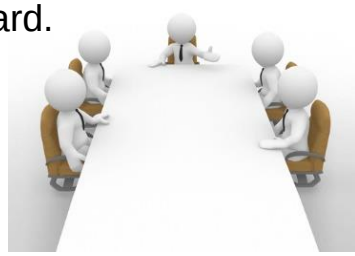
- ✓ Relevant.
- ✓ Focused on issues that can be influenced or managed.
- ✓ Fact-based and objective.
- ✓ Selective.
- ✓ Sufficient and specific.



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Effective Feedback Presentation

- Review findings and recommendations with key individuals before presenting to group.
- Prepare for possible client reactions.
- Listen and validate reactions while showing the way forward.
- Maintain optimistic demeanor.



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Intervention Design and Implementation

OED interventions are generally categorized as:

- Team or unit.
- Structural.

OED strategies should include interventions that are:

- The correct number and type.
- Aimed at the correct audiences.
- Sequenced and scheduled for maximum effectiveness.

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Intervention Types: Team or Unit

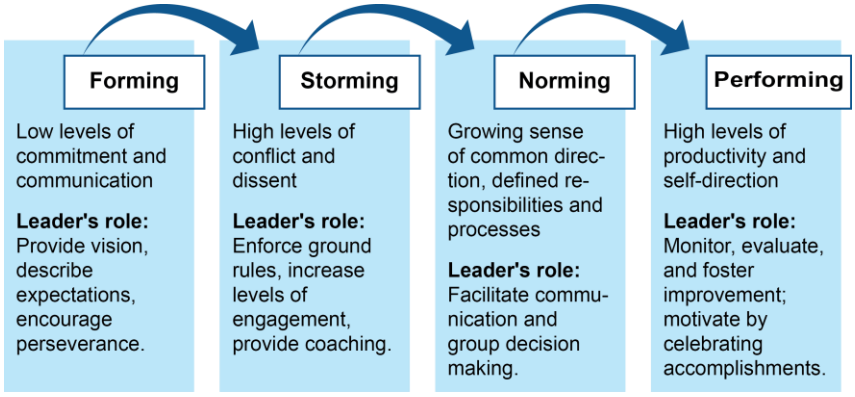
Goal may be to improve team processes and interactions through:

- ✓ Developing a team identity.
- ✓ Correcting dysfunctional behaviors.
- ✓ Redefining processes to remove conflicts and improve coordination.
- ✓ Building trust.
- ✓ Helping diverse teams overcome cultural and geographic distances.

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Team Formation

Based on Bruce Tuckman



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Group Dynamics and Team Building

Group Roles

- Task roles
- Social roles
- Dysfunctional roles

Based on Kenneth Benne and Paul Sheats

Team-Building Activities

Activities may focus on:

- Goals and priorities
- Roles and responsibilities
- Processes
- Interpersonal relationships

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Intervention Types: Organizational

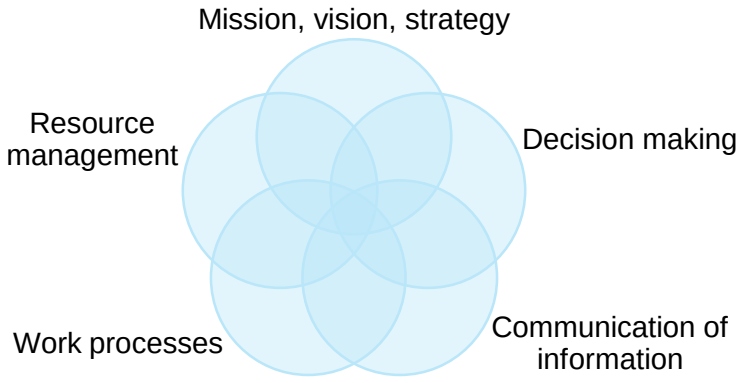
Organizational interventions look at how the structure of the organization is helping or hindering its strategic progress.

- **Redesigning**
- **Realigning and Refocusing**
- **Building Performance**

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Redesigning the Organization

Effective structures integrate all elements that support an organization's functioning.



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HR Roles

- Diagnose structural causes of poor performance.
- Help leaders choose more effective designs aligned with short- and long-term strategic objectives.
- Coach leaders on their roles and responsibilities.
- Monitor the structure for alignment with strategies and identify any challenges.
- Plan to deliver necessary short- and long-term interventions.

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Structural Characteristics

Work specialization

Decision-making authority

Hierarchy layers
- Chain of command
- Span of control

Formalization

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Departmentalization

Functional	Define departments by the services they contribute (such as marketing and sales, operations, and HR).
Product	Groups functional departments under major product divisions. Each division has its own marketing, sales, manufacturing, and finance functions.
Geographic	Similar to a product structure except that geographic regions or countries—rather than products—define the organizational chart.
Front-back (hybrid)	"Front" defines functions by geographic locations or customer types; "back defines functions by product or business unit.
Matrix (hybrid)	Combines departmentalization by division and function to gain the benefits of both; creates a dual rather than single chain of command.

There are advantages and disadvantages to each type of structure.

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Aligning Roles and Responsibilities

A RACI matrix is commonly used.

R	**Responsible**	A responsible member performs the activity.
A	**Accountable**	The accountable member is in charge of the activity and answers to management for the activity's performance.
C	**Consulted**	A consulted member provides advice or information necessary to perform the task.
I	**Informed**	Members to be informed receive communication about activities but do not perform or consult.

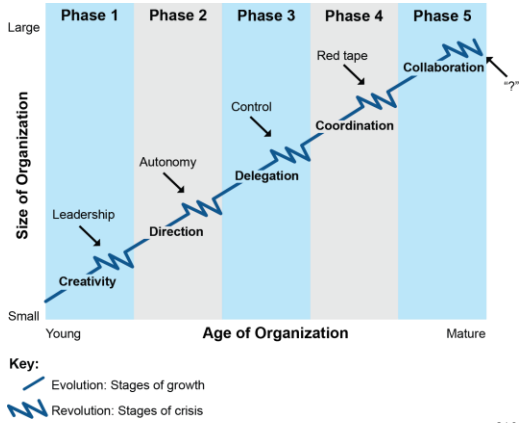
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Realigning and Refocusing the Organization

What the organization needs to be effective will change as it grows—from initial creativity and freedom to evolving needs for:

- Direction and management.
- Delegation and effective structure.
- Control and coordination.
- Collaboration.

Based on Larry Greiner



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Building Performance

- Gaps in required knowledge and skills
- Technology requirements
- Process requirements
- Organizational culture requirements

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Involving Stakeholders

Tools to assist in group decision making:

- SWOT analysis of intervention decisions
- Multi-criteria decision analysis (MCDA) of possible solutions
- Cost-benefit analysis (CBA) of alternatives
- Force-field analysis to process brainstorming issues and analyze support or resistance to change

Benefits:

- Increased buy-in
- Increased probability of intervention's success

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Setting Objectives

Objectives should be SMARTER.

S	Specific
M	Measurable
A	Attainable
R	Relevant
T	Timebound
E	Evaluated
R	Revised

Benefits:

- Help to evaluate the intervention
- Useful in defining client expectations
- Help avoid conflicts and disappointment

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Communication Pitfalls and Solutions

Pitfalls	Solutions
Leadership not involved	Make sure leaders are part of the communication strategy.
Wrong messenger	Understand the culture to determine who should communicate the change.
Too sudden	Prepare employees and allow feedback before change is initiated.
Too late	Plan and provide timely messages.
Not aligned with business realities	Be honest; give reasons behind the change and the projected outcomes.
Too narrow	Focus on organizational goals, not details.

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HR's Support of Change *

- Involve everyone.
- Use Communication competency.
- Recognize emotional reactions.
- Create a vision.
- Build support.
- Make sure the change is fair.
- Build required performance.

* See section on Consultation competency in *HR Competencies* module.

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Demonstrating Value

Data should be collected throughout the intervention to support measuring effectiveness.

Accurate analysis at the beginning of the initiative	**+**	**Metrics to measure the initiative**

Metrics should eventually measure the impact (positive or negative) of the OED change effort.

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Sustaining Improvement

Vigilance — Reinforce new behaviors and avoid backsliding.

Problem solving — Tackle issues as they arise with a positive approach, teamwork, and creativity.

Alignment — Fix systems that conflict with changes.

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Practices to Sustain Change

Based on Beckhard and Harris

- Periodic team meetings
- "Sensing" meetings
- Periodic intergroup meetings
- Dedicated renewal conferences
- Goal-directed performance reviews
- Periodic third-party assessments
- Rewards

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Discussion

A small, family-run organization has always pursued a differentiation strategy that emphasizes quality and customer service.

The CEO decides to retire and sell the business to a mid-sized competitor who has always employed a cost leadership strategy.

As part of the sale agreement, the CEO insists that all current employees be retained.

Within four months of the acquisition, the VP of HR sees that almost 40% of the acquired employees have left the organization, taking critical knowledge with them. If this continues, it will affect customer service.

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Discussion

- What type of OED intervention should the VP of HR consider first?
- What other activities should the VP of HR consider?
- What are two primary competencies that the VP of HR would be demonstrating to address this issue?
- What are some other competencies that the VP of HR will need to demonstrate?

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Functional Area #8: Workforce Management

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Workforce Management



HR manages human resources to maximize the organization's opportunities for success and minimize its exposure to threats.

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Workforce Planning

Process of analyzing the organization's workforce and determining steps to prepare for future needs

→

Alignment of human capital with business direction

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Workforce Analysis Process

Supply analysis

Where are we now?
What do we have?

Demand analysis

Where do we want to be?
What do we need?

Gap analysis

What KSAs exist?
What is lacking and what will be needed?

Solution analysis

What can we afford?
How will we get what we need?

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Supply Analysis: Forecasting Tools

Accurate forecasts account for movement into and inside the organization (new hires, promotions, internal transfers) and out of the organization (resignations, retirements, involuntary terminations, discharges).

Turnover analysis

- Divide separations per year (or shorter time periods) by average monthly workforce.

Flow analysis

- Analyze career development plans.
- Obtain estimates of movement.
- Project future movement.

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Demand Analysis: Judgmental and Statistical Forecasts

Judgmental forecasts *

- Assess the past and present to predict future needs
- Based on a variety of estimates

* See Organizational Effectiveness and Development in *Organization* module.

Statistical forecasts *

- Regression analysis (simple or multiple)
- Simulations (what if?)

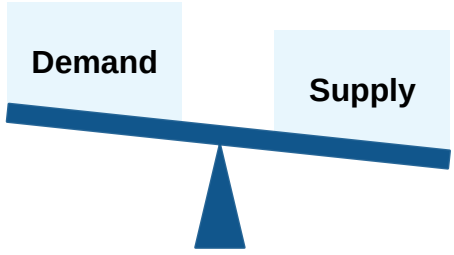
* See section on Critical Evaluation competency in *HR Competencies* module.

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Gap Analysis

Compares supply and demand analyses to identify the staffing differences and competencies needed for the future.

- Skills
- Abilities
- Distribution
- Diversity
- Deployment
- Time
- Cost
- Knowledge sharing
- Succession
- Retention



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Prioritizing the Gaps

Permanence | **Impact** | **Control**

Evidence | **Root cause**

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Tactical Objectives

Focus on closing high-priority gaps in the near term (as opposed to the long-term HR strategic objectives); specify in concrete and measurable terms which gaps must be closed and when.

Tactical objectives support staffing needs because they specify:

- ✓ Which gaps will receive focused attention.
- ✓ The degree to which the gap will be closed.
- ✓ The time frame for achievement.
- ✓ The localities or functional groups involved.
- ✓ Any special considerations.

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Solution Analysis

Build

- Redeploy
- Train and develop

Buy

- Recruit and hire

Borrow

- Outsource, lease, or contract

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Staffing Plan

Element	Description
Statement of purpose	Goals and targets
Stakeholders	Key decision makers and participants in planning
Activities and tasks	Necessary activities, tasks, and deliverables
Team members	Roles and responsibilities
Resources	Necessary financial and nonfinancial resources
Communication plan	Communicating, monitoring, gathering feedback
Continuous improvement	Evaluation and improvement strategy

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Flexible Staffing

- Uses alternative recruiting sources and workers who are not regular employees.
- The choice of arrangement depends on:
  - Function.
  - Level of supervision required.
  - Time constraints.
  - Financial constraints.
  - Legal risks and liability.

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Flexible Staffing Types

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Administration by organization

- Temporary assignments
- Temporary employees
- On-call workers
- Part-time employees
- Job sharing
- Seasonal workers
- Phased retirement

Administration outsourced

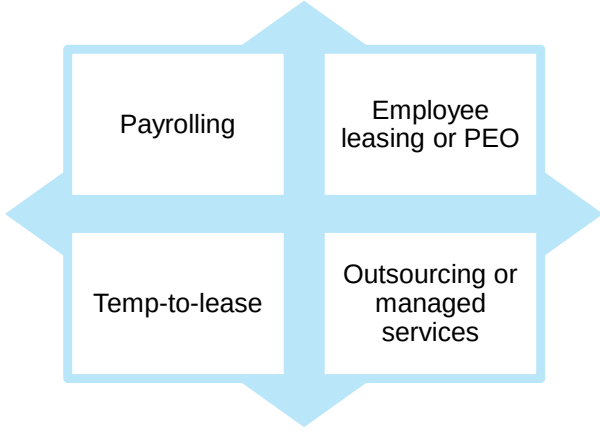
- Finite temporary help
- Temp-to-hire programs
- Contract workers

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Types of Flexible Staffing Arrangements

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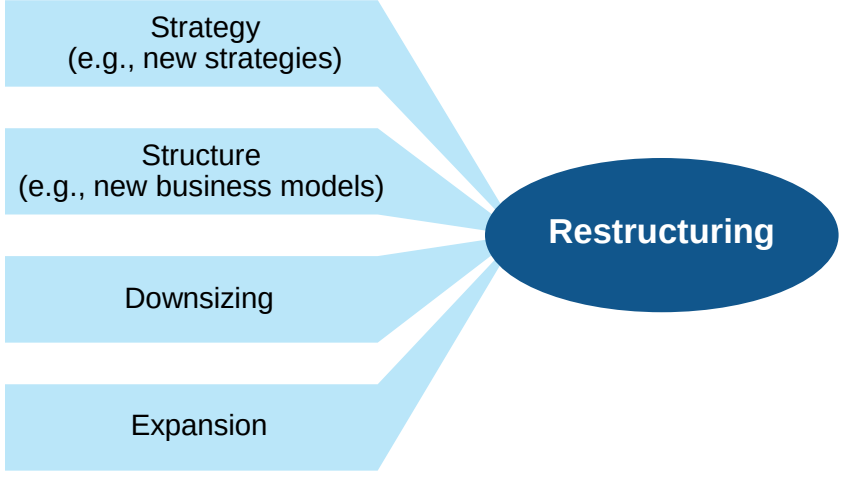
Flexible Staffing Guidelines

- Be cautious of preprinted or standard forms.
- Ensure clarity.
- Negotiate competitive pricing.
- Consider including an ADR provision.
- Include a simple opt-out procedure.
- Negotiate clear and precise provisions for the closing.

Co-employment (joint employment) agreements summarize legal relationship, rights, and obligations for some flexible staffing arrangements.

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Drivers of Restructuring



© SHRM

Forms of Restructuring

- Redistribution of decision-making authority
- Extended organization
- Merger and acquisition (M&A) and divestiture
- Reduction in force (RIF or downsizing)

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Talent Management

Attract, develop, engage, and retain employees with the KSAs needed now and in the future

Talent management decisions:

- Expectations regarding talent differentiation
- Philosophy of integration versus local differentiation
- Role of line leaders in developing talent
- Philosophy of talent mobility
- Diversity goals
- Beliefs about hiring for potential or position

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Talent Pools

Employees who meet a formal set of identification criteria (e.g., high-potential employees or potential global assignees)

- Represent an essential component of strategic business planning.
- Help target employee and career development efforts.
- Can be useful in international assignment planning and deployment.
- Represent a valuable resource during crisis management.
- Can help identify and recognize solid performers.
- May help in compensation decisions.
- Contribute to effective knowledge management.

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Talent Management Tactics

- Develop integrated, proactive, coherent strategy (not ad hoc programs).
- Share accountability with line managers.
- Use knowledge of organization's business environment and plans.
- Identify obstacles to attraction and retention.
- Keep retention factors in balance.
- Track turnover.
- Track successes and capture that knowledge as best practices.
- Market the organization and its brand vigorously to current employees as well as to external talent.
- Align compensation practices with talent retention goals.

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Evaluating the Talent Management System

Approaches to measuring the effectiveness of your talent management system

- Evaluate succession plans.
- Compare internal promotions with external hiring.
- Evaluate pay differential between performance levels.
- Analyze retention rate of high-potential employees.
- Track retention and turnover rates at all levels.

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Succession Planning

Identify and develop high-potential employees for positions critical to future needs.

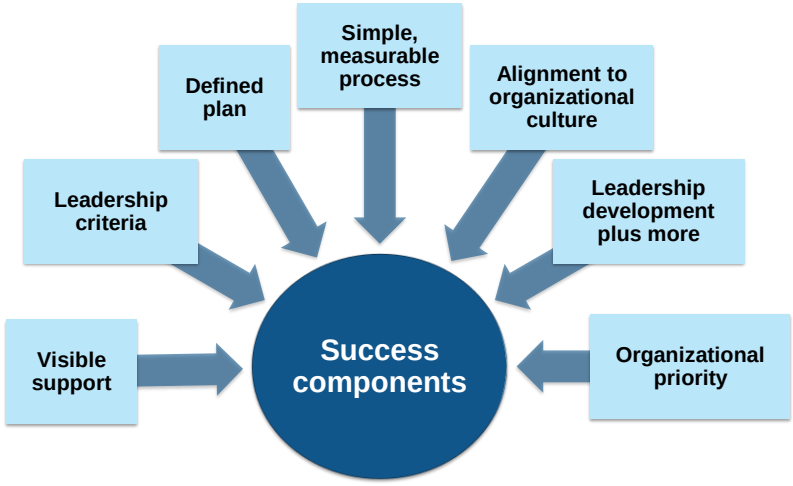
Applies throughout the organization, not just to senior management.

Must be aligned with career management, training and learning, and performance management.

Focuses on long-range needs and cultivation of talent (unlike **replacement planning**, which focuses on immediate needs).

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Ingredients for Effective Succession Planning



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Evaluating Succession Planning

Approaches to measuring the effectiveness of the succession planning system

- Evaluate satisfaction with personal development initiatives.
- Assess management satisfaction with employee performance and job readiness.
- Measure time to full-function attainment.

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Knowledge Management (KM)

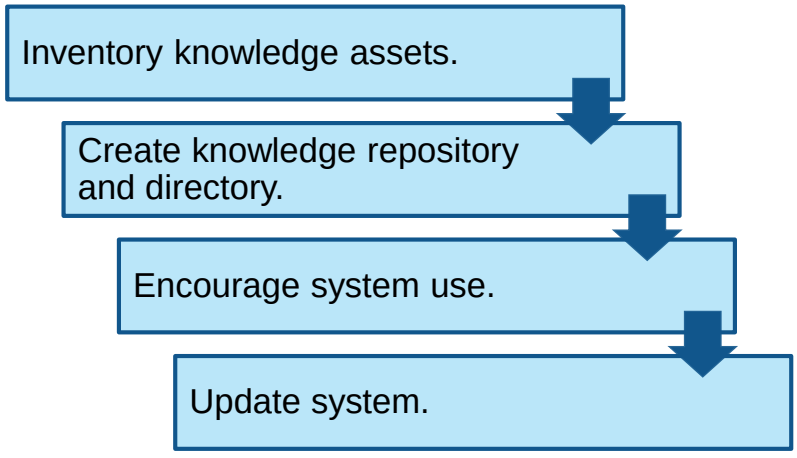
Process of creating, acquiring, sharing, and managing knowledge to augment individual and organizational performance

Institutional Knowledge	
Expertise sharing and organizational learning	Knowledge retention and reduction of loss through employee attrition

KM systems may be informal or formal.

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Developing a Formal Knowledge Management System



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Knowledge Management Success Factors

- ✓ Create and support an appropriate environment and structure.
- ✓ Assess where knowledge exists and may be lost or underutilized.
- ✓ Help people develop requisite skills.
- ✓ Address "What is in it for me?"
- ✓ Develop project criteria.
- ✓ Identify and address multicultural challenges.

Challenge is to transform ad hoc nature of social learning and knowledge transfer into more structured learning and knowledge management opportunities.

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Discussion

Due to business conditions, a CEO calls for an immediate RIF. All functions are directed to follow the CEO's plan for the RIF. The results?

- Meetings to inform selected workers are planned to occur with an HR manager and the site manager.
- However, rumors emerge, and names of selected employees become known.
- Site managers, inexperienced in RIFs, tell workers selected for reduction that they don't know why they were selected.
- During meetings, terminated workers are confused about how they could be fired (because they have always had good performance reviews and pay increases).

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Discussion

How could the company have more effectively prepared the employees for the RIF?

A. Post an announcement and send an e-mail to all employees about the business reasons for the RIF as soon as possible.

B. Answer employee questions as they come up after the RIF.

C. Conduct employee meetings and discuss the RIF and its causes as soon as the decision is made.

D. Do not communicate the bad news to the employees until necessary.

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Feedback

The correct answer is C. Employees should be informed face to face when this type of information is being communicated. Communication should be proactive and direct, include all employees, and come from leaders. This helps to mitigate rumors and would be a positive demonstration of the Communication competency.

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Discussion

Operations expresses serious concerns about the CEO's plans. How should HR respond to operations' concerns?

A. Tell operations to provide HR with the necessary documentation to follow the CEO's plan.
B. Meet with operations to make sure that they fully understand the CEO's plan to select RIF-affected workers.
C. Help operations create a list of critical workers, and then ask the CEO to exclude these people.
D. Listen carefully and sympathetically, but proceed as directed by the CEO.

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Feedback

The correct answer is C. HR is working to address operations' concerns as well as showing leadership in proactively offering sound reasoning to the CEO. Working collaboratively with operations is critical to this relationship, and advising the CEO of the joint decision and the reasoning will benefit all stakeholders. These actions demonstrate the Relationship Management competency.

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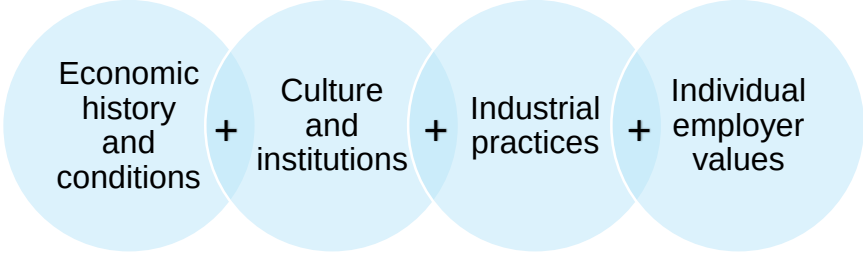
Functional Area #9: Employee and Labor Relations

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The Employment Relationship

Characteristics are influenced by a country's:



HR's task is to navigate through those influences and help shape a relationship with employees that contributes to the organization's success and complies with ethical standards, local laws, and cultural norms.

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International Labor Standards

Reflect a consensus about employee rights and employer responsibilities

International Labour Organization (ILO)

- Issues eight core labor standards that capture key issues related to employee rights.

UN Global Compact

- Provides a policy framework built around ten principles to help businesses meet sustainable goals in human rights, labor, the environment, and anticorruption.

Organisation for Economic Co-operation and Development (OECD)

- Helps countries address globalization issues by researching and promoting changes in environmental, social, and economic policy.
- Issues "Guidelines for Multinational Enterprises."

World Trade Organization (WTO)

- Promotes trade opportunities and facilitates trade dispute resolution.
- Members commit to four core standards.

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Employer Rights Under the Law

Direct employees' work and conduct of the organization in accordance with law.

Protect assets from damage.

Benefit from employee work through intellectual property.

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Employment Contracts

- Norm for employees in many countries; some countries mandate that employers provide contracts within a certain time after hiring.
- Can be implied by employment documents (e.g., pay stubs).
- Must be formally amended.

In the U.S., most employee relations not covered by employment contracts are considered “at will” (EAW). They may be terminated by the employer with no cause, although employers must be careful not to violate antidiscrimination laws or various exemptions (e.g., public policy, implied contract, covenant of good faith and fair dealing).

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Employee Relationship (ER) Strategy

- Alignment with organizational strategy
- Alignment with employment laws and practices
- Vision describing the workplace culture
- Values underpinning the strategy
- Strategic goals
- Strategic initiatives



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Communicating the ER Strategy

Workplace policies

- Broad statements that reflect the employer's ER strategy.
- Provide a basis for HRM practices.

Employee handbooks and codes of conduct *

- Handbooks should reflect the organization's vision and values and be legally compliant.
- Codes of conduct reflect ethical expectations.

Manager and supervisor involvement

- Must understand how ER strategy aligns with management practices.
- Should be able to fulfill the ER strategy in daily work.

* See section on Ethical Practice competency in *HR Competencies* module.

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Labor Relations

Refers to the way organizations manage their relationships with employees as collective group rather than individually

- Frequently involves third parties (e.g., labor/trade unions, works councils, professional associations, government ministries)
- Requires direct HR involvement in developing and implementing labor strategy

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Labor or Trade Unions

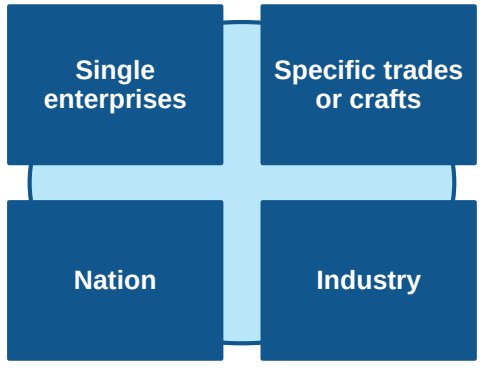
Group of workers who coordinate activities to achieve common goals in their relationship with an employer or group of employers

- Members elect representatives to interact with management.
- Membership may include managers and professionals as well as skilled/unskilled workers.

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Types of Unions

Large or global employers may interact with all types of unions.



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Know Your Union

- Level at which bargaining occurs
- Focus of bargaining topics
- Union penetration or density
- Membership
- Relationship with management
- Role government will play

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Labor/Trade Union Trends

Union responses to globalization include:

- Increasing formal internationalization of unions.
- Pressing for national and international compliance with labor standards.
- Implementing international framework agreements.
- Forming networks and alliances.

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Labor Relations Strategies

Acceptance

Organizations accept unionization for various reasons.

Avoidance

Employers remove the appeal of unions by addressing the major reasons why employees join them.

Adaptation

When a workplace is already unionized, the employer defines the nature of the relationship as confrontational or collaborative.

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For Productive Union Relationships

- ✓ Comply with international standards and all employment laws.
- ✓ Comply with local regulations.
- ✓ Develop fair grievance and dispute resolution processes.
- ✓ Implement joint problem-solving groups.
- ✓ Treat union members equitably and respectfully.
- ✓ Demonstrate genuine appreciation for workers.
- ✓ Consult with union leaders proactively.

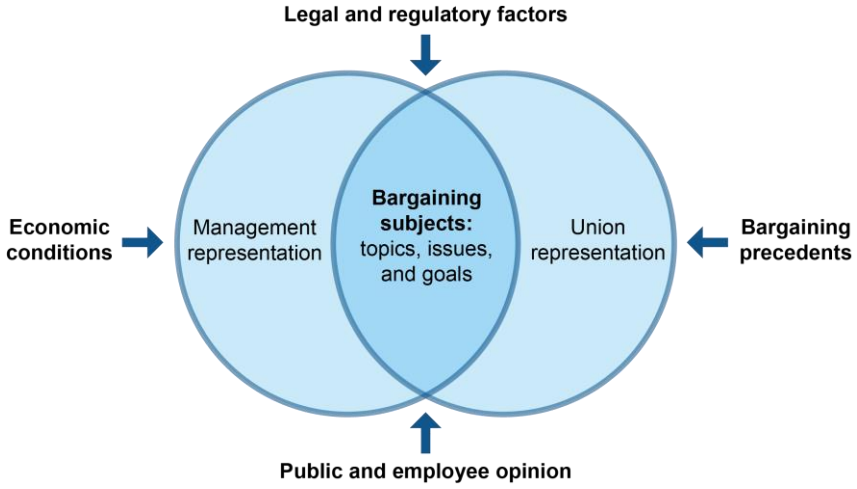
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Global ER Strategies

Hands-off	Locally managed.
Monitor	Headquarters expresses interest, but decisions are made locally.
Guide and advise	Headquarters offers advice and global policies, but decisions are made locally.
Plan strategically	Global policies and local practices are in alignment.
Set limits and approve exceptions	Some local adaptation allowed.
Integrate headquarters and field HR	Joint decision making.
Manage locally from headquarters	Headquarters-developed HR policies and practices with local implementation.

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Collective Bargaining



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Contract Negotiations

- Goal is to arrive at a workable contract acceptable to both sides.
- Outside third-party dispute mechanisms may be used (or may be mandatory) if parties cannot agree.
  - **Mediation (conciliation):** nonbinding dispute resolution intended to help disputing parties reach mutually agreeable decision.
  - **Arbitration:** negotiated procedure in which both parties agree to abide by arbitrator's decision.

HR may not be directly involved negotiations, but they can play a valuable role in improving the quality of the contract based on their experience and metrics.

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Handling Grievances

Immediate supervisor	Next level	Higher-level management	Third-party determination
Grievance filed with supervisor. Supervisor and union representative investigate grievance.	Employee usually not present but is represented by union.	May involve top officials at local or company level. Must be resolved within contract-defined time frame.	Neutral third party used to arbitrate agreement between representatives at highest levels for both sides.

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Works Councils

- Permanent bodies composed of employee representatives on local or organizational level
- Receive information from employer that might affect workforce and enterprise
- Do not engage in contract negotiation

In the U.S., works councils are seen as violating section 8(a)(2) of the National Labor Relations Act, which prohibits company-dominated unions.

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Works Councils Structures

- May include BOTH management and worker representatives or ONLY worker representatives.
- When worker representation only, may or may not involve management oversight.
- Codetermination:
  - Two-tiered corporate governance structure that allows both management and employees to participate in strategic decision making.
  - Topics include anything that affects workers, including HR policies and practices and compensation.

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Governments and Other Groups

Employer or industry associations
Negotiation partner when contracts are at industry or national level

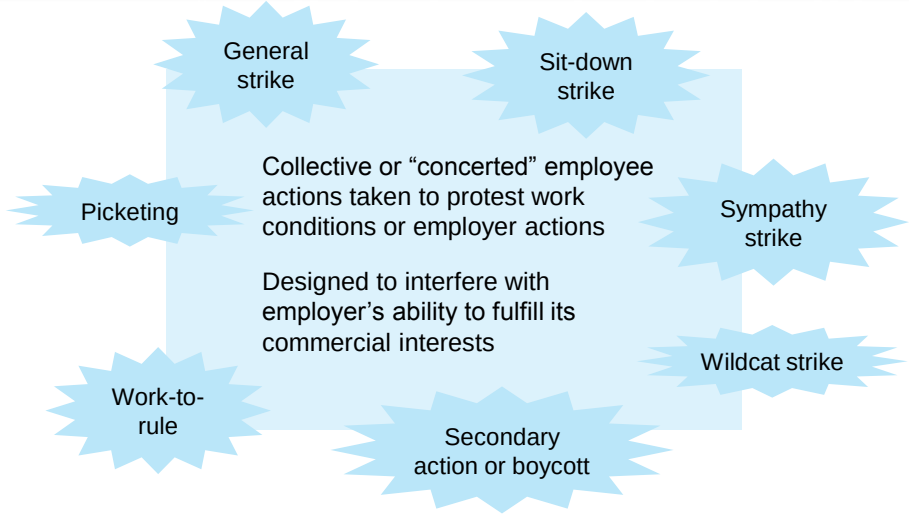
National governments and agencies
Regulator, representative of social interests, sometimes part of negotiations

International groups
Advisory and expert role (e.g., ILO's Global Jobs Pact)

Local governments, nongovernmental organizations, religious institutions, community groups
Apply pressure on social issues, participate in task forces on employee relations issues

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Industrial Actions



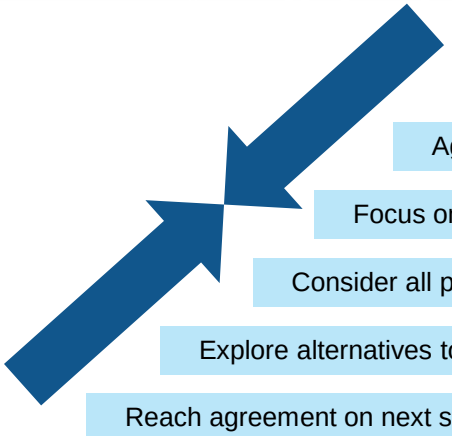
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Unfair Labor Practices (ULPs)

Employer ULPs	Employee/Union ULPs
• Interfering with right to join union • Discriminating based on union membership • Refusing to bargain or provide needed information • Refusing to enforce contract • Controlling or intervening in union operations	• Conspiring with employers to discriminate against employees • Interfering with employees' freedom of speech • Not responding to member complaints • Refusing to bargain in good faith • Requiring unreasonable fees • Directing prohibited actions

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Managing Conflicts with and between Employees



- Listen.
- Agree on goals.
- Focus on issues and facts, not personalities.
- Consider all perspectives.
- Explore alternatives together.
- Reach agreement on next steps.

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Multicultural Aspects of Conflicts

- Cultures differ in their appetites and tolerances for conflict.
- Cultural differences also affect the way in which the existence of conflict is acknowledged and then resolved.



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Supporting Employees in Resolving Their Own Conflicts

- ✓ Train employees in skills needed to engage in direct, one-on-one conflict resolution (e.g., behaving professionally, listening, problem solving).
- ✓ Provide support through employee assistance programs (e.g., anger counseling).

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Third-Party Resolution Techniques

Legal and cultural norms, organizational requirements, and/or collective bargaining agreements can impact the choice and use of ADR.

Open door	Access anyone in chain of command.
Ombudsperson	Neutral third party investigates and mediates.
Single designated officer	Management appoints someone to investigate and resolve.
Chosen officer	Employee selects arbitrator from designated group.
Peer review	Panel of employees (and maybe managers) hears and resolves complaints.
Mediation	Neutral party helps both sides assess positions and reach agreement.
Arbitration	Sides tender dispute to a third-party judge and abide by the decision.

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Agency Complaints and Litigation

- Disputes that cannot be or are not resolved internally may be referred to government agencies or courts.
- HR professionals should be aware of:
  - Orientation of agencies and courts toward employers.
  - Specific role HR plays in complaints and litigation (e.g., active or passive—representing employer or providing evidence).

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Workplace Retaliation

Retaliation: Unlawful discrimination or other adverse action taken against an employee as a result of a conflict or complaint.

Employers should:

- Adopt and disseminate a strong antiretaliation policy.
- Inform employees about process for reporting retaliation.
- Train managers and supervisors.
- Monitor treatment of employees.
- Investigate charges and take corrective action if necessary.

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Conducting Investigations

1. **Ensure confidentiality.**
2. **Provide protection.**
3. **Select investigator.**
4. **Create plan.**
5. **Develop interview questions.**
6. **Conduct interviews.**
7. **Make a decision.**
8. **Close the investigation.**
9. **Develop written summary of investigation results.**

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Disciplining Employees

- Prevent problems by having clear policies, enforcing them consistently, and promoting communication.
- Investigate disciplinary issues and provide employees with due process.
- Adopt a uniform approach to discipline (e.g., constructive discipline).
- Make sure that policies and actions conform to employment laws and business practices.
- Train managers and supervisors.

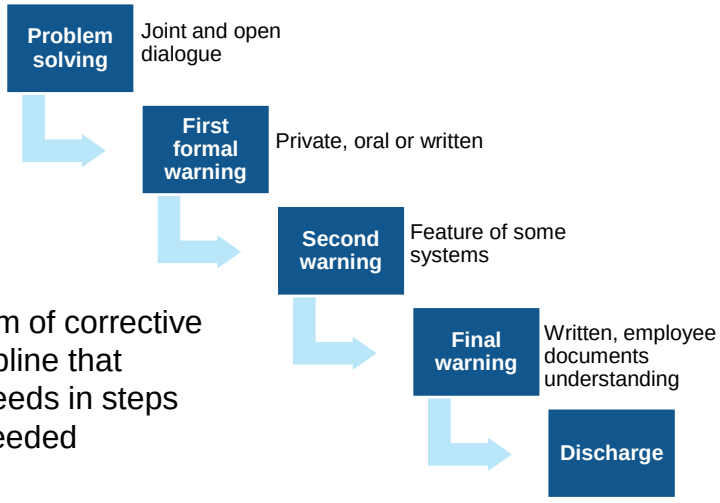
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Tests of Due Process

- ✓ Employee is informed of expectations.
- ✓ Employer is consistent and predictable in disciplinary actions.
- ✓ Action is based on facts.
- ✓ Employee is given the chance for defense.
- ✓ Employee has the right to appeal.
- ✓ Constructive discipline is used.
- ✓ Employee is considered as an individual.

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Constructive Discipline



A form of corrective discipline that proceeds in steps as needed

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Discussion

A family-owned industrial manufacturing company has a warehouse department of approximately 15 men. Most of their work involves driving forklifts to load and unload trucks. The warehouse workers rarely interact with other employees because of the way the facility is laid out.

A female employee bids into the warehouse and gets the job. She is immediately subjected to continuous harassment from coworkers, including dirty jokes and sexually explicit language. The males will usually help each other, but they will not help her.

The company has not done any harassment training for its employees. It has policies about harassment and physical contact but has been inconsistent in enforcement.

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Discussion

The female employee tolerates the behavior at first, but when things don't improve, she complains to the warehouse supervisor. He tells her that she needs a "thicker skin."

The supervisor tells the male employees the female has complained about them, but he does not discipline them. The verbal abuse and poor treatment continue until one day a male employee pinches her and, frustrated, she punches him.

Recently, a second female has bid for a warehouse position and is waiting to be moved into the job.

The HR manager has been discussing this situation with the CEO as it has developed, but the CEO responds by saying, "This is why we never hired women for this job."

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Discussion

- How would you manage the physical altercation, which violated company policy against physical contact?
- How would you respond to the behavior of the warehouse supervisor?
- How would you respond to the CEO?
- What would be the primary Behavioral Competency needed here? Secondary competencies?

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Functional Area #10: Technology Management

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Technology Opportunities and Risks

Opportunities such as the ability to:

- Gather information.
- Share information with more employees.
- Analyze information for patterns and causes.
- Support quicker and more complete communication.

Vulnerabilities such as:

- Over-collection of information.
- Potential loss of privacy.
- Overreliance.
- Lost productivity when systems are down or services or data are unavailable.

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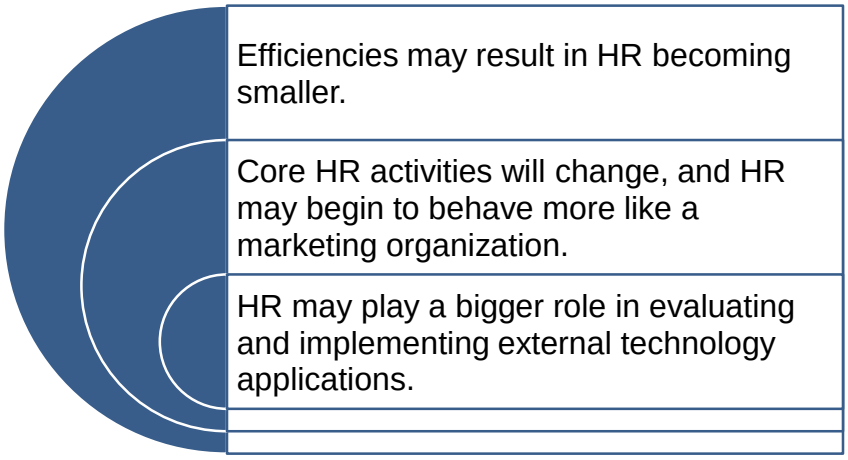
Technology Questions for HR

- Are we using technology to understand our workforce?
- Are we creating and managing relationships with individual employees through technology?
- Is technology helping us integrate the parts of the organization and overcome divisions?
- Are we providing management with more data and analysis for informed decision making?
- Do we understand and incorporate the ways our employees use technology into our processes?
- Are we using technology to improve all aspects of our performance?



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Technology Impact on HR

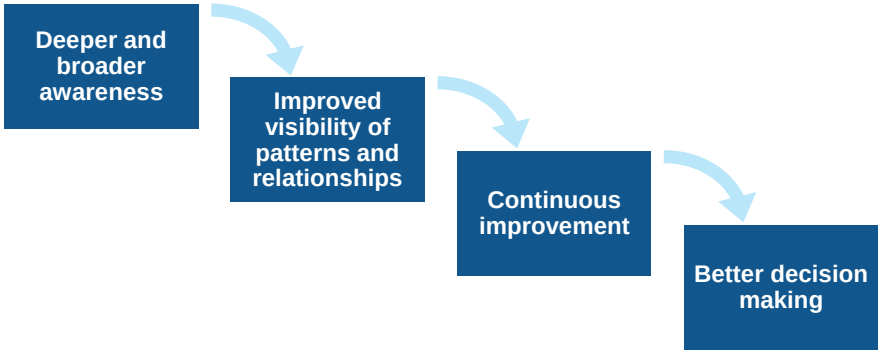


Based on Accenture forecasts

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Technology as an Organizational Tool

Scientific and engineering knowledge put to practical purposes that provides and facilitates:



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Information Management (IM)

Using technology to collect, process, and condense information and efficiently manage the information as an organizational resource

- Evaluates the kinds of information and data an organization requires
- Considers complexity (e.g., “big data”), openness, and real-time interactions

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Data Analytics

The process of studying data to detect patterns and relationships that can be used to make predictions and improve decisions

Good analysis requires data that is:

- Representative.
- Unbiased.
- Unambiguous.
- Error-free.



© SHRM

Benefits of Analytics

Analytics can improve individual and organizational performance because they:

- ✓ Support workforce intelligence in management decision making.
- ✓ Improve workforce planning and forecasting.
- ✓ Shorten recruiting cycles.
- ✓ Reduce recruiting and separation costs.
- ✓ Retain critical talent.
- ✓ Drive succession planning.
- ✓ Use on-demand insights to avoid costly mistakes.
- ✓ Redirect money spent on wrong employee initiatives to more beneficial programs.

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HR and Analytics

A progressive build of human capital analytical applications

- Comprehensive employee database
- Critical talent management
- Differentiated actions to focus HR investments
- Customized employee value proposition
- Sophisticated workforce planning
- Real-time talent supply chain

© SHRM

HR's Role in Managing Technology

Help identify new technologies that aid in the achievement of the organization's strategic HR goals.

Facilitate the change caused by the rapid growth of new technologies.

Manage cultural and strategic changes resulting from the introduction of new technologies.

Changes in technology can alter both the structure of jobs and the structure of an organization.

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Workplace Technologies

- Business process integration
- e-procurement
- Electronic signatures
- Electronic record keeping
- Software as a service (SaaS)
- Cloud computing

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ASP and SaaS

ASP models

Application service provider
- Precursor of SaaS
- Hosts the application from a secure, centrally located server

Software as a service
- Extends the ASP model
- Delivered as a service to multiple customers securely via the Internet
- Customized size, add-on components, or features
- Seamless and regular software updates

SaaS models

© SHRM

Cloud Computing

Uses Internet technologies to deliver scalable IT-enabled capabilities

Offers applications and services over the Internet from data centers (the "cloud")

Repositions software as a service to be consumed, not a product to be managed

Made possible because of increased bandwidth coupled with more computational work being centralized

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Technology Service Delivery Options

License	SaaS	Outsourcing
• Client buys a license, implements and customizes software, and pays vendor for ongoing support. • Client owns both the data and the application. • Upgrades and relicenses every two to three years.	• All clients receive the same software; the vendor owns or leases hardware and manages security and upgrades. • Client owns the data; vendor owns the application. • Upgrades two to three times/year.	• Entire business process is managed by the vendor. • Client owns the data; vendor owns the application. • Upgrades are to be determined.

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Other Workplace Technologies

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- Mobile learning
- Gamification
- Workplace of the future
- Tools for collaboration and information sharing
- Blogs

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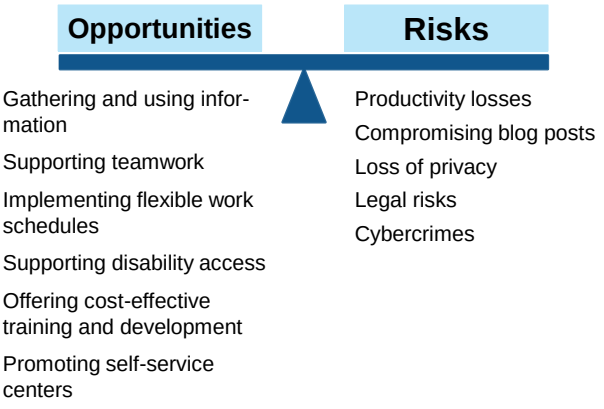
Other Workplace Technologies

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

- Social media
- Social networking
- Self-service human resource systems (ESS and MSS)
- Sustainable technology
- Wearable technology

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Managing Technology Risks



Opportunities can be leveraged; risks can be accepted, eliminated, or managed.

© SHRM

Advantages of HR Technology

- ✓ Streamline HR processes and reduce administrative burdens through improved efficiencies.
- ✓ Reduce HR administration and compliance costs.
- ✓ Provide real-time metrics to help spot trends and facilitate HR planning and managerial decision making.
- ✓ Improve service and self-service access to data for employees and managers.
- ✓ Enable shared service delivery models/outsourcing.
- ✓ Compete more effectively for talent.

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HR Technology Applications

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Technology enables HR to provide more effective value-added services and engage in more strategic activities.

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HRIS and ERP Systems

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HRIS

- Enables HR to gather, store, maintain, retrieve, revise, analyze, and report HR data
- Offers great potential to increase efficiency, improve results, and lower costs

ERP System

- Contains a shared database, common tools, and function-specific software applications that are integrated
- Allows functions to share data through a common database

Some HRIS are stand-alone applications, but others—especially in larger organizations—may be part of an organization-wide ERP system.

© SHRM

High-Level HRIS Selection Considerations

Development	Build in-house, purchase a customized off-the-shelf system, or outsource to an external vendor?
Integrated solution or "BoB" options	Single platform (integrated solution) or multiple smaller "best of breed" solutions? Deliver on-premise, hosted, or SaaS?
Data access	HR portals, employee self-service (ESS), manager self-service (MSS), and decision-maker access?
Database structure	Designing and creating database management system (DBMS)
Data protection	Necessary security to control exposure of sensitive data, loss of sensitive personnel data outside the organization, and unauthorized updates of key data

© SHRM

HRIS Implementation

Generally, the steps involve:

- Assessing organizational needs.
- Assessing project parameters.
- Evaluating available packages against needs and parameters.
- Selecting a project committee and implementation team.
- Identifying vendor requirements.
- Soliciting vendors.
- Screening qualified vendors.
- Inviting vendors to present capabilities.
- Choosing between finalists.

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Systems Integration

Continuous integration ("waterfall") approach

- Integrates components as they are developed into multiple mini-versions of the HRIS system
- Yields results successively closer to the final HRIS
- Allows identification and troubleshooting of most problems as they arise

"Big bang" approach

- Integrates components when everything is ready
- Tests the whole system when everything is finished
- Time-consuming testing and troubleshooting

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Collaboration

Describes the strategy of enabling highly diversified teams to work together—inside and outside an organization—both physically and virtually to create value

- "Groupware" is the umbrella term for specialized collaborative software applications.
- Numerous groupware products with varied sophistication:
  - Teleconferencing
  - Videoconferencing
  - Webconferencing
  - Telepresence



© SHRM

Collaboration Policies and Approaches

Organizations have introduced communication practices designed to maintain structure while, as much as reasonably possible, allowing for natural aspects of human interaction.

Examples:

- Meeting times and meeting agendas
- Control over technological tools
- Overlapping technologies used concurrently for multiple means of access
- Recording discussions/meetings
- Using passcodes to restrict participation to invitees
- Hierarchies of authority for access to documents
- Legal disclaimers outlining rights/responsibilities
- Balancing security and rights protection with accessibility

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"Bring Your Own Device" (BYOD)

Realistic BYOD policies allow employees to use their personal digital devices to access the organization's network but define certain restrictions on their use.

- Restrict the use of personal devices while the employee is working in the workplace.
- State which devices will be supported by IT and the requirements for using the device.
- Clarify financial arrangements and legal rights.
- Define security measures.

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Social Media

HR and HR issues are at the center of this revolution in communication and employee relations.

Requires a comprehensive social media policy and appropriate IT usage role-modeling by leadership to leverage benefits and reduce risks of employee misuse.

Effective workplace social media policies and practices:
- Are aligned with the organization culture.
- Focus on smart and ethical use.
- Reflect key legal and reputational risks.

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Social Media Policies and Approaches

Personal Posting

- Must balance restrictive and permissive aspects.
- Characteristics include:
  - No posting using the organization's resources.
  - Guidelines about posting content about the organization.
  - Rules about personal endorsement of the organization's products or services.
  - Rules for personal posts about colleagues.

Organization-Sponsored

- Characteristics include:
  - Who may post.
  - Guidelines for acceptable behavior for those who post.
  - Authorship and disclaimers.
  - Guidelines for handling comments.

© SHRM

Networking (Social Networks)

Generally refers to the online clustering of individuals in groups with common or shared interests

- Social networking services (SNSs) or social networking sites connect individuals, regardless of their geographic locations.
- Types of social networks in the workplace include:
  – Informational.
  – Professional.
  – Academic.
  – Training and development.

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Networking Policies and Approaches

- ✓ Review the employee handbook for related policies and practices; assess if they are working and require employees' signed acknowledgment.
- ✓ Consult with IT staff to establish relevant technologies.
- ✓ Consult with legal counsel to identify specific business or industry issues for inclusion.
- ✓ Determine the equipment or devices in use and whether the organization or the employee owns them.
- ✓ Develop policies (draft, review, and revise) for each technology.
- ✓ Communicate and enforce policies.
- ✓ Keep policies up-to-date.

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Communications Policies and Approaches

Help to provide a balance between a congenial workplace where talent is prized and one that protects the organization's proprietary information, security, and legal interests

- Indicate that the organization reserves the right to monitor all technology use and communications made or received on the organization's equipment.
- Explain monitoring policies to remove the expectations of privacy.
- Clarify situations in which an employee must obtain approval for Internet postings.
- Specify prohibited postings or disclosures (e.g., any confidential, proprietary, or intellectual property information).
- Establish that employees will be held accountable for any violation of laws and policies.

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Information Security Awareness

"Hacking" (or hack) has evolved to hold a double meaning:

- The act of deliberately accessing a computer without permission
- Constructive IT problem solving or learning through trial-and-error

Hacking tactics can take many forms, such as:

- Phishing.
- Fake e-cards or job openings.
- Phony security alerts.
- "Click this link" scams.

"Social engineering" is also being used to describe the mindset and tactics of unethical hacking.

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Unethical Hacking or Social Engineering Policies and Approaches

Organizations and individuals must remain vigilant in efforts to fend off unethical hacking and social engineering.

- Never disclose passwords.
- Never give private information to anyone you do not know or who does not have a legitimate need for it.
- Click links only from trusted sources.
- Delete unsolicited e-mails; do not open, forward, reply to, or click links or attachments in them.

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Discussion

A retail operation has stores in five locations and a corporate office in which one HR director handles all HR functions. The organization has about 150 employees; 20% are full-time and the remaining 80% are part-time. The organization has approximately 40% turnover annually at their retail stores. The owners are planning to increase the number of stores to ten within the next five years.

Currently, the only automated HR function is payroll. The rest are managed through paper or spreadsheet. Because of a previous incident within the organization, management is very concerned about the limits of data security with electronic systems.

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Discussion

The HR director is concerned about being able to maintain accurate records while adding the number of employees but also wants to reduce the amount of time spent on administrative functions and focus more on talent management, retention, and employee engagement. There is no performance management program or compensation structure in place. Currently, the HR director spends 30% of available time updating the payroll system, spreadsheets, and other related information to add and delete employees.

At a recent SHRM chapter meeting, a technology vendor conducted a demo of an HRIS. The human resource director believes a product like this would reduce the time spent on administrative functions and increase time spent on strategic activities.

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Discussion

What is the first step the HR director should take to invest in an HRIS for the organization?

A. Contact the vendor that presented at the SHRM chapter meeting and request a quote.
B. Involve appropriate stakeholders to analyze an investment in an HRIS.
C. Talk with several HR professionals to obtain feedback on the systems they use in their organizations.
D. Create a business case to identify the reasons to implement an HRIS.

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Feedback

B is the correct answer. A business case will most likely be needed (D), but the case will be stronger with more perspectives and allies. As a first step, involving other stakeholders will improve the quality of the business case.

A is incorrect because an analysis of benefits and costs to the organization should be completed first. C yields information that may be useful in preparing a request for proposal, but it is not a first step.

This question calls for using the Business Acumen competency.

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Discussion

What would be the best way to handle management's concern about data security in an HRIS?

A. Collaborate with internal IT professionals trusted by management to develop a security strategy.
B. Request a contract from the HRIS vendor that assures that the system is secure.
C. Arrange for a meeting between management and the HRIS vendor's security professionals to reassure management that the data is protected.
D. Convince management to implement the system so they can have firsthand evidence of the security of the system.

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Feedback

A is the correct answer. Involving trusted IT professionals shows the HR director's awareness of this management issue and uses collaboration to address the concerns. This demonstrates use of the Consultation competency.

B is incorrect. A contractual promise does not equate with the ability to perform, and management is likely to know that. C is plausible because it brings in expert advice, but management will probably trust internal IT experts more than external experts. D is incorrect. Even if HR is successful in persuading management to go ahead with analysis, any security breach will hurt the organization's and HR's credibility.

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Functional Area #11: HR in the Global Context

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Globalization Dimensions

Three unprecedented key dimensions are:

Speed—and constancy—of communication

+

Degree—and breadth—of impact

+

Omnidirectionality of operations

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Defining Globalization

"The inevitable integration of markets, nation-states and technologies to a degree never witnessed before…"

Thomas L. Friedman

Globalization changes the way we see the world around us and how we interact with all the dynamic forces.

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Connections in a Globalized World

- HR needs to distinguish between large-scale forces and trends and more immediate events and “trendy” phenomena.
- Global forces (political, economic, social, technological, legal, environmental) are and should be seen as interconnected.
- While a given force’s effects are global, their impact on different cultures, industries, and organizations may be unique.

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Forces Shaping Globalization

Shift from Developed to Emerging Economies

Foreign Direct Investment	The Diaspora	Demographic Dichotomy	Reverse Innovation
• Investment of foreign assets into domestic structures, equipment, organizations • Leading indicator of shift and major feature of globalization	• Mass migration from homeland to multiple destinations • Communities of voluntary emigrants bonded by common heritage	• Younger work-force in emerging economies; aging workforce in developed economies • Creates educa-tional, skills dividends and deficits	• Innovations created for or by emerging markets and then imported to developed markets

© SHRM

Forces Shaping Globalization

Hyperconnectivity

We are all instantly, constantly, globally connected.

Measurability	24/7 Global Workplace
• Data mining and analytics enable new types of data to be analyzed. • What gets measured is what gets acted on.	• Blurring of public and private lives. • Achieving work/life balance. • Data privacy issues.

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Role of Global HR

Help create the organization's global strategy.

Align HR processes and activities with that strategy.

Enhance communication between the organization and its stakeholders.

Ensure that HR can fulfill its role and demonstrate its value.

Adapt to the cultural and legal contexts of each area of the global organization.

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Reasons for Globalization



- Saturated local markets
- Increased cost pressures
- Decreased local access to materials and talent
- Restrictive government policies
- Trade agreements that increase domestic competition
- Globalized supply chain

- Greater strategic control
- Policies promoting outward foreign investment
- Trade agreements that offer protection of intellectual property

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Strategic Globalization: GI

Global Integration

Key Elements	Advantages
• Consistency of approach • Standardized processes • Common corporate culture across global operations	• Economies of scale • Integrated value chain activities • Serve globally integrated customers • Global branding • Shared organizational capabilities and knowledge • Better quality assurance • Leverage global assets for local competition

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Strategic Globalization: LR

Local Responsiveness

Key Elements	Advantages
• Adapt to needs of local markets • Allow subsidiaries to develop unique products, structures, and systems	• Better respond to local customer needs or specialized local distribution demands • Gain efficiencies from using local substitute products and components, local workforce, local networks • Better/easier compliance with local laws and regulations

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Global HR in GI and LR Strategies

Global Integration

Strategies focus on:

- Building and communicating a common organizational culture
- Developing HR practices to manage international assignments

Local Responsiveness

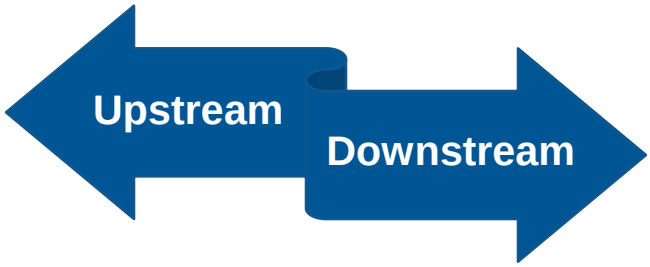
Strategies focus on:

- Promoting cultural awareness
- Mitigating cultural bias
- Ensuring alignment of local HR practices with global HR strategy
- Developing the entire talent pool

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Global-Local Models

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Upstream decisions made at headquarters:

- Strategy and coordination
- Standardization of processes and integration of resources

Downstream decisions made locally:

- Adapting strategic goals and plans to local realities

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Global-Local Models

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- Embraces diversity in management of people, products/services, and branding.
- Product/service offerings and brand identity may be adjusted for local cultures.

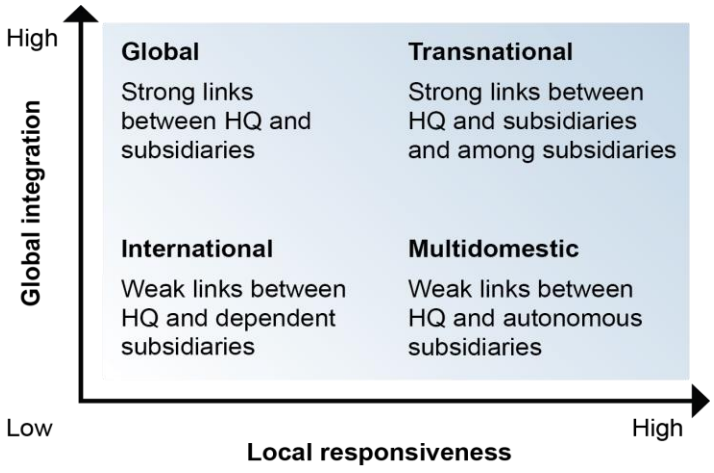
Are underlying operations integrated across locations?

- Technology platforms
- Business performance metrics
- HR systems

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Global-Local Models

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GI-LR Matrix: International

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International Strategy	
Description	• Exports a product or service to foreign countries. • May open local production facilities or service centers, but products, processes, and strategy are developed in the home country.
HR activities	• Administer services related to international assignments.

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GI-LR Matrix: Multidomestic

Multidomestic Strategy	
Description	• Decentralized portfolio of subsidiaries. • Goals and strategies are developed locally to stay competitive. • Knowledge is shared on a local rather than global level.
HR activities	• Provide services to assignees and training on legal and cultural issues. • Coordinate HR activities in host countries.

© SHRM

GI-LR Matrix: Global

Global Strategy	
Description	• Views the world as a single, global market. • Strategy, ideas, and processes emanate from headquarters. • Offers global products with little or no national variation.
HR activities	• Standardize hiring and orientation. • Learn HR practices in all regions so headquarters can develop appropriate policies. • Identify employees who can work in different cultures. • Decide where to locate HR activities.

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GI-LR Matrix: Transnational

Transnational Strategy	
Description	• Locates value chain activities in most advantageous geographic locations. • Subsidiaries can adapt global products and services to local markets. • Best practices and knowledge are shared throughout the organization.
HR activities	• Manage diversity and cultural distances. • Ensure that technology and processes aid knowledge exchange. • Develop global HR policies with local input.

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Perlmutter's Headquarters Orientations

Ethnocentric	• Headquarters maintains tight control over subsidiaries. • "One best way."
Polycentric	• Subsidiaries develop strategies consistent with local business practices and cultures. • "Many best ways."
Regiocentric	• Communication and coordination are high within the region but not between regions and headquarters.
Geocentric	• Headquarters and subsidiaries form a network, each contributing specific expertise. • "Team way."

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Outsourcing

What is it?	• Transfers portions of work (e.g., processes or production) to outside suppliers rather than completing it internally • Contracts out (or subcontracts) activities
Why is it done?	• Reduces costs • Frees up personnel and resources for other activities

Outsourcing encompasses several types of external work arrangements (e.g., offshoring, onshoring, and near-shoring). The key difference is the location of the outsourcing.

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Offshoring

What is it?	• Relocating processes or production to another country (e.g., from developed countries to distant developing countries)
Why is it done?	• Lower costs • Closer proximity to production resources • More favorable economic climate for taxation • Financial incentives • Access to talent • Round-the-clock shifts • “Follow the sun”
What is changing?	• Eroding cost-saving dynamics • Creation of a new middle class in offshoring destinations • Political fallout in developed countries

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Onshoring

What is it?	• Relocation of business processes or production to a lower-cost location inside the same country as the business • Sometimes called “home-shoring” • May include employees working from home
Why is it done?	• Lower operation costs • Benefits of having local employees

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Near-Shoring

What is it?	• Contracting a part of business processes or production to an external company located in a country that is relatively close
Why is it done?	• Similar financial and legal constraints or trade agreements that provide social and economic stability • Shared cultural values and similar mindset • Proximity benefits (e.g., time differences and reduced travel costs)

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HR Due Diligence in Moving Work

Cost and quality	✓ Wage structure ✓ Tax structure	✓ Real estate ✓ Infrastructure
Sociopolitical environment	✓ Government receptivity and regulations ✓ Ethics in politics and business	✓ Quality of life ✓ Accessibility
Risk levels	✓ Political and labor unrest ✓ Natural disasters ✓ IT security ✓ Personal/property security, intellectual property rights	✓ Economic stability (e.g., currency fluctuations) ✓ Regulatory stability
Talent pool	✓ Language and cultural differences ✓ Size of labor force with required skills	✓ Size of offshore sector and share of exports ✓ Availability of qualified vendors for services

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HR Global Tasks

Strategically

- Balance priorities of headquarters and subsidiaries.
- Understand and appreciate disparate businesses.
- Identify critical success factors in each locale.

Tactically

Develop programs that can:

- Deliver measurable success.
- Work in different cultural and sociopolitical contexts.

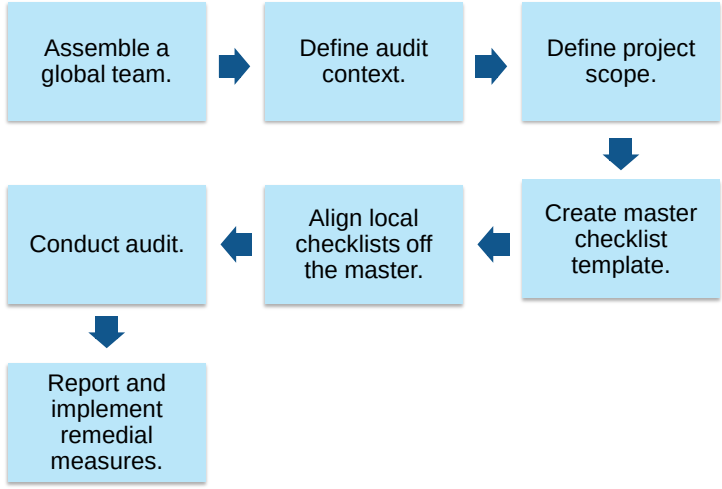
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HR Global Skills

- Develop a strategic view of the organization.
- Develop a global organizational culture.
- Create a safe and robust talent supply chain.
- Use and adapt HR technology.
- Develop meaningful metrics.
- Develop policies and practices to manage risks.

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Auditing Global HR Practices



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Managing Global Assignments

Strategic-Systematic	Tactical-Reactive
Approach as long-term investments.	Approach as short-term expenses.
Develop executives with global perspectives to create and manage competitive strategies.	Quick-fix approach to short-term foreign operation problem.
Improve coordination among the home office and foreign operations.	Randomly and haphazardly perform assignment functions, shifting focus as problems arise.
Disseminate information, technology, and values throughout the worldwide organization.	Fail to integrate the worldwide organization's values, technology, products, and brand.

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Types of Global Assignments

- **Globalists**
  - Spend whole career moving from one locale to another
- **Local hires**
  - Host-country nationals
- **Short-term assignees**
  - Less than a year but more than a few weeks
- **International assignees**
  - Traditional expatriates on one- to three-year assignment
- **Just-in-time expatriates**
  - Ad hoc or contract workers hired for single assignment

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Global Assignment Guidelines

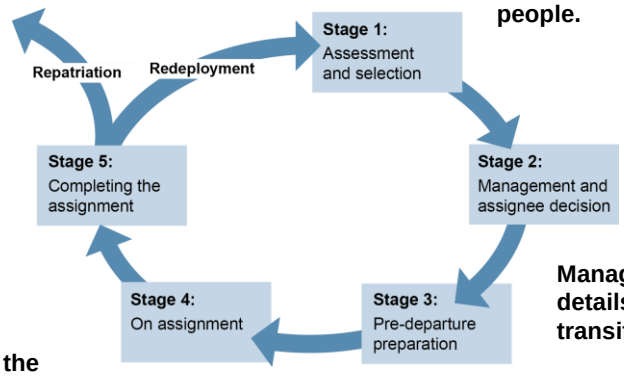
- View assignments as a process, not an activity.
- Recognize and consider all dimensions of the assignment experience.
- Conduct thorough and professional assessments of candidates.
- Establish and maintain realistic expectations.
- Provide training.
- Provide appropriate health and safety support.
- Provide well-planned, ongoing training and support.
- Plan, prepare for, and support repatriation.
- Address problems quickly, thoroughly, and responsively.

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Global Assignment Process

Find the right people.

Engage repatriated employees and access their knowledge.



Manage the details of the transition.

Provide support throughout the assignment.

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Global Assignees: Assessment and Selection

1. Develop the selection criteria.
2. Involve the right people.
3. Choose the best selection methods and tools.
4. Complete the assessment/ make a recommendation.

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Global Assignees: Management and Assignee Decision

Analysis of the costs and benefits of the assignment

Preparation of the assignment plan

Candidate acceptance or rejection of the assignment offer

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Global Assignees: Pre-Departure Preparation

Visas and work permits	Adequate time to obtain the necessary documents and awareness of expiration dates
Security briefings	Briefings about personal and family safety abroad and business aspects of security
Cross-cultural counseling	Counseling before and during the assignment to increase the probability of success

© SHRM

Global Assignees: On Assignment

Honeymoon
Everything seems new, exciting, exotic.

Culture shock
Challenges of living and working abroad become clear.

Adjustment
Understanding host-country norms and patterns and how to get things done.

Mastery
Ability to participate fully and comfortably in the host country.

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Global Assignees: Completing the Assignment

Repatriation

- Involves reintegrating the employee back into the home country
- Includes adjustment to a new job and readjustment to the home culture and conditions

Redeployment

Involves deployment to:

- A different global location
- A new location or new position in the current host country

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Discussion

An HR manager works in South Africa for a U.S.–based company and reports to the owner. The manager has recently had two experiences with the owner that have left the manager puzzled about the next best step.

In the first instance, the owner ordered HR to terminate a local employee who had resisted the owner's marketing ideas. "Just find a reason and fire him," the owner says.

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Discussion

In the second instance, the owner directs HR managers in all overseas operations to roll out a 360-degree assessment program. The owner believes this assessment approach has been very effective in the U.S. and will improve management performance in the company's remote operations.

The HR manager has delayed responding to the owner about these two issues for a couple of days but must act soon.

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Discussion

How should the HR manager advise the owner on the termination issue?

A. Present the issue as a matter of risk management.
B. Review the employee's records to see if there are grounds for termination.
C. Tell the owner that this is not the way disagreements are handled in South Africa.
D. Ask the company's lawyer to speak with the owner and change his mind.

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Feedback

The correct answer is A. This termination action is a risk that could harm the company. The company will probably be violating an employment contract and will be subject to economic penalties. The issue will also tarnish the employer brand in that country. This answer will build HR's credibility and value with the owner and demonstrates the Consultation competency.

B is unethical and a violation of HR's responsibilities to provide sound guidance to the organization's leader. C is truthful from a cultural perspective but does not address the risk management issues. D is incorrect. This type of issue is clearly an HR responsibility, and the manager should not try to transfer it to someone else.

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Discussion

How should the HR manager respond to the direction about implementing 360-degree feedback?

A. Say that it's a good idea that is worth trying and learning from.
B. Implement the system but review feedback before forwarding it to the home office.
C. Call the owner to discuss why cultural differences may make implementing this approach difficult.
D. Send a "Reply all" e-mail, explaining the academic grounds for the approach used in South Africa.

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Feedback

C is the correct answer. The HR manager needs to provide honest feedback that could help avoid an action that, at best, would not result in the desired outcome and, at worst, could damage employee engagement. In a high power distance culture, employees are unlikely to provide candid feedback about superiors' performance.

A only protects the HR manager from the owner's reaction. The manager is not providing honest feedback. B is incorrect. The HR manager would be neglecting responsibility and also committing an ethically questionable act by censoring feedback. D would help educate the owner about the cultural differences that underlie approaches to performance assessment. However, it is probably a mistake to make this argument with the entire group rather than creating a dialogue with the owner.

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Functional Area #12: Diversity and Inclusion

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Defining Diversity

"The similarities and differences between individuals, accounting for all aspects of one's personality and individual identity"

SHRM, "Introduction to the Human Resources Discipline of Diversity"

Our view of diversity is changing…

FROM	TO
Defensive	**Strategic**
A matter of legal or ethical compliance	A valuable asset to be leveraged

© SHRM

Diversity of Thought

Diversity adds to an organization…

- A broader range of perspectives and modes of thinking.

This results in…

- Greater innovation, creativity, and problem-solving capabilities.

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Defining Inclusion

Diversity asks: "Who do we bring into our organization?"

Inclusion asks: "How do we make them feel welcome?"

- Inclusion is how you leverage the value of diversity.
- Diversity is the byproduct of effective inclusion.

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Defining "Covering"

Diversity **Without** Inclusion

When an organization promotes assimilation—not inclusion—employees learn to "cover":

- Appearance
- Affiliation
- Advocacy
- Association

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Diversity and Globalization

Global forces driving diversity include:

- "Demographic dichotomy."
- Diaspora of increased global migration.

Global challenge for diversity efforts:

- Different cultures have different attitudes and different laws concerning, for example, women and minorities.

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Benefits of Diversity

- Improved creativity and innovation
- Recruitment and retention
- Market strengths
- Branding
- Global integration/local differentiation

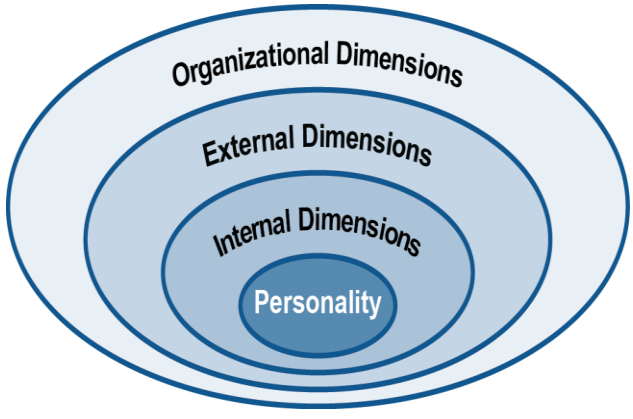
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Costs and Challenges of Diversity

- Fragmented, nonproductive, indecisive teams
- Increased costs and time frames:
  - — Training
  - — Recruitment
  - — Management
  - — Strategic design and implementation
- Communication difficulties
- Blurred branding
- Stereotyping
- Global integration/local differentiation

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Four Layers of Diversity



Source: Gardenswartz and Rowe

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Visible and Invisible Diversity

Visible Traits

Generally external physical characteristics that are easily recognizable

Examples:
Culture, ethnicity/race, nationality, gender, physical attributes, age, language

Invisible Traits

Attributes that are not readily seen

Examples:
Perspectives and life experiences, including education, family status, values and beliefs, work styles, socioeconomic status

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Why Does Diversity Falter?

Organizations must truly embrace diversity and integrate varied lifestyles, beliefs, and needs into business culture; no edicts from "on high" will lead to true change.

Ways to Increase Diversity

- Voluntary training
- Self-managed teams
- Cross-training
- College recruitment targeting women and minorities
- Mentoring for women and minorities
- Diversity task forces
- Diversity managers

Based on Frank Dobbin and Alexandra Kalev

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Why Do Organizations Need D&I Strategies?

Reason 1: Priority

D&I efforts will always have a lower priority than more immediate concerns.

Reason 2: Complexity

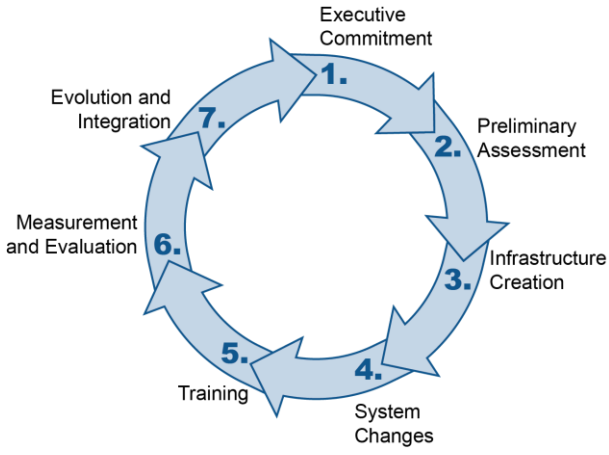
D&I's complex problems need a strategic, organization-wide solution.

Reason 3: Resistance

D&I involves major organizational change—and change is hard.

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D&I Strategic Process



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D&I Strategic Process

1. Executive Commitment

To make the business case for D&I, you must:

- Show that it can play a critical role in achieving core business goals.
- Link it to your organization's unique mission, vision, and business objectives.
- Realign it over time with corporate strategic reevaluation and repositioning.

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D&I Strategic Process

2. Preliminary Assessment

Twofold purpose:

1. **Identify current needs** to set corresponding priorities, goals, and objectives.
2. **Provide benchmarks** to measure the success or failure of subsequent D&I strategies.

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D&I Strategic Process

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3. Infrastructure Creation

Diversity councils

Task forces to define and guide the D&I initiative

Employee resource groups

Voluntary groups for employees who share a diversity dimension

Strategic alliances

Formal links with national and global diversity organizations

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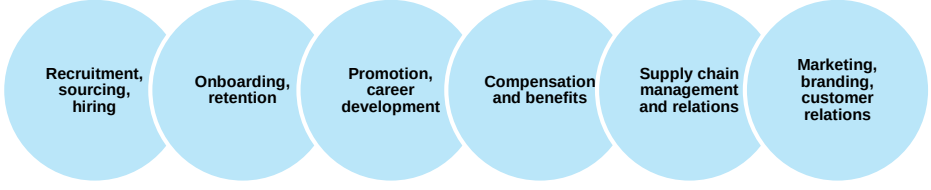
D&I Strategic Process

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4. System Changes

Review and revise to align with diversity goals:

- Organizational systems
- Operational processes, procedures, and practices

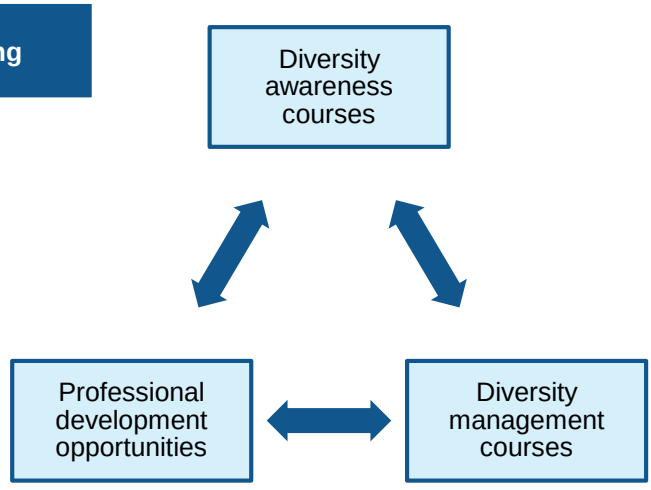


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D&I Strategic Process

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5. Training



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D&I Strategic Process

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6. Measurement and Evaluation

Process Measures	Results MeasureS
• How did we do? • What went well? • What didn't? • Why?	• What difference has it made to the organization?

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D&I Strategic Process

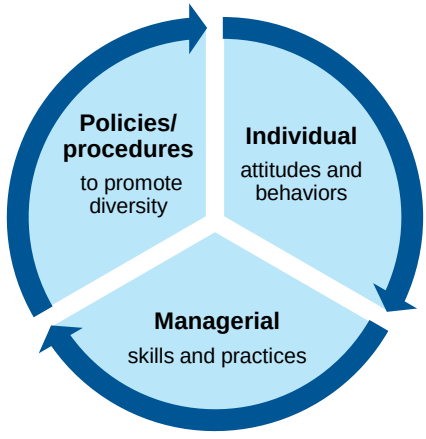
7. Evolution and Integration

Integration	• Make D&I part of "the way we do business" and "who we are"
Evolution	• Global expansion • Initiative's own success • Shifts in focus over time

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Aspects of Organizational Change

HR's role: Ensure that the D&I strategy positively influences…



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Individual Attitudes/Behaviors

Relational skills

- Emotional intelligence
- Intercultural wisdom
- Building trust
- Managing conflict
- Negotiating



Global mindset

Instilling these qualities throughout the organization is a critical outcomes-based HR responsibility.

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Managerial Skills and Practices



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Policies/Procedures to Promote Diversity

HR's challenge is to ensure that every policy applies equitably and fairly across:

All diversity dimensions	All functions	All global locations
Including: • Gender • Sexual orientation • Race • Ethnicity • Culture • Religion	Including: • IT • Finance • Administration • Manufacturing	Including: • Mix of highly diverse cultures

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Dimension-Specific Issues

Each diversity dimension presents unique issues and challenges.

Diversity Dimensions

- Personality
- Sex
- Sexual orientation
- Religion
- Ethnicity and race
- Nationality (culture)
- Age
- Physical ability
- Family status
- Socioeconomic status
- Veteran status
- Organizational function/level

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Discussion

A company has been in rapid growth mode for 18 months and shows no signs of slowing down. Although this is good for business, the HR function has had trouble keeping up with the recruiting.

The vice president of HR has received CEO approval for two new HR staff members: one new recruiter and one newly created diversity manager to align with the organization's mission of celebrating diversity and inclusion. The diversity manager will assist the company in improving the culture of diversity inside the office and creating a strong employment brand outside the office.

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Discussion

The newly recruited workforce is made up primarily of Millennials, and more established managers see the Millennials' work habits as "lax." Other related events, the vice president notices, include:

- A request to begin affinity groups at work (e.g., LGBT, women, ethnic groups).
- A discrimination suit filed by a minority worker.
- A request to terminate a disabled employee.

It appears that the recent hiring increase has brought about an increase in intolerance. There are more issues of conflict in the workplace and less feeling of an organizational identity.

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Discussion

What is the first step the diversity manager should do to establish the new role in the organization?

A. Meet with all of the Millennials in the office to determine what their needs are.
B. Schedule a meeting with the executive team to discuss the departmental strategies.
C. Align the departmental plan with the mission of the organization to celebrate diversity and inclusion.
D. Prepare a plan to present to the executive team modeled on a plan used by the diversity manager's former employer.

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Feedback

C is the correct answer. It is imperative that the HR strategy cascade down from the organizational strategy to ensure alignment. This demonstrates Leadership and Navigation, championing HR's role within the organization's mission and vision.

A focuses on one group, the Millennials, and so is not consistent with the manager's broader charge. B is a plausible action, but this should not be a first step. The diversity manager should first analyze the situation and be prepared to present ideas to the executive team. D is incorrect because D&I plans cannot be copied from one organization to another.

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Discussion

What is the best action the vice president of HR can take to support the diversity manager in implementing this initiative?

A. Ask the CEO to make a webcast explaining the importance of the diversity initiative.
B. Conduct a culture audit.
C. Advise management to slow hiring while the problem is being addressed.
D. Instruct managers to begin including tolerance of diversity in performance appraisals and promotion decisions.

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Feedback

B is the correct answer. HR must understand fully the nature and scope of the cultural issues before designing a response. This demonstrates use of the Critical Evaluation competency.

A involves leadership voicing its commitment and reasoning, but the first step is to understand the problems. C is probably unrealistic from a Business Acumen perspective and also fails to apply Leadership and Navigation to the situation. D is incorrect. Without sufficient attention to changing the organization's culture, this may only make matters worse.

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Functional Area #13: Risk Management

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HR and Risk Management

HR's historic position was:

- Limited to health, safety, and security.
- Inclined to avoid risk.
- Reactive, responding to issues after they occurred.

Today, HR must appreciate:

- The presence of risk and the need for risk management in all of HR's responsibilities.
- The potential benefits of taking risks in a well-managed way.
- The need to be proactive in managing risk.

HR needs to develop a risk management mindset and apply it to all of its activities.

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Risk and Risk Management

Risk	"The effect of uncertainty on objectives" (from ISO 31000)
	Could take the form of threats (downside risks) or opportunities (upside risks)
Risk management	"Coordinated activities to direct and control an organization with regard to risk"
	Change probabilities or magnitude of impact on objectives
	Become antifragile—able to withstand shocks and improve and benefit from the experience

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Benefits and Barriers

Benefits of Risk Management	Barriers to Risk Management
• Strategic alignment of risk levels and management • More effective response to risk • More consistent response across the organization • Fewer resources wasted • More integrated vision of risk in the organization	• Structural—silo organizational structures • Cognitive—mindset lacking imagination, or one of unreasonable optimism, resistance to change • Cultural—poor alignment of the organization's culture; inadequate communication of the culture's risk approach

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Categories of Risk

- Known knowns, known unknowns, unknown unknowns
- Kaplan and Mikes's categories
  - Internal and preventable
  - Strategy
  - External
- Enterprise perspective:
  - Strategy
  - Operations
  - Financial reporting
  - Compliance

Risk categories in the HR context:
- Strategy
- Operations
- Reporting
- Compliance

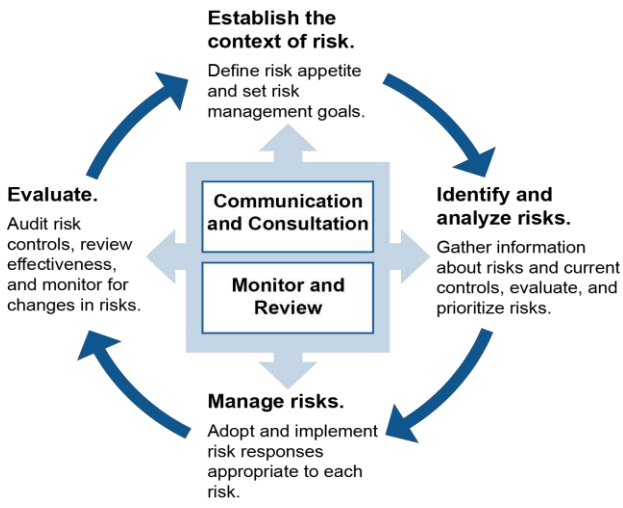
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ISO 31000

- 11 principles—for example:
  - Focused on value and continual improvement
  - Integrated into all processes and decision making
  - Transparency
  - Responsive to change
- Framework
  - Management commitment
  - Policies, processes, ethics, values, leaders' examples, culture
- Risk management process

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Risk Management Process



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Risk Management

Step 1: Establish the context of risk.
Gather information about organization and its risk position.

- Know internal and external sources of risk.
- Define risk criteria:
  - — Risk position (acceptable gain or loss)
  - — Risk appetite and risk tolerance (acceptable amount of uncertainty)
- Consider potential for conflict of interest:
  - — Moral hazard (personal insulation against effects of risk taking)
  - — Principal-agent problem (misalignment of motives)

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Risk Management

Step 2: Identify and analyze risks.

Gather information about potential risks—MECE.

Method	Example
Experts and official sources	Review country alerts from government offices.
Focus groups and interviews	Hold employee workshop on perceived sources of safety and security risks.
Surveys	Survey assignees on risks.
Process analysis	Create flowchart of fabrication method to identify potential for hazardous exposure.
Direct observation	Conduct walk-through of work area.

Example: Duty of care

Employer's responsibility to take all reasonable steps to ensure the health, safety, and well-being of employees and protect them from foreseeable injury

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Risk Management

Step 2: Identify and analyze risks.

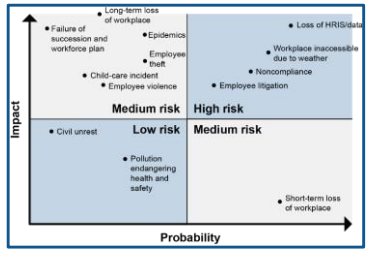
Create agreement on risks' likelihood of occurrence and probable impact.

Common tools:

- Risk formula
- Risk scorecard
- Risk matrix

Probability of occurrence × Magnitude of impact

Event/Threat	A: Event Probability	B: Speed of Onset	C: Existing Mitigation	D: Severity of Impact	Threat Ranking Index
	1=Unlikely 2=Possible 3=Probable	1=Very slow 2=Gradual 3=Sudden	1=Strong 2=Average 3=Weak/none	1=Little 2=Considerable 3=Severe	Multiply ratings for each event/threat (A*B*C*D)
Water supply interruption exceeding 4 hours	1	3	3	2	18
Chemical spills	1	3	2	1	6
Power outage exceeding 6 hours	2	3	2	2	24

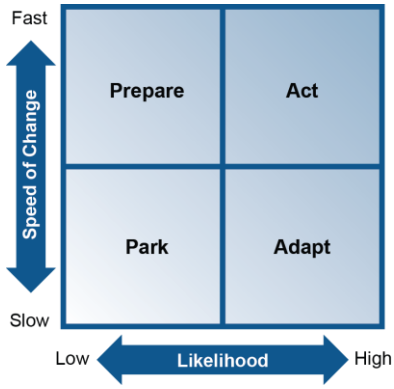


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Risk Management

Step 2: Identify and analyze risks.
Prioritize for management.

Prepare, act, park, adapt (PAPA) matrix



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Risk Management

Step 2: Identify and analyze risks.
Identify key risk indicators.

Key risk indicators (KRIs): Early signals of increasing risk exposure; critical part of preparedness.

- Strategically aligned.
- Develop KRIs by identifying root causes of risks and intermediate events.
- Monitor for changes in KRIs.

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Risk Management

Step 2: Identify and analyze risks.
Document information gathered during analysis.

- Risk category (e.g., strategic)
- Risk event (e.g., kidnapping)
- Risk classification (e.g., highly likely, high impact)
- KRIs (e.g., crime levels)
- Risk management controls (e.g., training)
- Risk owner(s) (e.g., those who document risk)
- Reporting requirements (e.g., how often, to whom)

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Risk Management

Step 3: Manage risk.
Determine appropriate strategy.

Upside Risk Management Tactics	Approach	Downside Risk Management Tactics
Optimize	Eliminate uncertainty.	Avoid
Share	Redefine ownership.	Transfer
Enhance	Increase/decrease effect.	Mitigate
Ignore	Take no action.	Accept

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RM Strategy: Eliminate Uncertainty

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Upside Risk Management Tactics	Downside Risk Management Tactics
Optimize	**Avoid**
Uncertainty: Number of applications for an assignment	Uncertainty: Poor hiring decision
Tactic: Include guaranteed income provision.	Tactic: Use careful application screening process.

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RM Strategy: Redefine Ownership

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Upside Risk Management Tactics	Downside Risk Management Tactics
Share	**Transfer**
Uncertainty: Ability to provide needed workforce during critical period	Uncertainty: Kidnapping of assigned employees
Tactic: Arrange for contingent workers with staffing agency.	Tactic: Obtain kidnapping and ransom insurance.

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RM Strategy: Increase/Decrease Effect

Upside Risk Management Tactics	Downside Risk Management Tactics
Enhance	**Mitigate**
Uncertainty: Supervisor impact on employee engagement	Uncertainty: Vulnerability of employees to workplace violence
Tactic: Include communications skills training in supervisory career path.	Tactic: Provide training in identifying and responding to early warning signs.

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RM Strategy: Take No Action

Upside Risk Management Tactics	Downside Risk Management Tactics
Ignore	**Accept**
Uncertainty: Vulnerability of workplace to acts of terrorism	Uncertainty: Performance relative to goals
Tactic: Identify as low risk and operate with existing emergency response protocols.	Tactic: Take no further action to produce performance that exceeds goals.

Residual risk: the amount of risk that remains after all management efforts have been used

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Risk Management

Step 3: Manage risk.

Develop and implement risk management plans.

- Define objectives.
  - — Be strategically focused.
  - — Combine activities and results.
  - — Combine lagging and leading metrics.
- Modify framework risks (e.g., compliance, culture).
- Integrate actions across the organization.
- Communicate needs, expectations, and new policies and processes.

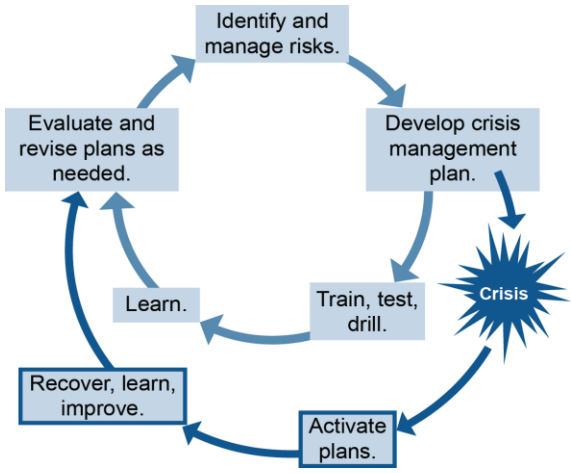
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Common Risk Management Plans

Emergency preparedness	Business continuity plan
Emergency response planning and training	Continuation of critical business processes
Securing employee health and safety	Securing and supporting necessary human resources

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Crisis Management Process



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Risk Management

Step 4: Evaluate.

Assess implementation; monitor emerging and changing risks.

- Increase transparency and accountability.
- Confirm compliance.
- Assess effectiveness of individual strategies.
- Assess effectiveness of organization's risk management framework.
- Continually improve risk management skills.

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Risk Management

Step 4: Evaluate.
Learn from risk events and responses.

- Conduct debriefs and incident investigations.
- Facilitate and investigate whistleblowing charges (and prevent retaliation).
- Conduct audits.
  - — Health and safety
  - — Compliance
  - — Process

"A crisis is a terrible thing to waste."

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Quality Assurance and Continuous Improvement

Quality Assurance (QA)

- Helps to ensure that work is performed according to standards and that processes are used correctly and completely.
- Considers proactive, preventive, predictive, and preemptive actions.

Continuous Improvement

- Equates to organizational approaches to improve and maintain the quality of risk management processes.

Risk management is not static; it is a continuous activity. Quality assurance and continuous improvement help an organization remain vigilant.

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Discussion

The HR department has received several anonymous complaints about certain unethical behaviors of a high-level leader. These complaints have caught the HR director's attention.

This leader has been working for the company for more than 15 years. He started as a front-line assembly worker. His reputation as a generous and kind leader is well known throughout the company.

The complaints do not match the HR director's general impression of this leader. The HR director decides to investigate the issue and sets up an individual meeting with the leader to find out what has been truly going on.

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Discussion

At first, the leader is honest and open to discussion. It turns out that the leader didn't engage in the unethical behaviors on purpose. In fact, he didn't realize that those past behaviors were considered inappropriate, unethical, or a form of harassment until the HR director pointed this out.

However, the leader does not receive the feedback well and becomes very emotional and defensive toward the end of the meeting when the HR director starts to touch on issues related to his personal integrity. He even expresses his intention to leave the organization because he doesn't see himself fitting in anymore.

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Discussion

- How should the HR director have prepared for this meeting?
- How should the HR director respond to the leader's reaction and statement about leaving the company?
- If the leader chooses to stay, what further actions should the HR director take?

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Functional Area #14: Corporate Social Responsibility

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Evolution of CSR

- CSR includes a **broader range of a decision or action's effects** on a **broader field of stakeholders.**
- Attention to CSR has moved **from the corporate periphery to center stage.**
- Integrated into **organizational mission** and **core business strategies.**

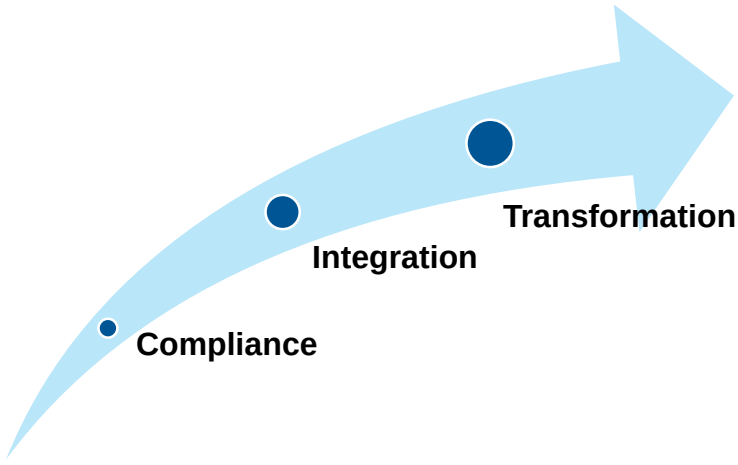
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Forces Shaping Today's CSR

Technology	• Corporate actions are more knowable. • CSR impacts are more measurable.
Environmental Concerns	• Increased sustainability regulations and requirements. • Increased sustainability opportunities.
Economic Pressures	• Bigger payback potential for sustainability efforts. • Enhanced value of CSR to employees.
Sociopolitical Forces	• Increased pressures from civil and social rights groups. • Rapidly evolving diversity and environmental concerns.

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CSR Maturity Curve



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CSR and HR

HR has the opportunity to become a CSR resource for corporate leaders.

Key opportunity areas:

- Culture change
- Corporate strategy
- Organization effectiveness
- Human capital development

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Ethics and Compliance

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Ethics

- A set of behavioral guidelines that an organization expects all of its directors, managers, and employees to follow to ensure appropriate moral and ethical business standards
- Focuses on acting according to "core ethical beliefs and convictions"

Compliance

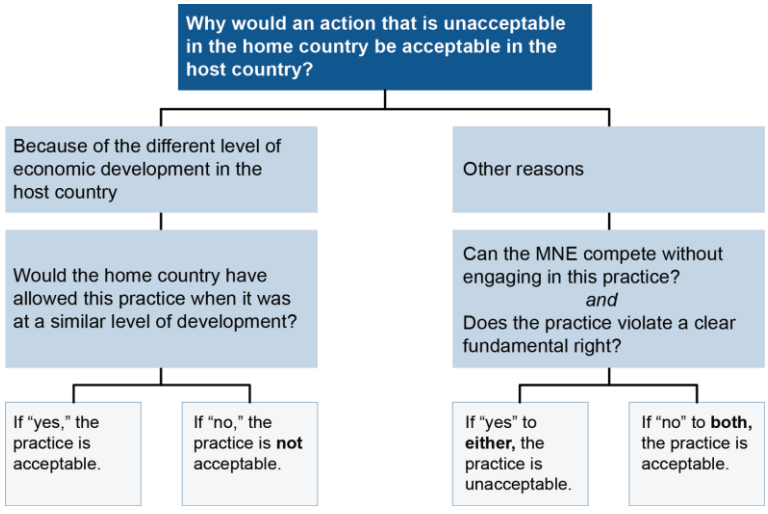
- Being in accordance with all national, federal, regional, or local laws, regulations, and government authority requirements for all the nations in which an organization operates
- Focuses on fulfilling the technical requirements of regulations

Corporate ethical issues can overlap with compliance issues.

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Multicultural Ethics Decision Tree

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Supply Chain Responsibilities

Ethical supply chain behavior	=	Better products More satisfied customers More sustainable working communities that support the growth of business

Areas of concern:

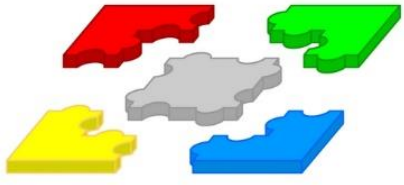
- Workplace safety
- Child labor
- Supply chain sustainability

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Governance

System of rules and processes an organization puts in place to ensure compliance with:

- Local and international laws.
- Accounting rules.
- Ethical norms.
- Environmental and social codes of conduct.

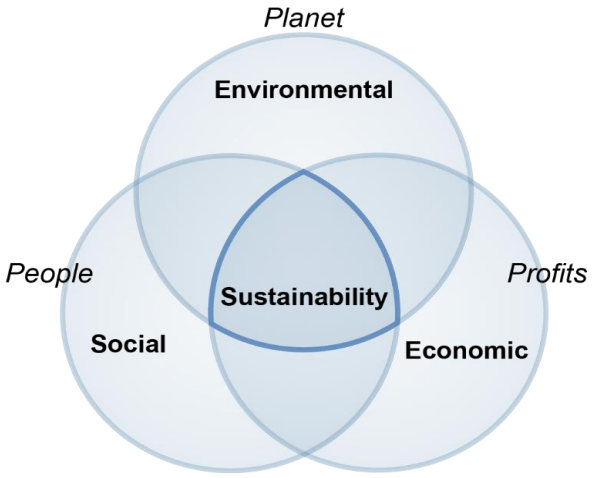


When an organization lacks good governance and fails to recognize and respond to ethical issues, its stakeholders may perform that task for it, to its detriment.

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Three Spheres of Sustainability

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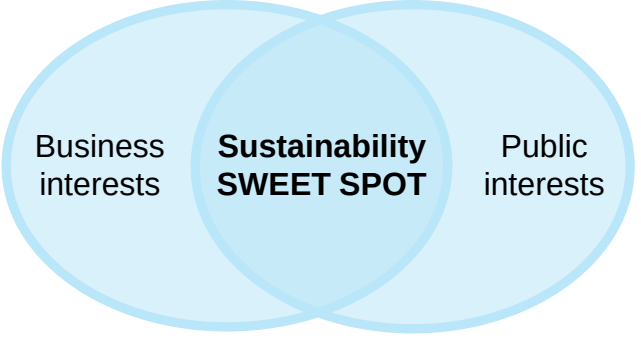


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Sustainability Sweet Spot

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Where sustainability becomes an engine of innovation and a way to identify business opportunities…



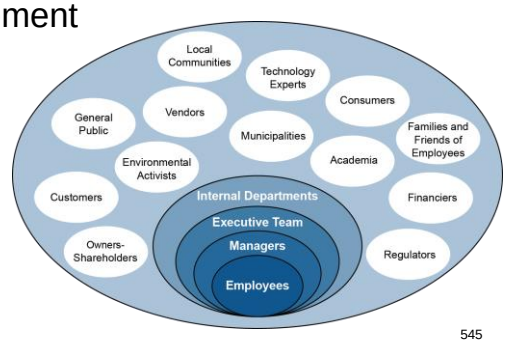
…generating new products, processes, markets, and business models.

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Stakeholders

Sustainability:

- Expands how an organization interacts with stakeholders.
- Seeks out internal and external stakeholder input through engagement opportunities and strategic social partnerships.



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Triple Bottom Line

	Economic	Environmental	Social
Typical Measures	Sales, profits, ROI Taxes paid Monetary flows Jobs created Supplier relations	Pollutants emitted Carbon footprint Recycling and reuse Water/energy use Product impacts	Health/safety record Community impacts Human rights; privacy Product responsibility Employee relations
	Total	**Total**	**Total**

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Social Audit Areas

- Ethics
- Staffing
- Environment
- Human rights
- Community
- Society
- Compliance

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Values-Based Code of Conduct

An ethical decision-making tool that enables employees to:

- Recognize potential compliance and ethical risks.
- Apply a decision-making process to their resolution.
- Articulate reasons for the decision based on the code.
- Understand stakeholder ethical and compliance expectations.
- Understand the costs and benefits of meeting them.
- Track and report on their code adherence.
- Assess the risks of future actions and initiatives.

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Code of Conduct

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Creation and Implementation Process

- Gain senior management commitment.
- Agree on its purpose and uses.
- Identify all stakeholders and their priorities and concerns.
- Identify who to directly involve in the code creation process.
- Review existing frameworks and guidelines.
- Draft the code (perhaps done by working group).
- Test, pilot, and revise the code.
- Gain formal approval.
- Publish and publicize.
- Review after implementation.
- Train and communicate to the entire organization.
- Connect the code to performance management policies and systems and internal controls.

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Code of Conduct Components

Part One: Organization's Values	Part Two: Organization's Expectations
• Commitment of leadership to the code • Mission statement and/or vision statement • Organizational values and principles • Organization's relation to community, environment, and society	• Ethical and conduct guidelines • Examples of ethical and unethical behavior • Specific rules of conduct • Performance evaluation

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Compliance Program

Key Components

- Organizational leadership and culture
- Training and education
- Disciplinary and preventive measures
- Reporting and investigation
- Monitoring, auditing, and evaluating program effectiveness

Compliance programs ensure that codes of conduct are understood and applied to issues as they arise.

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CSR Statements of Principles

OECD Guidelines

- Established by the OECD's member governments in 1976.
- Voluntary guidelines based on International Labour Organization Conventions.

UN Global Compact

- Ten principles addressing human rights, labor, environment, anticorruption issues.
- Commitment includes annual reporting on progress.

Caux Principles

- One of the first employer-led efforts to establish an international code of ethics.
- International business standards based on two values: human dignity and "kyosei."

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Detailed CSR Guidance

ISO 26000	• Contains principles of social and environmental responsibility, guidance for action, and implementation expectations
SA8000	• CSR certification standards focusing on human rights and labor relations • Includes both process and performance criteria

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Reporting Frameworks

GRI G4

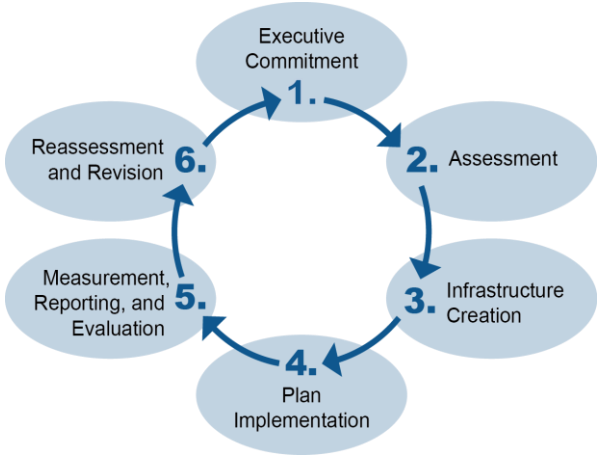
- Universally accepted standard for global reporting of sustainability efforts and progress
- Enables meaningful and consistent comparisons

KPMG Survey

- Annual report on extent, contents, and quality of CSR reporting worldwide
- Can help an organization make the business case for CSR and identify areas for strategic focus

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CSR Strategic Process



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CSR Strategy: Executive Commitment

Making the Business Case for CSR

Areas of CSR Value Creation	
Growth	• Composition of business portfolio • Innovation and new products • Reaching new customers and markets
Returns on capital	• Green sales and marketing • Sustainable value chains • Sustainable operations
Risk management	• Operational risk management • Reputation management • Regulatory management

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CSR Strategy: Assessment

Purpose:

- Provide a detailed picture of where the organization is now.
- Visualize the direction in which the organization can go.

Process:

- Review organization's systems and procedures.
- Gather input from internal and external stakeholders.

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CSR Strategy: Infrastructure Creation

Questions to answer:

- Will there be a single head of CSR?
- Will there be a separate sustainability department?
- Will HR spearhead strategic implementation?
- How will data be collected and evaluated?
- Who will organize and administer the effort? Will outside consultants be needed?

For a global organization:

- Will there be local departments, divisions, or individuals responsible for local efforts?
- How will these be coordinated with global goals and initiatives?

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CSR Strategy: Implementation

Key tasks:

- Set the strategy.
- Set priorities and objectives:
  - How will intermediate, tactical steps lead to long-term objectives?
  - How will results be measured?
  - Who is accountable?
- Implement the action plan created.

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CSR Strategy: Evaluation

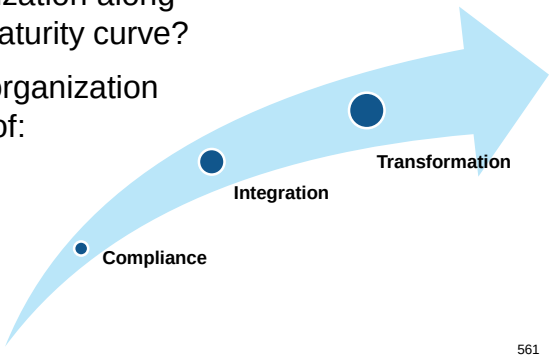
- Use G4 criteria.
- Ensure that all objectives have corresponding metrics.
- Ensure that measurement and evaluation are keyed to specific goals and objectives.
- Systems must be in place for:
  - Reporting and evaluating.
  - Data sharing with marketing and other areas that can profitably leverage the data.

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CSR Strategy: Reassessment and Revision

Based on evaluation of results…

- Revise tactics and strategic goals.
- Where is the organization along the sustainability maturity curve?
- Provide the entire organization with a clear sense of:
  - — Progress achieved.
  - — Victories won.
  - — Next steps needed.



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Corporate Philanthropy

Charitable donations

Foundations

Strategic partnerships with nonprofits

Custom (owned) entity

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Employee Volunteerism

Levels of corporate involvement



Types of benefits:

- Individual
- Team
- Organizational
- Business

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Discussion

An automobile manufacturer has a reputation for being employee-friendly, charitable, and innovative. It is also consistently praised for its high profit margins and efficient operating model. The corporate office is located in a technologically robust city with strict ecofriendly regulations; it is a community that is unforgiving to socially unconscious companies.

Because of recent increases in revenue, the CEO seeks investment opportunities and settles on one of the company's suppliers abroad. The supplier has been struggling financially, but the CEO believes the company will be able to leverage the supplier's existing resources and generate additional revenue.

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Discussion

The CEO informs the company's leadership of the intent to purchase the supplier. This surprises the CHRO, because the supplier has been accused of committing human rights violations and damaging the environment in its home country. In fact, the company has been fortunate to have avoided negative attention from the public about this relationship. The CHRO is extremely concerned about the potential negative attention this transaction could create.

The CHRO e-mails these concerns to the CEO and suggests that the company should stop using the supplier altogether and partner with a supplier that is socially conscious. However, the CEO responds by stating that the purchase will positively impact the company's bottom line, and nothing else matters.

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Discussion

How should the CHRO respond to the CEO's statement that the purchase will have a positive impact on the company's bottom line?

A. Agree, since the purchase will most likely increase the company's revenue by leveraging the supplier's customers and strategic partnerships.
B. Agree, since the purchase will most likely strengthen the company's future value to all of its stakeholders.
C. Send an e-mail reply and present the concept of the triple bottom line to the CEO.
D. Ask that a working group be implemented to analyze the possible effects of the purchase.

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Feedback

D is the correct answer. Assembling a working group to analyze the purchase looks at the deal in its entirety, not just from an economic perspective. It demonstrates the Leadership and Navigation, Consultation, and Communication competencies.

A focuses only on the economic component of the triple bottom line and ignores the values and risks associated with the environmental and social components. B is incorrect, as the purchase would probably produce only short-term and not sustainable benefit to the company. While C educates the CEO about the triple bottom line, it does not apply the concept to this choice.

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Discussion

What ethical argument should the CHRO make for the company withdrawing from purchasing the supplier and seeking another supplier?

A. It would help avoid negative publicity and potential lawsuits.
B. It would help avoid potential strikes and disruptions to the supply chain.
C. Building a partnership with a supplier that has similar ethical policies would lead to better products and services.
D. It would allow for better products, more satisfied customers, and working communities that support the growth of the company.

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Feedback

D is the correct response. Creating an ethical supply chain will lead to better products, more satisfied customers, and communities that support the growth of the company. This demonstrates the Ethical Practice competency.

A and B are economic, not ethical, arguments. A seeks to manage risks from negative publicity and potential lawsuits; B seeks to avoid costs associated with disruptions to productivity. While C mentions better products and services, it fails to mention the other possible benefits.

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Functional Area #15: U.S. Employment Law and Regulations

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Sources of the Law

- The Constitution
- Statutes
- Regulations
- Executive orders
- Agency guidelines
- Common law

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Rule-Making Process

1. Rule is proposed.
2. Public comment is invited.
3. Final rule is issued.

HR professionals should voice their concerns about HR-pertinent legislation to their officials.

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Legal Compliance Essentials

- Policies, procedures, training
- Workplace posters
- New-employee orientation
- Workers' compensation insurance
- Proper tax withholding
- Paychecks delivered in accordance with law
- Compliance training
- Organizational code of conduct
- Compliance hotline
- Provisions for reporting or participation in investigation of discriminatory employment practices



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HR Audits and Compliance Checklists

- Checklists help to prepare for an HR compliance audit (internal or external).
- An organization may develop its own checklist or use or adapt ones from administrative agencies.

Administrative agencies may be more or less rigorous during a compliance audit than what appears on a HR checklist.

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Legal Services and Risk Mitigation

Securing appropriate legal counsel and employment practices liability insurance (EPLI) is prudent.

Legal Services

HR needs to:

- Understand relevant employment law and the potential implications of noncompliance.
- Recognize when involvement of legal counsel may be necessary.

EPLI

- Protects against the risk of heavy financial losses resulting from employment claims and lawsuits.
- Must be carefully considered and reviewed to ensure that it provides the level of protect-tion needed.

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Milestones in Employment Lawsuits

- Notification
- Answering complaint
- Scheduling conferences
- Discovery process
- Motion to dismiss
- Summary judgment
- Pretrial and trial

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Additional Aspects of Compliant Workplaces

Attorney-Client Privilege and Discoverability

HR professionals should:

- Be aware of the importance and limits of attorney-client privilege.
- Aim for full disclosure and share information that may be germane or related.
- Speak to opposing counsel only under direction of the employer's attorney.

Safe, Legal, and Effective Investigations

HR professionals should:

- Ensure confidentiality.
- Select an appropriate investigator.
- Create a plan.
- Conduct interviews.
- Create a report, if appropriate.

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Federal Employment Laws, Agency Guidelines, and Case Law

- Equal employment opportunity/antidiscrimination and workplace harassment
- Compensation
- Leave and benefits
- Job safety and health, including workers' compensation
- Employee relations
- Miscellaneous protections

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Equal Employment Opportunity

Laws require employment decisions to be job- and business-related and not made on the basis of:

- Race.
- Sex (including pregnancy).
- Ethnicity.
- National origin
- Citizenship
- Religion.
- Age.
- Color.
- Military/veteran status.
- Genetic information.
- FMLA entitlement.
- Disability status.
- Other factors.

"Protected classes" describes people who are covered under a federal, state, or local antidiscrimination law.

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Types of Discrimination

Disparate treatment

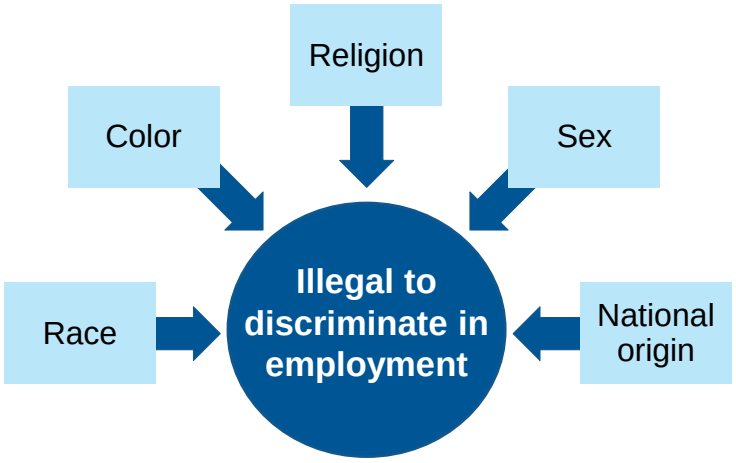
Direct discrimination that treats protected classes differently from other applicants or employees

Disparate (adverse) impact

Indirect discrimination that results when a neutral policy has a discriminatory effect

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Title VII of the Civil Rights Act of 1964



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Title VII Protections

Specific provisions apply to:

- Recruiting, hiring, and advancement.
- Segregation and classification of employees.
- Harassment/hostile work environment.
- Compensation.
- Other terms, conditions, and privileges of employment.

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Title VII Exceptions

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Some exceptions include:

- Work-related requirements
- Bona fide seniority systems
- Bona fide occupational qualifications (BFOQs)
- Affirmative action plans

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Key Title VII Amendments

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Equal Employment Opportunity Act

Gives the EEOC authority to "back up" its administrative findings and conduct its own enforcement litigation

Pregnancy Discrimination Act (PDA)

Prohibits discrimination on the basis of pregnancy, childbirth, or related medical conditions; requires employers to treat pregnancy the same as any other temporary disability

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Uniform Guidelines on Employee Selection Procedures

Assists employers in complying with Title VII, Executive Order 11246, and other EEO requirements.

Covers all aspects of the selection process.

Prohibits selection procedures that have adverse impact on protected classes.

Adverse impact occurs when the rate for a protected class is less than 80% of the rate for the group with the highest selection rate (also known as the 80% or four-fifths rule).

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Key Discrimination Cases

***Griggs v. Duke Power* (1971)**

- Sets the standard for determining whether discrimination based on disparate impact exists.
- Practices, procedures, or tests that appear neutral on their face, and even neutral in their intent, and that result in a discriminatory effect on a protected class are illegal.

***Phillips v. Martin Marietta Corporation* (1971)**

- Applied the sex discrimination provisions of Title VII of the Civil Rights Act of 1964 to employment decisions.
- Prohibits an employer (in the absence of business necessity) from refusing to hire women with preschool-aged children while hiring men with such children.

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Civil Rights Act of 1991

- Allows jury trials when a plaintiff seeks compensatory or punitive damages.
- Compensatory damages are awarded to make an injured person "whole."
- Punitive damages (exemplary damages) are awarded when the defendant's willful acts were malicious, violent, oppressive, fraudulent, wanton, or grossly reckless.
- Under federal law, punitive damages are not possible against a governmental unit or agency (but may be available under state law).

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Age Discrimination in Employment Act (ADEA)

ADEA prohibits:

- Employment discrimination against persons age 40 and over
- Mandatory retirement based on age (with few limited exceptions)

ADEA covers:

- Employers with 20 or more employees
- Unions with 25 or more members
- Employment agencies and apprenticeship and training programs

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ADEA Exceptions and OWBPA Amendment

- Age can be a BFOQ if necessary for the normal operation of the business.
- Other exceptions can occur when:
  - The organization has a genuine seniority or benefit plan.
  - The employer disciplines or fires for good cause.
  - The employee is a top executive or policy maker.

The Older Workers Benefit Protection Act (OWBPA) amended the ADEA to prohibit discrimination in employee benefits and waivers of claims.

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Americans with Disabilities Act (ADA)

Prohibits discrimination against qualified individuals with disabilities.

Applies to employers with 15 or more employees, employment agencies, labor organizations, and joint labor-management committees.

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ADA Terms

Qualified

- Has the requisite skills, experience, education, licenses, etc.
- Can perform the essential functions of the job, either with or without reasonable accommodation

Disability

- Has an impairment that substantially limits one or more major life activities
- Has a record of such an impairment
- Is regarded as having such an impairment

Essential functions

- Primary job duties that a qualified individual must be able to perform, with or without accommodation

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ADA Amendments Act (ADAAA) of 2008

Retains the basic definition of disability contained in the ADA but expands interpretation.

Makes it easier to meet the definition of disability.

Includes nine rules of construction.

Identifies several impairments that virtually always meet the definition of disability.

Expands the ADA list of major life activities.

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Reasonable Accommodation

Modifying or adjusting a job application process, a work environment, or the circumstances under which a job is usually performed to enable a qualified individual with a disability to be considered for the job and perform its essential functions

- Involves an interactive process between the employer and the employee.
- Does not require employers to provide reasonable accommodation but to give consideration for the reasonableness of the accommodation.

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Workplace Harassment

According to the EEOC, harassment is a form of employment discrimination that violates Title VII of the Civil Rights Act of 1964 and the ADEA, EPA, GINA, and ADA.

Harassment becomes unlawful:

- When enduring offensive conduct becomes a condition of continued employment.
- When the conduct is severe or pervasive enough to create a work environment that a reasonable person would consider intimidating, hostile, or abusive.
- When an individual is harassed in retaliation for filing a discrimination charge, testifying, or participating in any way in an investigation, proceeding, or lawsuit.

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Types of Sexual Harassment

Quid pro quo	Employee must give in to sexual demands or forfeit an economic benefit (job or raise).
Hostile environment	Sexual or other discriminatory conduct creates a threatening or abusive work environment.

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Key Sexual Harassment Cases



- Two separate U.S. Supreme Court rulings distinguishing between supervisor harassment that results in tangible employment action (e.g., discharge, failure to promote, demotion) and supervisor harassment that does not.
- When harassment results in a tangible adverse employment action, the employer is always liable.

  Example: Vicarious liability

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Fair Workplace Recommendations

- ✓ Include sexual orientation in nondiscrimination policies.
- ✓ Provide training.
- ✓ Prohibit and prevent harassment of lesbian, gay, bisexual, transgender employees.
- ✓ Recognize organizations representing interests of lesbian, gay, bisexual, transgender employees.
- ✓ Refer to “sexual orientation” rather than “sexual preference.”

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Harassment Policy/Prevention

- ✓ Have a written policy with a clear definition of harassment and a statement that it will not be tolerated.
- ✓ Establish a complaint procedure.
- ✓ Provide training and education.
- ✓ Investigate every complaint.
- ✓ Discipline if necessary.
- ✓ Communicate via variety of methods to management and employees.

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Fair Labor Standards Act (FLSA)

Establishes minimum wage, overtime pay, youth employment, and record-keeping standards affecting full-time and part-time workers in the private sector and in federal, state, and local governments

Applies to:

- Employers with at least $500,000 in annual dollar volume of business (with limited exceptions).
- Organizations with employees who engage in interstate commerce or the production of goods for interstate commerce.

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IRS Independent Contractor Guidance

Behavioral control	Financial control	Relationship of the parties

Under FLSA, an employer has no ongoing obligations to self-employed independent contractors.

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Exempt and Nonexempt Employees

Type of Employee	Description
Exempt	• Are excluded from minimum wage and overtime pay requirements of the law. • Must work in a bona fide manner and meet requirements for: — Primary (exempt) duties — Salary compensation (as a uniform amount) — Minimum salary
Nonexempt	Are not excluded from minimum wage requirements and are entitled to overtime. This includes blue-collar workers, no matter their compensation level, as well as veterans in blue-collar jobs.

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"White-Collar" Exemptions

- Revised "white-collar" exemptions, which include EAP employees and computer and outside sales positions.
- Employees who meet requirements of exemption tests in addition to minimum salary and salary basis tests are exempt from overtime pay.

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Improper Deductions and Safe Harbor

Improper Deductions

- Employers can lose the exemption if they did not intend to pay on a salary basis.
- Regulations specify several factors to identify a practice of making improper deductions.
- Improper deductions that are either isolated or inadvertent are forgiven if the employer reimburses the employees.

Safe Harbor

"Safe harbor" exists if:

- The employer has a clearly communicated policy prohibiting improper pay deductions.
- Employees are reimbursed for any improper deductions.
- The organization makes a good-faith effort to comply in the future.

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FLSA Overtime Pay Provisions

Sets rate of overtime pay (1.5 times regular pay after 40 hours worked).

Sets workweek as any fixed, recurring period of 168 consecutive hours (7 days × 24 hours).

Requires overtime on time worked, not time compensated.

Requires overtime to be paid in cash, except for public-sector employees. (Presently, compensatory time is not allowed for private-sector nonexempt employees.)

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Other FLSA Regulations

Child labor provisions	Restricts the hours and conditions of employment for minors
Minimum wage	Requires employers to pay covered nonexempt employees at least the federal minimum wage for all hours worked up to 40 in a workweek
Record keeping	Requires that an employer retain certain information regarding its employees for a set period of time
Other administrative concerns	Other issues such as enforcement, claims investigations, penalties, and what to do when state laws differ from federal regulations

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Portal-to-Portal Act (1947)

- Amends FLSA and defines additional rules for hours worked.
- Provides guidelines on:
  - On-call/standby time.
  - Preparatory/concluding activities.
  - Waiting time.
  - Meals and breaks.
  - Travel time.
  - Training time.

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Equal Pay Act (EPA)

Prohibits unequal pay for equal or "substantially equal" work performed by men and women (with limited exceptions).

Skills	Effort
Responsibility	Working conditions

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Employee Retirement Income Security Act (ERISA)

- Establishes minimum standards for retirement plans.
- Plans must conform to the Internal Revenue Code's requirements and ERISA to receive tax advantages.
- Sets up the Pension Benefit Guaranty Corporation (PBGC).
- Rules cover:
  - Fiduciary duties.
  - Eligibility requirements.
  - Vesting requirements.
  - Communication requirements.
  - Reporting requirements.

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Sarbanes-Oxley Act (SOX)

Blackout period	Blackout notice	Whistleblower provisions
Requires plan administrators to provide at least 30-day notice of blackout period (of more than three consecutive business days). Places restrictions on directors or executive officers from trading of company stock.	30-day blackout notice must be in writing and clearly communicated. Electronic notification is permitted if the notice is "reasonably accessible."	Prohibits any adverse employment action against employees because of protected whistleblowing activities.

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Lilly Ledbetter Fair Pay Act (2009)

- Overturned the 2007 U.S. Supreme Court decision *Ledbetter v. Goodyear Tire & Rubber Co.*
- States that the statute of limitations on pay discrimination lawsuits resets as each allegedly discriminatory paycheck is issued.
- Proactive organizations will identify and remedy any potentially discriminatory pay practices.

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Consolidated Omnibus Budget Reconciliation Act (COBRA)

Provides continuous group medical coverage after a qualifying event.

Type of event determines the length of coverage, generally 18 or 36 months.

Employer can charge actual cost plus a 2% administrative fee.

Applies to employers who provide health-care benefits to 20 or more employees.

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COBRA Coverage Amendments

Patient Protection and Affordable Care Act (PPACA)

Generally requires group health plans to provide coverage to dependent children up to age 26.

Health Insurance Portability and Accountability Act (HIPAA)

Amended continuation coverage rules related to:

- Disability extension.
- Pre-existing conditions.
- Definition of qualified beneficiary.

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Family and Medical Leave Act (FMLA)

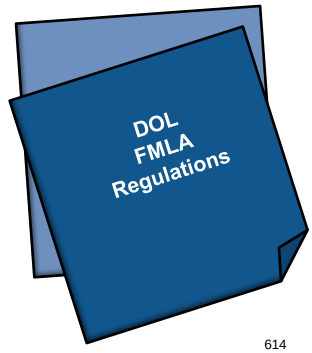
- Covers private employers that have employed 50 or more employees for 20 or more workweeks in current or preceding year.
- Employee must have worked at least 12 months (total within the last seven years) for employer, have worked 1,250 hours in past year, and work at a site that 50 or more employees work within 75 miles of.
- Provides up to 12 workweeks of unpaid, job-protected leave for incapacity due to pregnancy; prenatal medical care; childbirth; child care following birth or placement for adoption or foster care; serious health condition of a child, spouse, parent, or the employee; for obligations arising from military service.

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FMLA Regulations

Department of Labor regulations pertaining to:

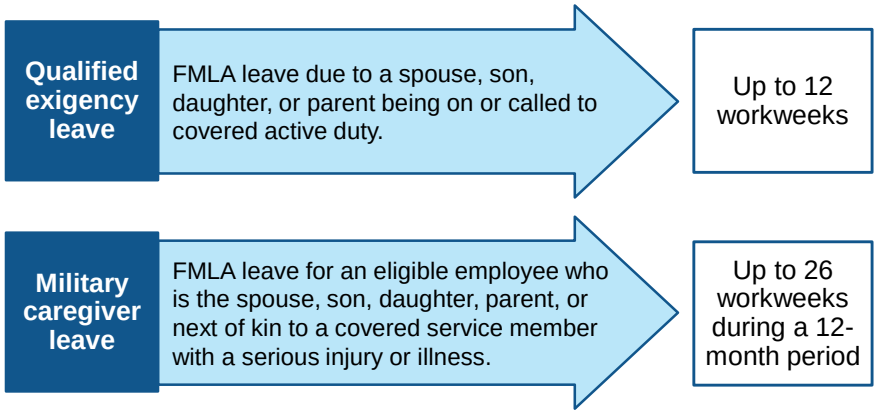
- Absence of a legal or biological parent-child relationship.
- "Spouse" definition.
- Intermittent leave.
- Medical certification.
- Fitness for duty.
- Health benefits continuation during FMLA leave and trigger for COBRA.
- Reinstatement rights.
- Modified-duty programs.
- Cost containment.
- "Serious health condition" definition.



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FMLA Expansion

According to National Defense Authorization Act provisions:



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Uniformed Services Employment and Reemployment Rights Act (USERRA)

Protects the employment, reemployment, and retention rights of persons who voluntarily or involuntarily serve or have served in the uniformed services

- Applies to virtually all employers, both public and private, regardless of size.
- VOW to Hire Heroes Act amended USERRA to recognize claims of a hostile work environment.

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Patient Protection and Affordable Care Act (PPACA)

Extensive health-care insurance reforms with a rolling time frame

2010 → 2011 → 2012 → 2013 → 2014 → 2015 → 2016 → 2017 → 2018

Examples:

- Minimum essential health coverage
- Lifetime maximum benefit limits
- Preexisting conditions
- Small employer health-care tax credit
- Preventive care
- Dependent coverage
- Uniform explanation of coverage
- Notice of material modifications
- Annual benefit limits
- State health marketplaces
- "Cadillac plan" tax

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National Federation of Independent Business v. Sebelius (2012)

U.S. Supreme Court rulings on two key PPACA provisions:

Medicaid expansion

The requirement that states choose between complying with the PPACA or losing federal funding for Medicaid was ruled unconstitutional.

Individual mandate

The individual mandate was ruled constitutional; Congress has the power to assess a tax against those who do not purchase insurance.

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Occupational Safety and Health Act (OSH Act)

Established the first national policy for workplace safety and health; requires employees to comply with OSHA standards and requires employers to provide safe and healthful working conditions for employees

- Covers virtually all workers in the country, with a few exceptions.
- Provisions are enforced by the Occupational Safety and Health Administration (OSHA).
- Overarching employee rights under the act are covered by the **General Duty Clause.**

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Drug-Free Workplace Act

Federal contractors with contracts of $100,000 or more and recipients of grants from federal government in any amount must:

- Develop a policy that maintains a drug-free workplace.
- Specify penalties for policy violations.
- Provide a copy of the policy to employees.
- Establish a drug-awareness program.

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State Drug-Free Workplace Laws and Marijuana Laws

Key questions:

If an employee uses medical marijuana, can the employee be terminated following a positive workplace drug test result?

Must an employer accommodate an employee using medical marijuana?

Do employers in states with legal recreational marijuana have to allow for marijuana use apart from participation in a recognized medical marijuana program?

Consultation with legal counsel is advisable.

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National Labor Relations Act and Amendments

National Labor Relations Act	• Intended to protect and encourage growth of the union movement. • Workers have right to organize and bargain collectively with employers. • National Labor Relations Board (NLRB).
Labor-Management Relations Act	• Significantly amended NLRA to restrict activity and power of unions.
Labor Management Reporting and Disclosure Act	• Amended NLRA to regulate internal union affairs and the relationship between union officials and union members.

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NLRB Enforcement

Protects the self-organization rights of employees to:

- ✓ Form, join, or assist labor organizations.
- ✓ Bargain collectively through representatives of their own choosing.
- ✓ Engage in concerted activities for the purpose of collective bargaining or other mutual aid and protection.
- ✓ Refrain from any or all such activities.

The NLRB investigates charges of unfair labor practices.

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Key Cases

***NLRB v. Weingarten* (1975)**

- Deals with the rights of union employees to have another person present during investigatory interviews (the so-called ***Weingarten* rights**).
- Person attending must be affiliated with the union, not an attorney or relative.

***Lechmere, Inc. v. NLRB* (1992)**

- Deals with NLRA rights of employees to self-organize to form, join, or assist labor organizations; makes interfering with employees as they exercise their rights a ULP for employer.
- The NLRA confers rights only on employees, not on unions or their nonemployee organizers.

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Fair Credit Reporting Act (FCRA)

- Applicant/employee must provide written authorization before a consumer report is ordered (with limited exceptions).
- Employer must provide:
  - Written notice that a report may be used and time for a response to the report.
  - Notice if adverse action procedures are taken.
  - Certification to credit bureaus of FCRA compliance.

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FCRA Amendments

Fair and Accurate Credit Transactions Act (FACT Act)	Dodd-Frank Wall Street Reform and Consumer Protection Act
• Eliminates consent and disclosure requirements for certain third-party investigations (e.g., suspected misconduct, a violation of laws or regulations). • Includes directives aimed at uncovering and preventing incidents of identity theft or unauthorized use of the information.	• Adds notification requirements if any adverse action is taken either partly or wholly because of information in a consumer report. *Examples:* • Notice of the adverse action • Specific credit score information • Name of the consumer reporting agency or person that furnished the credit score

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Immigration Reform and Control Act (IRCA)

Prohibits discrimination on the basis of national origin or citizenship.	Establishes penalties for hiring illegal aliens.
Places burden on employers to verify an employee's identity and right to work.	All documents must be unexpired.

E-Verify electronically checks the information provided by the employee on his or her Form I-9.

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Employee Polygraph Protection Act (EPPA)

- Regulates the use of polygraph tests (lie detectors).
- Allows the use of polygraph tests when:
  - The employer is the federal, state, or local government.
  - Current employees are under reasonable suspicion of involvement in workplace incident that results in economic loss.
  - Prospective employees will work in security-sensitive, drug manufacturing, or intelligence situations.
- Employer may not discharge an employee based solely on test results or refusal to test.

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Worker Adjustment and Retraining Notification (WARN) Act

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Requires a minimum of 60 days' notice for:	Requires that notice be given to:
• Plant closings. • Mass layoffs. *Limited exceptions:* faltering company, unforeseeable business circumstances, natural disaster	• Affected workers or their representatives. • State dislocated worker units. • Local government.

Employers must check state and local laws for other criteria and "mini WARN" laws that may apply.

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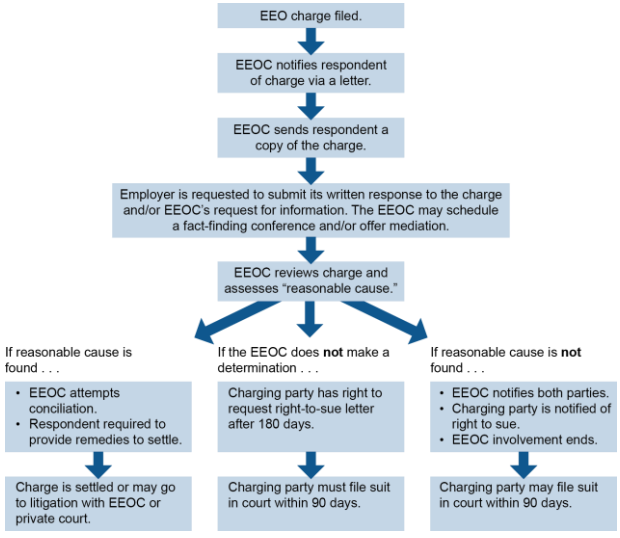
Genetic Information Nondiscrimination Act (GINA)

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- Prohibits discrimination against an individual in employment and health insurance on the basis of genetic information about the individual or a family member.
- With limited exceptions, prohibits an employer from requesting, requiring, or purchasing genetic information on the individual or a family member.

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EEOC Complaint Process



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Retaliation

Employers are prohibited from retaliating against employees engaged in "protected activities."

Examples of protected activities:

- Filing a complaint
- Threatening to file a complaint
- Refusing to obey a discriminatory or unsafe order
- Engaging in concerted activity with other employees

Examples of adverse actions:

- Firing, demoting, or disciplining an employee or treating an employee in a discriminatory manner
- Threatening action against or criticizing the employee
- Inappropriate discussions with the employee and internal or external parties

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Records Management

Federal and state statutes

Status as government contractor or subcontractor

Requirements may depend on…

Number of employees or purpose of record keeping

Industry, location, or customers

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Electronic Record Keeping

- ✓ Systems must have reasonable controls to ensure the integrity, accuracy, authenticity, and reliability of records.
- ✓ Records must be maintained in reasonable order in a safe and accessible place.
- ✓ Records must be able to be converted to paper format.
- ✓ Adequate records management practices must be in place.

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Evolving Compliance and Reporting

Employers are generally free to maintain their employment records either on paper or electronically.

However, some federal agencies impose electronic requirements.

OSHA Example *

Revisions require certain employers (e.g., in high-hazard industries) to electronically submit injury and illness data for posting on the agency's website.

*(Phased-in submissions begin 2017.)

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Discussion

A high-potential performer is among 20 employees selected for a mentoring program. The employee is matched to a senior executive in the organization. The mentee is excited about the opportunity and, as instructed by the program guidelines, e-mails the senior executive to set up a meeting.

The mentee does not get a response from the executive but does get an e-mail from the vice president of HR indicating that the mentee is no longer part of the mentoring program. The e-mail states that the mentee did not demonstrate the core values of the organization. The example given was the "aggressive and demeaning tone of her e-mail." The mentee, upset, discusses her experience with others selected for the mentoring program.

© SHRM

Discussion

One of these women says, “I think you really dodged a bullet on that one. The executive you were matched with hates women! Every female matched with him has quit, but no one does anything about his behavior.”

The mentee approaches you as part of the HR department and asks why she was removed from the program. She also shares the information gathered from the other mentee.

You have been recently promoted into the role of HR manager. You have heard about issues with females and this executive previously, but you do not know any details.

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Discussion

- How would you respond to the mentee?
- What challenges do you face in responding to the employee?
- How would you approach the vice president of HR with this information?
- What HR competencies will be useful in supporting you in this situation?

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Competency Connection—Leadership and Navigation

The Leadership and Navigation competency is about showing initiative, identifying opportunities and needs in the organization, and then using one's knowledge of the organization and its business and one's interpersonal skills to influence action. Consider this example of an HR professional who sees a need and seizes the opportunity to show HR's value.

The HR vice president (VP) is in a strategy development meeting with other senior leaders and identifies a significant gap that the company will have to overcome to ensure that the new goals and objectives are met. The primary issue is a disconnect between the planned strategic changes and the organization's structure and culture. The HR VP explains to the group that, while a number of efficiencies will be gained from the discussed change to production and while the approach is in line with customer needs, this strategy will require changes in structure, reporting relationships, and culture.

As the HR VP is a valued and trusted advisor, the strategic planning group approves an HR initiative to improve the chances that all activities will help the organization meet the organizational goals and objectives.

The HR VP assembles a multidisciplinary team in order to gain perspectives from across the organization. The team develops a plan to win internal support and realignment of both work flow and reporting relationships.

The HR VP personally engages with the vice president of sales to gain agreement with the approach, and they jointly identify ways the sales team will validate the organizational systems to ensure that they strike the right amount of balance between sales orders and organizational productivity, noting that this might have to be adjusted as time goes on. This might affect how the sales team commits to customers and how they place orders.

The HR VP shares this new approach with the HR team. The HR manager suggests beginning one-on-one meetings with sales leaders to ensure that the process is running effectively and to identify any barriers to the success of the organizational initiative.

One of the organizational development (OD) specialists, who reports to the HR manager, develops a tracking system to identify issues (people, process, structure) so that they can develop possible solutions.

Given the amount of change, the group of OD specialists begins to work on some interpersonal solutions that support the new strategy by building more effective communication skills.

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Discussion Points

Begin by reviewing the BoCK definition of Leadership and Navigation:
The knowledge, skills and abilities (KSAOs) needed to navigate the organization and accomplish HR goals, to create a compelling vision and mission for HR that aligns with the strategic direction and culture of the organization, to lead and promote organizational change, to manage the implementation and execution of HR initiatives, and to promote the role of HR as a key business partner.

You can then use any of the following ideas to start discussion.

What actions show the Leadership and Navigation competency in this scenario?

The HR VP shows this competency through:

- Speaking up at the strategy session and pointing out significant obstacles to leadership's plans.
- The respect and connections that the VP has apparently been able to develop among the organization's leaders.
- The collaboration with sales.
- Setting up the project within HR and directing its implementation.

The HR staff demonstrates Leadership and Navigation by taking charge of their assigned contributions to the project.

What type of leader is the HR VP? What actions tell you that?

Participants may mention that the VP's delegation and trust in staff shows Theory Y at work. In the Blake-Mouton theory, the HR VP would probably be a team leader—engaging the team and empowering them rather than micromanaging.

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Competency Connection—Ethical Practice

The Ethical Practice competency is necessary for HR professionals at all levels of the function and in virtually all aspects of the job. Responding to the ethical demands of their position requires being alert to the ethical implications of their own actions and those of others and being prepared to find the best path toward an ethical decision. Consider this situation.

A manager is awarding extra work hours only to certain employees in the department. One of those employees is the manager's nephew.

Each HR team member is afforded the opportunity to demonstrate Ethical Practice in this ethical dilemma.

An entry-level HR professional who is in charge of entering payroll data each week is proactive in identifying ethical lapses and notes this problematic pattern of behavior. This individual:

- Maintains knowledge of relevant laws and internal policies and applies that knowledge to workplace situations.
- Keeps confidential, as appropriate, any concerns shared by employees not allowed to work extra hours.
- Shares the discovery and feedback only with those who need to know for further investigation.
- Follows policies consistently and highlights other payroll policy violations, such as instances of forged or altered employee time records.

This professional's manager will develop an ethical response to this situation. The manager will:

- Ensure consistency in handling similar situations to prevent bias from entering the process.
- Reinforce difficult decisions despite pressure to do otherwise, such as requiring a higher-level manager to assign extra work hours or moving the manager's nephew to another department.
- Audit future payroll records to ensure equitable distribution of work hours and no payroll policy violations moving forward.
- Implement training programs regarding the organization's payroll policies to foster an ethical culture and managerial practice in compliance with established policies.

The HR director is critical in ensuring that ethical behavior is upheld in all interactions and transactions, as noted in policies and actively demonstrated by all organizational leaders. The director is ultimately responsible for protecting other employees and the company from this behavior, for confronting senior management if necessary, and for maintaining internal cultures designed to support an ethical culture.

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Discussion Points

Begin by reviewing the BoCK definition of Ethical Practice:
The knowledge, skills and abilities (KSAOs) needed to maintain high levels of personal and professional integrity, and to act as an ethical agent who promotes core values, integrity and accountability throughout the organization.

You can then use any of the following ideas to start discussion.

What aspects of the Ethical Practice competency is the payroll specialist demonstrating?

The payroll specialist is being proactive in detecting the pattern and is demonstrating a concern for confidentiality for all those involved in the situation and the resulting investigation.

What should the HR manager do if the manager in question protests that he/she is doing nothing wrong?

The HR manager should review the organization's ethics with the functional manager and explain that this practice will not be allowed. If necessary, the assignment of overtime will be shifted to another individual.

In a situation like this, what is the role of the leader of the HR function?

The leader of the HR function makes sure that all HR team members are aware of the organization's ethical code and how it applies to HR's activities. The leader may empower team members to take action and then protect them and other employees involved in the situation from retaliation by other managers or employees at any level of the organization.

What other competencies may be needed to address this situation?

For the HR team members, Critical Evaluation to investigate the case and Communication to present the issue to the manager persuasively. For the HR leader, Leadership and Navigation to defend ethical practices to senior and line management.

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Competency Connection—Relationship Management

The Relationship Management competency allows HR professionals to improve the quality and overall effectiveness of business transactions. Consider the following example.

An organization is preparing to negotiate a new contract with one of its major HR software vendors. In anticipation of the contract talks starting, the HR team is mobilized. It includes the director, a senior manager, and a staff specialist. Each contributes, using the Relationship Management competency, to make the process as smooth as possible.

The HR staff member provides an initial point of contact with the software vendor representative and works to establish a pleasant and professional relationship, honestly communicating the function's needs and trying to learn more about the vendor's interests in this negotiation. The staff member prepares the HR manager and director and takes steps to make meetings comfortable and productive.

The HR manager must negotiate a difficult conflict with the IT function. IT would prefer a different vendor, but this other solution would not meet HR and employee needs. HR resolves the conflict by creating a role for IT in all discussions, especially negotiation and post-contract implementation.

The HR director has played an important role in securing IT's cooperation. She has met with and persuaded the IT function leader to direct the function to collaborate in the vendor selection process and support HR's needs to the extent possible. The director has cultivated this relationship carefully over the years, offering support for HR issues before it was even asked and making sure that all of IT's HR requests received prompt attention.

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Discussion Points

Begin by reviewing the BoCK definition of Relationship Management:
The knowledge, skills and abilities (KSAOs) needed to create and maintain a network of professional contacts within and outside of the organization, to build and maintain relationships, to work as an effective member of a team, and to manage conflict while supporting the organization.

You can then use any of the following ideas to start discussion.

Where do you see the Relationship Management competency being used?

In preparing for and during negotiation and in creating alliances with organizational stakeholders.

What is the rationale for laying the groundwork with the vendor?

The most successful negotiations are based on both sides' understanding the needs of the other and trusting that they are not being lied to or manipulated.

What type of conflict resolution strategy is used here? Why is it appropriate?

Collaboration. Both HR and IT win: HR's technical needs are met, and IT can represent its concerns throughout the process.

What important role does the HR director play?

Laying the groundwork for the resolution with IT through a long process of creating an ally who respects what HR can do and trusts the director.

What other Behavioral Competencies do you see being used?

Communication among HR team members and with the vendor; Leadership and Navigation in the HR director's creation of internal allies.

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Competency Connection—Communication

The Communication competency reflects a critical component of all HR activities. HR professionals must hear what is needed, deliver what will be helpful, and change their message and activities based on the feedback they receive. Communication is a feedback loop.

Consider an HR organization that must communicate a new policy on education reimbursement to a large, dispersed, and varied workforce.

The HR leader and an HR manager discuss the new policy, the changes that must be explained, the rationale behind the changes, and how the policy is likely to affect different employee groups. They meet with a benefits specialist who will be responsible for implementing the communication. As a team, they outline the key points, analyze information needs and attitudes of different employee groups, and decide the best way to communicate this change. They decide that they will have a webconference with all managers before announcing the policy. This interactive medium will allow managers to ask HR questions and prepare answers to the questions their people may raise. A week later an e-mail will be sent to all employees.

Meanwhile, the specialist drafts an e-mail aimed at being understandable to the average employee and as brief and complete as possible. The tone of the message will be important. Before this critical document is reviewed by the senior members of the team, the specialist arranges for an internal review by several readers who know this audience.

Reactions at the webconference cause the team to change their strategy slightly. The managers would like to direct employees to the organization intranet for more detailed information and forms they will need. Another HR staff member is assigned this task.

After the policy is released, the team tracks reactions. The few questions coming into HR indicate that the team has done a good job in anticipating employees' communication needs. The intranet page is being visited. The process described there appears to be understood and is being used properly. An e-mail survey of managers indicates that the policy announcement went smoothly in the field.

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Discussion Points

Begin by reviewing the BoCK definition of Communication:
The knowledge, skills and abilities (KSAOs) needed to effectively craft and deliver concise and informative communications, to listen to and address the concerns of others, and to transfer and translate information from one level or unit of the organization to another.

You can then use any of the following ideas to start discussion.

What is the advantage of using a team to tackle this communication?

There are both strategic and tactical issues to address, and a team will increase the chances that actions will be aligned with the project's objectives and thoroughly understood by all those involved. Having a variety of perspectives and communication styles represented on the team will also help in meeting the needs of a diverse workforce.

What is the advantage of breaking the communication into multiple segments?

This allows employees to absorb the change and process it, considering how it will affect their own situations. Then they can have these questions answered satisfactorily by people they trust, their managers and supervisors. The managers and supervisors will have had a separate and previous communication opportunity to prepare for their part in the communication campaign.

What are the advantages of the communication technologies used in this case?

Broadcast methods that are efficient (e-mail) are complemented with interactive methods (webconferences and unit meetings) that allow for questions and feedback.

How is this communication improved through feedback?

The managers' feedback improves the program by pointing out the need for "just in time" information and tools (the intranet site).

What would be appropriate metrics for this activity?

Increase in the use of education benefits to develop job skills related to the organization's strategic goals; manager satisfaction with process; number of hours HR staff spend assisting employees in using the education benefit.

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Competency Connection—Global and Cultural Effectiveness

The Global and Cultural Effectiveness competency allows HR professionals to apply a global mindset to their work challenges, interpret their experiences and gathered data in a larger context, and make better decisions. Consider this example.

A global organization is rolling out a series of training programs aimed at educating employees on the organization's mission, vision, and values. While the overall content and objectives will be seamless across the organization, each HR participant in the process will need to demonstrate competency in Global and Cultural Effectiveness to ensure the program's success.

Specialists must demonstrate proficiency in several areas:

- General knowledge of local cultural issues, including sensitivity around program timing, selection of catered food for each group of attendees, and the use and formatting of name tags
- Respect for diversity and inclusion among participating employees, such as methods of addressing other employees in communications and receiving training acceptance notifications through multiple methods, including e-mail, telephone, and in person
- Awareness of questions regarding training content and logistics that may vary based on cultural differences in order to effectively serve employees

Training managers must:

- Select instructional methods sensitive to local cultures, such as lectures or activities, and vary delivery methods according to local cultural needs.
- Ensure that the learning environment reflects attendees' needs to explore information safely while learning or to save face if a mistake is made.
- Identify instructors best suited to teach in each location, including language fluency, cultural understanding, and knowledge of the organization.

HR leaders must make sure that HR team members develop appropriate skills, follow applicable laws, and demonstrate cultural sensitivity in all their interactions.

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Discussion Points

Begin by reviewing the BoCK definition of Global and Cultural Effectiveness:
The knowledge, skills and abilities (KSAOs) needed to value and consider the perspectives and backgrounds of all parties, to interact with others in a global context, and to promote a diverse and inclusive workplace.

You can then use any of the following ideas to start discussion.

Give an example of the kind of mistake that might result when staff does not have a global mindset.

The HR team might:

- Analyze their audience incorrectly and not prepare for resistance or emphasize the wrong benefits.
- Convey parochialism by making choices about delivery that fit the headquarters' needs more than the local operations' needs.
- Select inappropriate training methods (e.g., workshops or question/answer formats in cultures where employees are less likely to ask questions).

How might a global function like this one reduce the risk posed by diverse legal systems in its workplaces?

Having local HR specialists who can acquire sufficient knowledge of local legal requirements; consulting with local legal professionals.

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Competency Connection—Business Acumen

The Business Acumen competency allows HR professionals to apply knowledge of an organization's business model and competitive situation when solving workforce problems. Consider the following situation.

A division of an organization is experiencing a turnover rate higher than that seen in other divisions. The problem has persisted for 12 months. Before developing a response, the HR leader and staff have to understand the root causes of the turnover, and a knowledge of the business will help them ask the right questions and understand the answers they receive.

An HR staff member conducts and reports on research into the targeted division's products/services, key competitors, language and acronyms, and key labor market trends, such as unemployment and other HR benchmarks, to provide a broader perspective on internal exit interview findings.

The HR manager conducts one-on-one interviews with selected current employees from the division, analyzes data, and proposes solutions. Each solution is assessed in terms of its alignment with the organization's strategy and its expectation of return on investment.

The HR director considers a proposal to rebrand the employer message and develop more effective onboarding programs in terms of resources and applicability to the entire workforce. The director applies all this information and analysis to argue effectively for senior management support.

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Discussion Points

Begin by reviewing the BoCK definition of Business Acumen:
The knowledge, skills and abilities (KSAOs) needed to understand the organization's operations, functions and external environment, and to apply business tools and analyses that inform HR initiatives and operations consistent with the overall strategic direction of the organization.

You can then use any of the following ideas to start discussion.

How specifically will Business Acumen help the HR team?

Understanding the division's business (its products and competitive environment) will give the team a better sense of the company's talent needs, while understanding the labor market will help the team gauge the challenges of recruiting and retaining the necessary talent.

What difference would it make if this enterprise was in its growth stage?

The need for talent would be even more critical. It might also, however, make the employer brand more appealing for employees looking to start and grow their careers.

What would be the strongest argument for investment the HR leader could make?

High turnover increases hiring costs, disrupts productivity and organizational knowledge management, and could damage the employer brand.

What other competencies assist the HR team in this task?

Consultation, Critical Evaluation, Communication, Leadership and Navigation

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Competency Connection—Consultation

The Consultation competency allows HR professionals to use their knowledge of the workforce and HR principles to help the enterprise resolve obstacles to the success of its strategies. Consider the following example.

An organization has identified performance issues in a particular division that are depressing the organization's overall performance. At a strategic management meeting, the vice president of global HR presents HR's capabilities and secures the CEO's commitment to a project aimed at finding causes and solutions to the division's performance issues. The VP assembles a team to design the complex work required for the project.

An experienced manager who knows the division's business and some of the individuals there assumes the role of project manager. She establishes contact within the division to secure the cooperation and involvement that will be needed. With three staff, she conducts research to identify possible root causes for the division's poor performance. The research includes analysis of data from the human resource information system (HRIS) and interviews with key managers.

The analysis of data from the HRIS shows quickly that employee turnover before three years of employment is significantly higher in this division than in others. The HR group meets with division leaders to discuss its research and this possible cause. They agree to research this further through more interviews, review of exit interview notes from the last 12 months, research into comparable organizations, focus groups with groups of employees with different levels of tenure, and an employee questionnaire.

The team drafts a report presenting the data and possible solutions, which include the following:

- Creating more in-depth, effective onboarding experiences for new hires to better facilitate their orientation and induction into the new organization
- Providing coaching to divisional leadership and management on effective career mentoring and development of employees
- Exploring alternative sources for recruiting candidates that appear to offer a higher potential return on sourcing investments
- Recognizing a key divisional leader whose management style is a primary source of turnover and a potential legal liability for the organization and providing him with required, ongoing coaching

The report is reviewed with division leaders, solutions are prioritized, and the final report and a business case for implementing several changes are presented to senior management by the VP of HR and the division's director.

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Discussion Points

Begin by reviewing the BoCK definition of Consultation:
The knowledge, skills and abilities (KSAOs) needed to work with organizational stakeholders in evaluating business challenges and identifying opportunities for the design, implementation and evaluation of change initiatives, and to build ongoing support for HR solutions that meet the changing needs of customers and the business.

You can then use any of the following ideas to start discussion.

How does the HR leader demonstrate the Consultation competency?

The HR leader performs a thorough analysis of the perceived problem so that HR can offer sound guidance that has a better chance of producing long-lasting effects.

Why is a systems approach to solving this problem a good idea?

Identifying possible reasons for a performance problem requires examining many areas—for example, hiring practices, cultural factors, performance management systems, compensation strategies, and employee engagement. A solution will have to consider effects on other processes—for example, attracting better candidates will not have the desired effect if poor management behaviors harm employee engagement. Steps to recruit better management will have to be implemented alongside steps to improve managing skills and career development.

Of the four proposed solutions, which would present the greatest challenge for the organization in terms of managing change?

Probably the coaching initiative, since it aims at changing managers' perceptions of their roles and requires new skills and knowledge.

What other competencies would be essential here?

Critical Evaluation, Leadership and Navigation, Communication, Relationship Management

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Competency Connection—Critical Evaluation

The Critical Evaluation competency allows HR professionals to see the meaning behind the data they collect, to provide sound advice to management, and to make better function decisions. In the Consultation competency example, we looked at an HR team trying to solve the problem of a division's poor performance and high levels of turnover. We'll continue that example here.

One of the analytical exercises used in examining the turnover problem was to examine exit interview notes from the previous year to determine if certain problems were mentioned repeatedly and if any patterns existed. To do this, the HR specialist:

- Creates a spreadsheet to capture significant data from the reviewed notes.
- Condenses the wide volume of responses down into the essential elements, using metrics such as mean, median, mode, and percentiles.
- Uses graphic elements to summarize key areas.

The specialist and the manager study the data and consider its quality from a number of perspectives, trying to control for different interviewers, types of positions, types of reasons given, and so on. They look for commonalities and trends. They report to the HR leader a list of possible causes for turnover that should now be compared with data from other, better-performing divisions.

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Discussion Points

Begin by reviewing the BoCK definition of Critical Evaluation:
The knowledge, skills and abilities (KSAOs) needed to collect and analyze qualitative and quantitative data, and to interpret and promote findings that evaluate HR initiatives and inform business decisions and recommendations.

You can then use any of the following ideas to start discussion.

Which graphic analysis tools would be most useful in explaining the causes to management?

A Pareto chart can show the most prevalent causes, which should be prioritized for treatment. Scatter diagrams can be used to show the strength of relationships with causes. A histogram could compare the division under analysis with other divisions.

If the company uses a standard exit interview template, will it be more likely to receive reliable results?

Yes. A template will help overcome biases introduced by different users, although the users must be trained in the proper use of the template. Note, though, that the results are not necessarily valid; the interview may be asking the wrong questions.

What other competencies will be useful in this scenario?

Business Acumen, Communication

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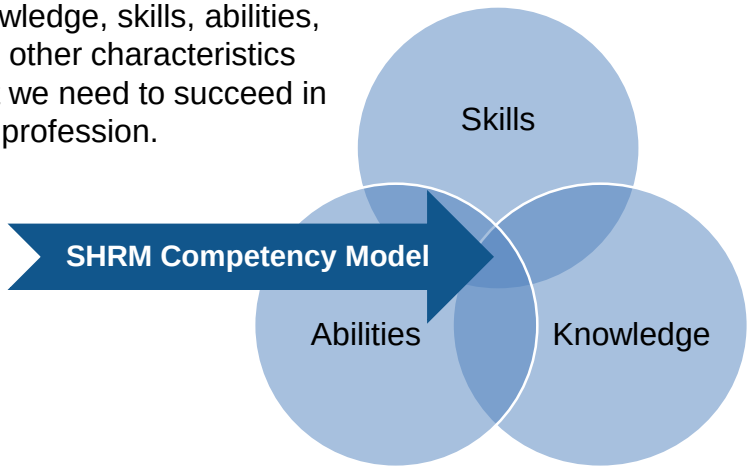
HR Competencies

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What Is a Competency?

Competencies combine knowledge, skills, abilities, and other characteristics that we need to succeed in our profession.



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HR's Constituencies

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

From senior management to new hires

Across organizational divisions

The SHRM HR competency model reflects multiple constituencies.

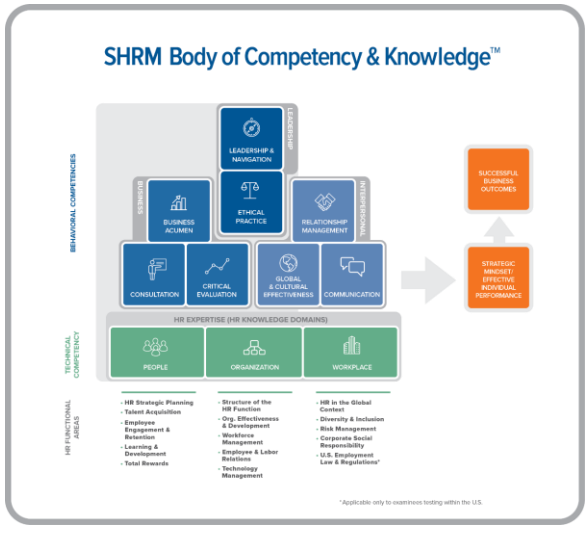
With entire workforces and individual employees

With internal and external stakeholders

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Nine Competencies

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Behavioral Competencies

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SHRM-CP and SHRM-SCP

2018 SHRM LEARNING SYSTEM FOR **SHRM-CP/SHRM-SCP**

All HR professionals

"Understand strategic relationship between HR and core functions"

Advanced HR professionals

"Align HR and business strategy, goals, objectives"

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Leadership and Navigation

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

The knowledge, skills and abilities (KSAOs) needed to navigate the organization and accomplish HR goals, to create a compelling vision and mission for HR that aligns with the strategic direction and culture of the organization, to lead and promote organizational change, to manage the implementation and execution of HR initiatives, and to promote the role of HR as a key business partner.

Requires:

- Navigating the organization
- Vision
- Managing HR initiatives
- Influence

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Managers and Leaders

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

Managers

- Planning
- Organizing and resourcing
- Directing
- Coordinating
- Controlling resources

Organizations need both.

Leaders

- Modeling values
- Supporting problem-solving, innovation, and change
- Inspiring and influencing
- Maintaining motivation and focus
- Fostering growth and development

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Leadership Theories

Trait or "Great Man" Theory

Leaders lead because they possess recognized, critical characteristics.

- Integrity
- Intelligence
- Creativity
- Persuasiveness
- Adaptability
- Tolerance of stress
- Desire to influence
- Willingness to accept responsibilities
- Decisiveness
- Energy

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Leadership Theories

Behavioral School

Leaders focus their actions on the employee and on the job.

Employee-centered behavior (known as **consideration**)

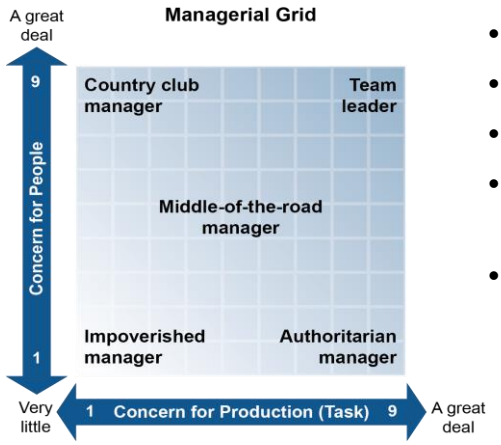
- Focus is on the social and emotional needs of individuals and group members.

Job-oriented behavior (known as **initiating structure**)

- Focus is on task goals; address employee needs only to the extent that this improves task results.

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Blake-Mouton Theory



- Team leader
- Authoritarian manager
- Country club manager
- Impoverished manager
- "Middle-of-the-road" manager

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Leadership Theories

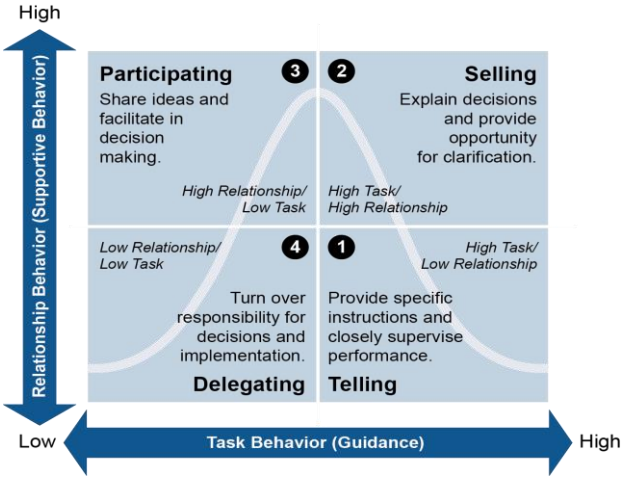
Situational Theories

- Extend the behavioral concept—the effectiveness of different leadership styles depends on the situation.
- Leadership style is most effective when it flexes to the situation or the employees involved.

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Hersey-Blanchard Situational Leadership

Leadership styles match the maturity of the employee.



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Fiedler's Contingency Theory

- Favorableness of the leadership environment is determined by the following factors:
  - Leader-member relations—the degree of confidence, trust, and respect that followers have in their leaders.
  - Task structure—the extent to which tasks are well defined.
  - Position power—the degree of power and influence a leader has over subordinates.
- Leaders should change the **factors** rather than their **style.**

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Path-Goal Theory

- Leaders help employees stay on track toward a defined goal.
- Involves managing obstacles and addressing different types of employee needs:
  - Define the goal.
  - Clarify the goal.
  - Remove obstacles.
  - Provide support.



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Emergent Leadership

- A leader is not formally appointed but emerges from a group.
- The group chooses the leader based on personal qualities and interactions.



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Belbin's Solo Leaders vs. Team Leaders

Solo Leaders

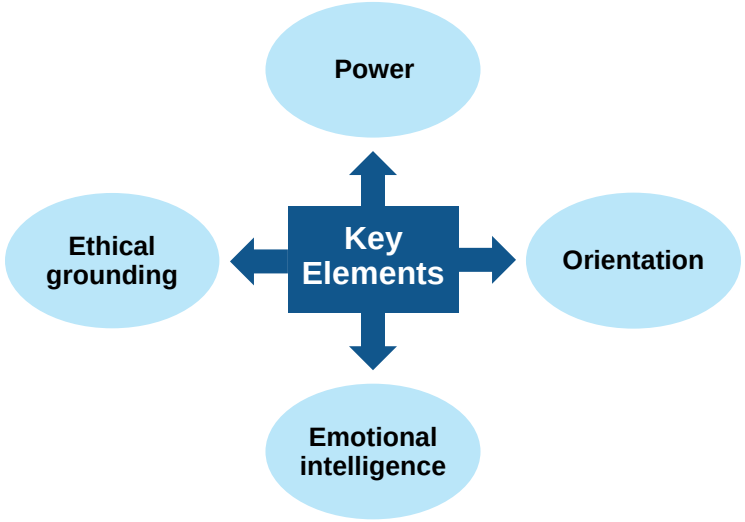
- Get involved (and interfere) in everything.
- Expect team members to conform to their standards of behavior and style.
- Collect admirers and "yes men."
- Direct team members' activities.
- Set objectives.

Team Leaders

- Delegate team roles to others.
- Recognize the value of diversity in the team.
- Encourage constructive disagreement; not threatened by team members' special abilities.
- Develop team members' growth.
- Create vision on which others act.

© SHRM

Authentic or Transformational Leadership



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Universal Characteristics of Leadership

Certain characteristics are defined around the world as traits of real leaders.

- Trustworthy
- Just
- Honest
- Foresight
- Plans ahead
- Encouraging
- Positive
- Dynamic
- Motive arouser
- Confidence builder
- Motivational
- Decisive
- Excellence-oriented
- Dependable
- Intelligent
- Effective bargainer
- Win-win problem solver
- Administratively skilled
- Communicative
- Informed
- Coordinator
- Team builder

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Influencing

Relies on using one's power to change other's perceptions or actions	
Legitimate	Created formally through a title or position
Reward	Created when followers receive something they value in exchange for commitment
Expert	Created when a leader possesses great intelligence, insight, or experience
Referent	Created by the force of the leader's personality
Coercive	Created when the leader has the power to punish nonfollowers

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Building Trust

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

- Common values
- Aligned interests
- Benevolence
- Capability or competence
- Predictability and integrity
- Communication

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Branches of Emotional Intelligence

2018 SHRM LEARNING SYSTEM FOR SHRM-CP/SHRM-SCP

Perceive emotion.

Identifying your own and others' emotions

Use emotion to facilitate thought.

Decision making, problem solving, etc., within the context of emotions

Understand emotion.

Interpreting complex emotions and understanding their causes

Regulate emotion.

Detaching from emotions when they get in the way

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Emotional Intelligence Quotient (EIQ)

Self-awareness

Becoming aware of your emotions and needs and their effect on work relationships

Self-regulation

Learning to control (and accommodate) one's emotions

Motivation

Possessing a passion for the job or current objective

Empathy

Being aware and accepting of the importance and legitimacy of others' emotions

Social skills (social intelligence)

Being able to create connections or rapport with others

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Motivation

Understanding why people behave the way they do helps leaders influence behavior by appealing to the right needs in the right way.

Underlying principles of human behavior:

- People have a reason for doing whatever they do.
- All behavior is directed toward achieving a goal.
- Each person is unique because of different heredity and environment.

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Maslow's Hierarchy of Needs

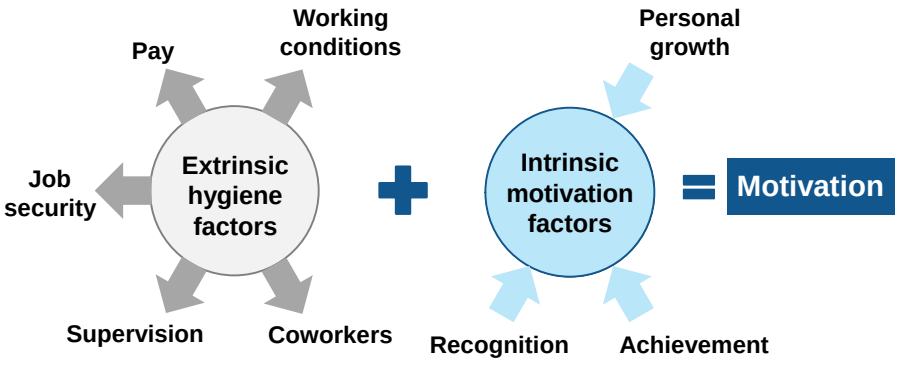
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Herzberg's Motivation-Hygiene Theory

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McClelland's Three Needs Theory

A leader motivates employees by structuring work assignments and interactions to meet these needs:

Achievement	Drives people to tackle work that will produce meaningful results
Example: A leader gives an achievement-oriented employee an assignment that will require and call attention to the employee's abilities.	
Affiliation	Drives people to make social connections and to be part of a group
Example: A leader supports the relationship needs of an affiliation-oriented employee through a supportive team atmosphere.	
Power	Drives people to control or exert influence over others
Example: A leader delegates high-visibility tasks that an employee can control and direct.	

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Self-Determination Theory

People have an inherent desire to grow; they are self-motivated (intrinsic motivation).

Competence	The desire to master a task
Relatedness	The experience to interact and be part of a group
Autonomy	The need to control one's life in order to fulfill one's desires
Purpose	The need to do something that has a larger social purpose

Extrinsic motivators (rewards) have some effect, but the effect declines over time.

© SHRM

Other Motivation Theories

Expectancy (Vroom)

- Level of effort depends on:
  - Expectancy.
  - Instrumentality.
  - Valence.

Attribution (Heider, Weiner, others)

- How a person interprets causes for past success or failure impacts motivation.
- A leader can help employees accurately attribute causes and create opportunities for success.

Goal Setting

- Motivation can be increased if employees can assess their achievement against goals.
- Optimally, employees should be involved in designing goals and supported in achieving them.

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Competency Connection: Leadership and Navigation

Let's recap:

- HR VP points out to senior leadership a gap between a proposed strategy and current structure and culture.
- HR VP assembles team to interface with organization.
- HR VP works directly with sales leaders.
- HR team takes on different tasks to prepare for implementing a change strategy for sales.

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Competency Connection: Leadership and Navigation

Let's discuss:

- What actions show the Leadership and Navigation competency in action in this scenario?
- What type of leader is the HR VP? What actions tell you that?

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Ethical Practice

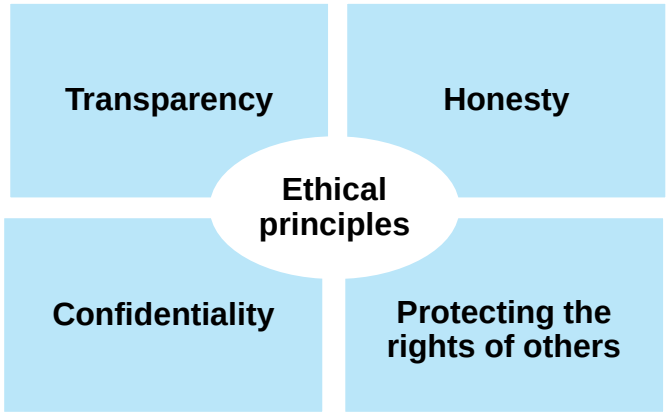
The knowledge, skills and abilities (KSAOs) needed to maintain high levels of personal and professional integrity, and to act as an ethical agent who promotes core values, integrity and accountability throughout the organization.

Requires:

- Personal integrity
- Professional integrity
- Ethical agent

© SHRM

Ethics in the Workplace



© SHRM

Ethical Workplaces

Transparency
- Supports trust in relationships with stakeholders
- Discloses details about dealings, transactions, or processes

Honesty
- Reflects a commitment to truthfulness and fairness
- Avoids conflicts of interest and the use of bribery

Confidentiality
- Agrees not to share or make public personal information
- Respects proprietary information consistent with legal requirements and best practices

Protecting the rights of others
- Aims for conduct that respects others' safety and well-being, dignity, privacy

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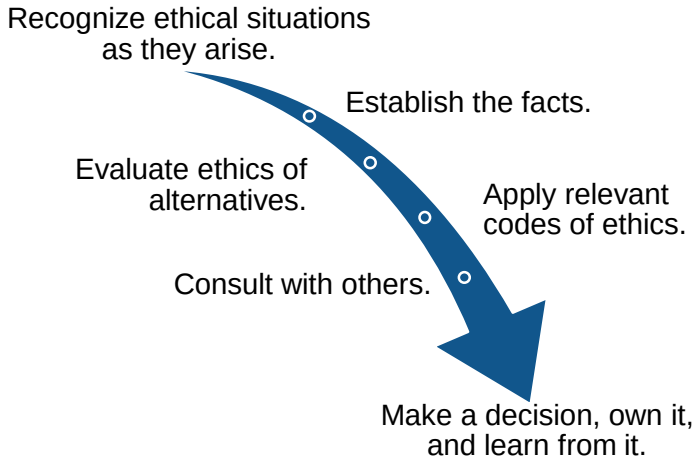
Codes of Conduct *

…help an organization promote ethical behavior…communicate organizational commitment internally…define behavioral expectations for all employees…serve as a guide by which employees and managers can judge their actions…

* See Corporate Social Responsibility in *Workplace* module.

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Ethical Behavior



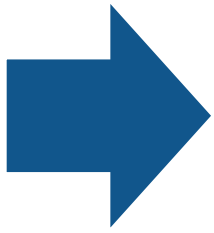
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Ethical Universalism vs. Cultural Relativism



Ethical Universalism

Fundamental principles apply across all cultures, without regard to local ethical norms.



Cultural Relativism

Ethical behavior is determined by local culture, laws, and business practices.

© SHRM

Competency Connection: Ethical Practice

Let's recap:

- A manager may be showing favoritism in the way he or she assigns overtime opportunities.
- An HR payroll specialist is the first to notice the pattern and tells his or her manager.
- The HR manager investigates and takes action to stop the practice and reeducate managers about ethical practices in the workplace.

© SHRM

Competency Connection: Ethical Practice

Let's discuss:

- What aspects of the Ethical Practice competency is the payroll specialist demonstrating?
- What should the HR manager do if the manager in question protests that he/she is doing nothing wrong?
- In a situation like this, what is the role of the leader of the HR function?
- What other competencies may be needed to address this situation?

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Relationship Management

The knowledge, skills and abilities (KSAOs) needed to create and maintain a network of professional contacts within and outside of the organization, to build and maintain relationships, to work as an effective member of a team, and to manage conflict while supporting the organization

Requires:

- Networking
- Relationship building
- Teamwork
- Conflict management
- Negotiation

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Networking

A process of developing mutually beneficial contacts through the exchange of information…may consist of internal or external contacts

Effective networking requires:

- Finding people who have something you would like to share.
- Having something yourself that other people would like to share.
- Taking the time to make and maintain connection.

© SHRM

Managing Conflict

Mode	Description
Accommodate (or smooth)	Emphasize agreement and downplay disagreement.
Assert (or force)	Impose a solution.
Avoid	Withdraw and allow conflict to be resolved (or not) by others.
Collaborate (or confront)	Search for a “third way” that both sides can own.
Compromise	Ask both sides to concede some issues to reach agreement.

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Approaches to Negotiation

- **Soft:** The relationship is worth more than the issue at hand.
- **Hard:** Winning is more important than the relationship.
- **Principled (interest-based or integrative bargaining):** Focus is on issues, finding common interests, and achieving mutual gain.

© SHRM

Negotiating Process

Prepare.
- Know your needs and their likely demands (e.g., BATNA analysis).

Build relationship.
- Create trust; encourage comfort and openness.

Exchange information.
- Understand positions and perspectives.

Persuade.
- Find mutual benefits.

Concede and agree.
- Find best alternative.
- Confirm and document if appropriate.

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Competency Connection: Relationship Management

Let's recap:

- An HR team is preparing for contract negotiation with a major software vendor.
- One team member works directly with the vendor to build a relationship and establish needs.
- Another team member must develop an approach for working with IT, who wants a different vendor.
- The HR director proves to be a key player.

© SHRM

Competency Connection: Relationship Management

Let's discuss:

- Where do you see the Relationship Management competency being used?
- What is the rationale for laying the groundwork with the vendor?
- What type of conflict resolution strategy is used here? Why is it appropriate?
- What important role does the HR director play?
- What other Behavioral Competencies do you see being used?

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Communication

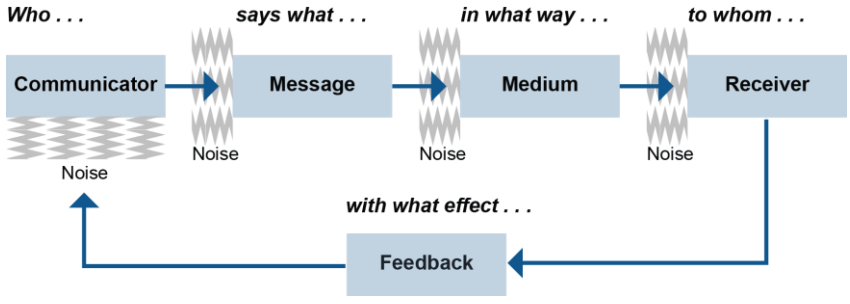
The knowledge, skills and abilities (KSAOs) needed to effectively craft and deliver concise and informative communications, to listen to and address the concerns of others, and to transfer and translate information from one level or unit of the organization to another.

Requires:

- Delivering messages
- Exchanging organizational information
- Listening

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Communication Model



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Impactful Communication

Impactful communication integrates:

- An understanding of the audience's needs and perspectives.
- A clear message.
- Effective delivery.



At the center is the communicator and the perception communicators create of themselves.

© SHRM

Understanding the Audience

Key audience analysis questions:

- Who should receive information?
- What do they know, and what do they need to know?
- How will the audience react?
- How can I best persuade them?



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Constructing the Message

Key "framing" questions:

- What is my objective? What do I want the audience to feel? To do?
- What benefits can be created as a result of this communication?
- What are the key points, and what order makes logical sense?
- What evidence will convince the audience?



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Mastering Delivery

Key planning questions:

- How will the communication occur?
- When will the communication occur?
- Where will the communication occur?
- Who will communicate?
- What support will be required?
- What media will be used?
- How will audience feedback be managed?
- What organizational rules will shape the communication?



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Being an Impactful Communicator

Key questions to create impact:

- How can I employ active listening?
- How can I create credibility?
  - Reputation for expertise
  - Reliability
  - Integrity
- How do I create presence?
  - Posture and movement
  - Gesture
  - Eye contact
  - Vocal qualities



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Impactful Communication in Special Situations

Giving feedback

- Be precise and help the employee hear and apply the feedback.
- Confirm understanding.

Facilitating focus groups

- Encourage full discussion of topics and participation by the entire group.
- Apply active listening.

Leading staff meetings

- Incorporate practices such as agendas with defined objectives, good time management, conflict resolution, summary of decisions and assignments.

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Evaluating Communication

- Was the audience analysis complete and on target?
- Did the audience react as anticipated?
- What points did they seem most or least interested in?
- Where did they get confused?
- Where were they most engaged? What engagement tactics worked and which didn't?
- How could feedback mechanisms be improved?

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Competency Connection: Communication

Let's recap:

- HR must communicate a new policy on education reimbursement to a dispersed workforce.
- The HR leader forms a team that performs audience and message analysis.
- The team decides to stage delivery of the information, starting with managers, and to use technology to deliver the information.
- The team carefully evaluates the success of the communication.

© SHRM

Competency Connection: Communication

Let's discuss:

- What is the advantage of:
  - Using a team to tackle this communication?
  - Breaking the communication into multiple segments?
- What are the advantages of the communication technologies used in this case?
- How is this communication improved through feedback?
- What would be appropriate metrics for this activity?

© SHRM

Global and Cultural Effectiveness

The knowledge, skills and abilities (KSAOs) needed to value and consider the perspectives and backgrounds of all parties, to interact with others in a global context, and to promote a diverse and inclusive workplace.

Requires:

- Operating in a diverse workplace
- Operating in a global environment
- Advocating for a diverse and inclusive workplace

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The Global Mindset

A **global mindset** is the ability to take an international, multidimensional perspective that is inclusive of other cultures, perspectives, and views.



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Features of a Global Mindset

- Seeking a broader picture
- Accepting contradictions
- Trusting systems, procedures, and norms rather than structure
- Valuing multicultural teamwork
- Viewing change as an opportunity
- Welcoming new ideas and opportunities to learn
- Behaving inclusively rather than exclusively

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Benefits of a Global Mindset

- Allows organization to identify global opportunities.
- Brings key operational benefits, including:
  - Early mover advantage.
  - More critical analysis regarding local adaptation/global standardization.
  - Smoother coordination of complementary functional activities.
  - Faster rollout of new product concepts and technologies.
  - More rapid and efficient sharing of best practices.
  - Lower failure rate of international assignments.
- Makes organization:
  - More proactive with respect to benchmarking and learning from product and process innovations that take place outside domestic borders.
  - More alert to the entry of nontraditional competitors into local market.
  - More open to diversity.

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Developing and Promoting a Global Mindset



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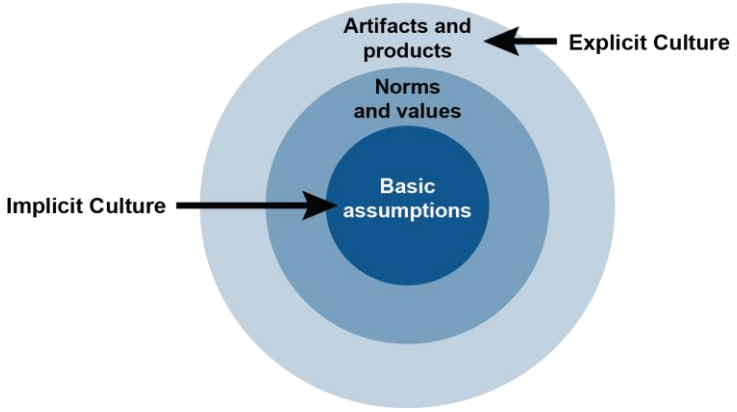
Culture

Set of beliefs, attitudes, values, and behaviors shared by members of a large group and passed down from one generation to the next

- Nations
- Geographic regions
- Organizations
- Industries
- Professions or job groups

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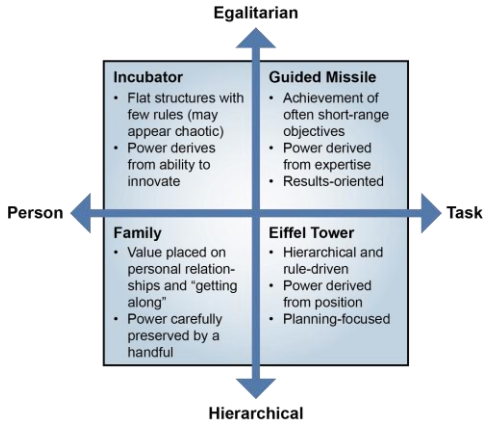
Layers of Culture



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Organizational Culture

The same concepts about culture are applied to organizations…but carefully. The influences of national cultures may be mistaken for organizational culture.



Trompenaars's
Four Corporate Cultures

© SHRM

High- and Low-Context Cultures

High-Context Cultures

- Complex, long-standing networks of relationships.
- Rich history of common experience and implicit rules.
- What you say may not be what you mean.
- *Examples: China, Japan, France, many Latin American countries.*

Low-Context Cultures

- Relationships have less history.
- Background information is packaged with explicit communication.
- What you say is what you mean.
- *Examples: United States, United Kingdom, Canada.*

Impacts:
Negotiations, 360-degree performance reviews, training meetings

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Hofstede's Dimensions of Culture

Dimension	Definition
Power distance	Extent to which unequal distribution of power is accepted.
Individualism/ collectivism	Degree of group integration: Individualism values self-reliance, collectivism values group loyalty.
Uncertainty avoidance	Tolerance for uncertainty, ambiguity; comfort with new, unexpected situations.
Masculine/ feminine	• Masculine: ambitious; concerned with work and achievement. • Feminine: nurturing; concerned with quality of life and consensus.
Long-term/ short-term	• Long-term: values perseverance, thrift; orders relationships by status. • Short-term: values social traditions, respect, trading favors, greetings.
Indulgence/ restraint	• Indulgence: Enjoyment of life and freedom in gratifying desires. • Restraint: Suppression of desires in order to meet social norms.

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Trompenaars's and Hampden-Turner's Dilemmas

- Universal vs. particular
- Individual vs. communitarian
- Neutral vs. affective
- Specific vs. diffuse
- Achieved vs. ascribed
- Sequential vs. synchronic
- Internal vs. external

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Challenge of Culture

Ethnocentrism and parochialism
(limited world views)

Cultural stereotypes
(judgmental characterizations)

Cultural determinism
("The culture made me do it.")

Cultural relativism
(Everything varies with the situation.)

Cultural disconnects can lead to "malicious compliance" (agreeing to programs from headquarters and then sabotaging their success).

© SHRM

Dilemma Reconciliation

Recognize	Create awareness of cultural diversity.
Respect	Appreciate the value of diversity.
Reconcile	Resolve differences and find a common path.
Realize and root	Implement and reward actions to reconcile differences.

© SHRM

Creating Cultural Synergy

Dominate	Parochialism
Avoid	Ignore conflict
Accommodate	Cede to local cultures
Compromise	Both cultures give up something
Create an alternative	Through cultural synergy

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Types of Legal Systems

Civil Law	Common Law	Religious Law
• Based on written codes approved by legislative bodies. • Most prevalent form of law in the world.	• Based on judicial decisions. • Evolves over time. • Forms the basis of legal systems in United King-dom and former colonies.	• Based on religious beliefs and conventions (a mix of written codes and interpretations). • Can influence HR policies and practices.

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Rule of Law

No individual is beyond the reach of the law.

Authority is exercised only in accordance with written and publicly disclosed laws.

Laws are enforced through due process procedures.

Government is thereby restrained from abusing power.

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Jurisdiction

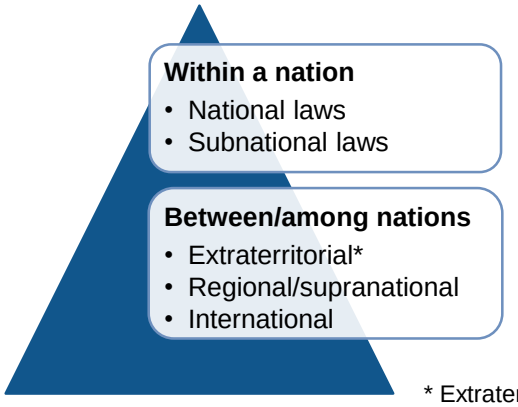
The right of a legal body to exert authority over a territory, subject matter, or persons or institutions.

Implications for organizations:

- Host- rather than home-country laws may apply to corporate activities.
- For global organizations, jurisdictional disputes may arise.
- Two important concepts:
  - Conflict of laws
  - Forum or jurisdiction shopping

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Levels of Law



* Extraterritorial laws extend the power of a country's laws over its citizens **outside that country's sovereign national boundaries.**

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Competency Connection: Global and Cultural Effectiveness

Let's recap:

- The global HR function must communicate the organization's mission, vision, and values to its globally dispersed workforce.
- Specialists must be culturally fluent so that they can anticipate and plan for logistical differences among the sites.
- Training managers must take cultural differences into account when designing the communication.
- The global HR head must monitor strategic, ethical, and legal issues.

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Competency Connection: Global and Cultural Effectiveness

Let's discuss:

- Give an example of the kind of mistake that might result when staff does not have a global mindset?
- How might a global function like this one reduce the risk posed by diverse legal systems in its workplaces?

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Business Acumen

The knowledge, skills and abilities (KSAOs) needed to understand the organization's operations, functions and external environment, and to apply business tools and analyses that inform HR initiatives and operations consistent with the overall strategic direction of the organization.

Requires:

- Business and competitive awareness
- Business analysis
- Strategic alignment

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Value

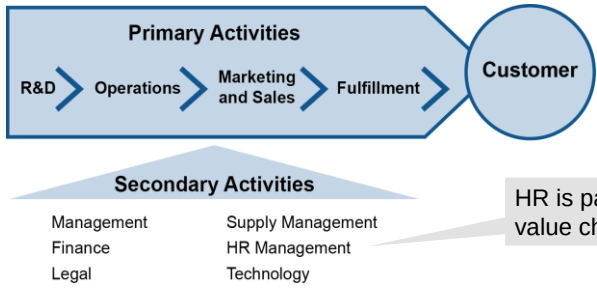
- **Value** generally refers to organizations' success in meeting their strategic goals.
- Both for-profit and not-for-profit organizations must produce value.
- Value therefore can vary by organization.
- It can be influenced by the organization's mission.



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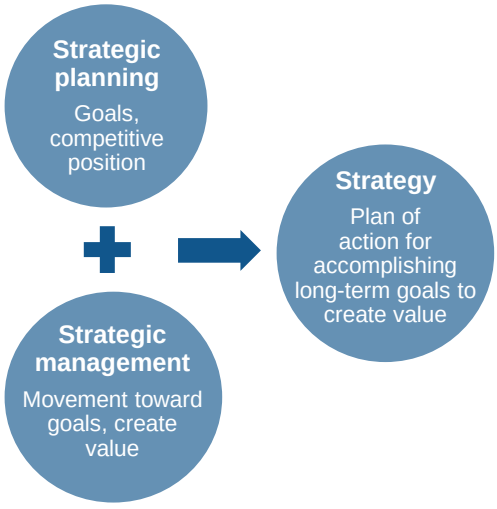
Value Chain

- The organizational process used to create its product or services is the **value chain.**
- Value chains may vary in structure.
- Some include external supply chain and/or delivery partners**.**



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What Is Strategy?



Benefits of having a strategy:

- Consistent, long-term goals
- Consistent decision making
- Better competitive and external vision
- Better internal vision

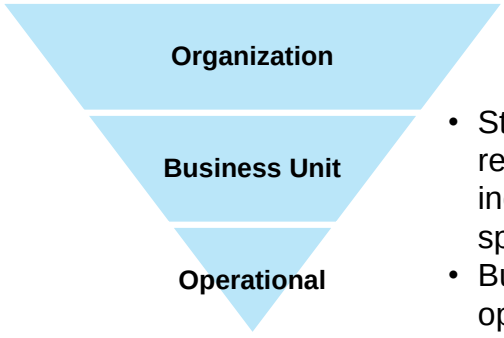
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Mistakes to Avoid

- Taking shortcuts
- Not following through
- Relying on the comfortable and familiar
- Not enough management support
- Little involvement beyond high-level management in creating strategy
- Poor communication of what strategy means to the organization and employees

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Levels of Strategy



- Strategic planning is repeated at each level with increasing focus and specificity.
- Business unit and operational strategies are closely aligned with the organizational strategy to better support its implementation.

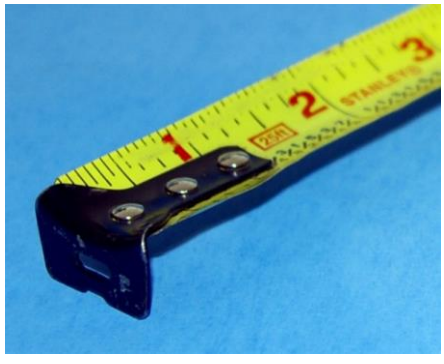
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Measuring Performance

Measuring results is an essential part of strategic management.

Measure all aspects of activities:

- Effectiveness
- Efficiency
- Impact



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Key Performance Indicators

KPIs:
Quantifiable measures of performance used to gauge progress toward strategic objectives or agreed standards of performance

Tips

- Focus. Measure what's important. Don't measure everything.
- Consider the past, present, and future.
- Remember your stakeholders' "values."
- Revise KPIs to meet changing strategy and environment.

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Stakeholder Concept

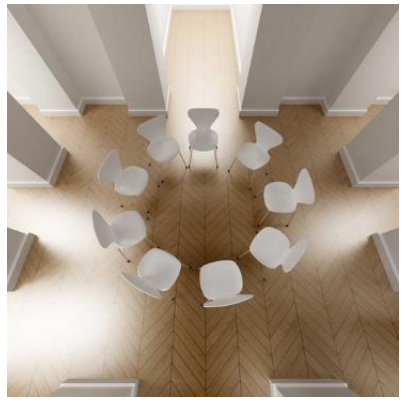
The various bodies, groups, or individuals affected by and affecting an organization's operations



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To Understand Stakeholders

- How does a stakeholder define value?
- How are competing stakeholder interests prioritized?
- How do we open communication with all stakeholders to understand their needs?
- How do we manage their expectations?

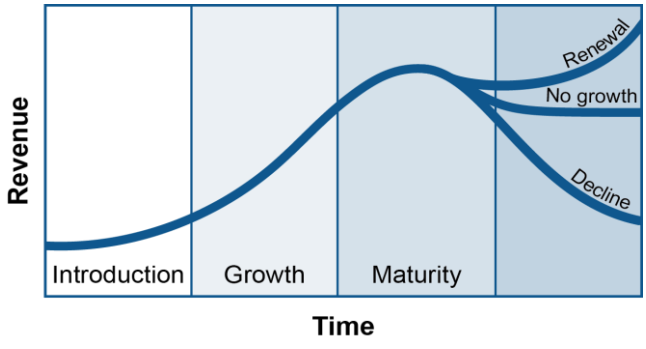


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Life Cycle

Know where you are in the life cycle:

Needs change as industries, businesses, and products pass through predictable cycles.



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Porter's "Five Forces"

Know how your industry operates:

Industry-specific characteristics influence the critical success factors for organizations.



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Budgeting

Budget Type	Characteristics
Zero-based	Each unit or goal is ranked, and available funds are allocated, with budgets starting at zero.
Incremental	Traditional approach; prior budget is basis for next budget.
Formula	Different units receive varying percentages of budget.
Activity-based	Based on how much it costs to perform activities; funding based on strategic significance of activities.

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Budgeting Considerations

The budgeting process requires understanding the organization's practices, strategy, and environment.

- How does the organization allocate costs?
- Which costs are variable and which are fixed for the budget year?
- When do costs occur?
- What organizational and functional strategic plans will affect HR?
- What risk factors affect the budget?



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Business Case

Description of a problem and a proposal for investment in the recommended solution

- **Statement of need** — Condition or change impelling action
- **Recommended solution** — Objectives for an ideal solution
- **Risks and opportunities** — Should be monitored throughout project
- **Estimated costs and time frame** — All foreseeable costs plus a reserve

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Performance and Business Health

Financial analysis

- Uses a variety of tools and metrics—both financial and nonfinancial.
- Evaluates an organization's viability, stability, and profitability and the effectiveness of organizational strategies.

Business intelligence (BI) applications and portals

- Allow analysts to retrieve timely, accurate, and complete data and transform that data into "actionable intelligence" that can be used to make organizational decisions.

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Sample Balance Sheet

ABC Manufacturing Company

Balance Sheets	In thousands (000)	
December 31, Year	Year 1	Year 2
Cash and cash equivalents	$ 133,900	$ 128,600
Raw materials inventory	10,800	13,000
Work-in-process inventory	5,400	16,600
Finished goods inventory	25,000	23,700
Total inventory	$ 41,200	$ 53,300
Accounts and notes receivable	46,200	50,300
Doubtful accounts	<500>	<400>
Total current assets	$ 220,800	$ 231,800
Gross plant, property, and equipment	60,000	70,000
Accumulated depreciation	<6,400>	<10,400>
Net plant, property, and equipment	$ 53,600	$ 59,600
Total assets	**$ 274,400**	**$ 291,400**
Accounts payable	59,700	65,200
Short-term notes payable	12,000	16,000
Total current liabilities	$ 71,700	$ 81,200
Long-term debt	80,000	80,000
Stockholders' equity (includes retained earnings)	122,700	130,200
Total long-term debt and stockholders' equity	$ 202,700	$ 210,200
Total liabilities and stockholders' equity	**$ 274,400**	**$ 291,400**

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Balance Sheet Concepts

Assets = Liabilities + Equity or **Equity = Assets – Liabilities**

Assets	What an organization owns
	Can be tangible or intangible
	Can include investments
	Can include what is owed to the organization (**accounts receivable)**
Liabilities	What an organization owes
	Can include items such as rent, loans, tax debts, etc.
	Can include what vendors/suppliers are owed (**accounts payable)**
Equity	Represents what a company owes to either its owner(s) or its shareholders
	Represents what is left of a company's assets after its liabilities have been discharged

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Income Statement Concepts

Basic form is:

Revenues – Expenses = Net income

- Provides the "bottom line" look at how the organization is performing.
- Also known as the **profit and loss statement** (P&L).

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Sample Income Statement

Gross profit ÷ Net sales

Net income ÷ Net sales

ABC Manufacturing Company		
Income Statements	**In thousands (000)**	
For the Years Ending December 31, Year	**Year 1**	**Year 2**
Sales—gross	$ 285,500	$ 312,000
Sales discounts, returns, and allowances	14,300	15,600
Net sales	*271,200*	*296,400*
Cost of goods sold (COGS) (direct materials, direct labor, and factory overhead)	167,400	182,200
Gross profit	**103,800**	**114,200**
Gross profit margin	**38%**	**39%**
Selling expenses	29,800	32,600
General and administrative (salaries)	19,000	20,700
Lease expense	10,800	11,900
Depreciation	3,400	4,000
Earnings before interest and taxes (EBIT)	*40,800*	*45,000*
Interest expense	4,300	4,400
Pretax income	*36,500*	*40,600*
Income taxes	12,000	21,100
Net income	**$ 24,500**	**$ 19,500**
Net profit margin %	**9%**	**7%**

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Sample Cash Flow Statement

ABC Manufacturing Company		
Statements of Cash Flow	**In thousands (000)**	
Year	**Year 1**	**Year 2**
After-tax income	$ 24,400	$ 19,500
Depreciation add-back	3,400	4,000
(Increase)/decrease in inventory	(7,900)	(12,100)
(Increase)/decrease in accounts receivable	(7,700)	(4,200)
Increase/(decrease) in accounts payable	10,100	5,500
Net cash flow from operating activities	**22,300**	**11,700**
Capital expenditures	(10,000)	(10,000)
Net cash flow from investments	**(10,000)**	**(10,000)**
Cash flow from operations and investment	12,300	1,700
Additional equity capital	–	–
Less dividends paid	(10,000)	(12,000)
Increase/(decrease) in long-term debt	–	–
Increase/(decrease) in short-term notes	2,000	4,000
Net cash flow from financing activities	**(8,000)**	**(8,000)**
Cash flow from operations, investments, and financing activities	**4,300**	**(6,300)**
Beginning cash balance	**129,600**	**133,900**
Ending cash balance	**$ 133,900**	**$ 127,600**

Combined cash flow is subtracted from the ending cash balance of the previous period, which is the beginning cash balance of the current period.

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Cash Flow Statement Concepts

- Shows incoming and outgoing cash in the areas of operations, investing, financing.
- The balance, trends, and relationships in areas of the statement are examined for signs of sound or weak management.
  - Negative cash flow in operations could indicate that sales are too low and/or the cost of production is too high.
  - Negative cash flow in financing could show an organization is relying too heavily on borrowing.

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Financial Ratios

Variety of tools that can be used to analyze an organization's performance.

Excessive use of financial measures can overemphasize the importance of short-term results.

They are often industry-specific, so HR professionals should understand industry metrics and how the organization compares with similar enterprises.

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Sample Financial Ratios

- Current
- Debt to asset
- Debt to equity
- Accounts receivable turnover
- Gross margin
- Earnings before interest, taxes, depreciation, amortization (EBITDA) margin
- Profit margin
- Return on investment (ROI)
- Earnings per share (EPS)
- Price to earnings (P/E)

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Sample Nonfinancial Metrics

- Market share
- Reputation among stakeholders
- Brand awareness
- Employer brand
- Social responsibility
- Quality, customer relations, innovation
- Efficiency
- Activity ratios
- Employee retention and job satisfaction
- Employee engagement

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Competency Connection: Business Acumen

Let's recap:

- An organization experiences a persistently high turnover rate.
- The HR team researches internal and external factors that might be causes for the problem.
- Based on research, the team proposes solutions to the HR director.
- The HR director seeks senior management support for the strongest solution: rebranding the employer message and improving onboarding.

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Competency Connection: Business Acumen

Let's discuss:

- How specifically will Business Acumen help the HR team?
- What difference would it make if this enterprise was in its growth stage?
- What would be the strongest argument for investment the HR leader could make?
- What other competencies assist the HR team in this task?

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Consultation

The knowledge, skills and abilities (KSAOs) needed to work with organizational stakeholders in evaluating business challenges and identifying opportunities for the design, implementation and evaluation of change initiatives, and to build ongoing support for HR solutions that meet the changing needs of customers and the business.

Requires:

- Evaluating business challenges
- Designing HR solutions
- Implementing and supporting HR solutions
- Change management
- Customer interaction

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McKinsey 7-S Framework

Seven elements must be aligned:

- ✓ Structure, the way work is divided
- ✓ Strategy, the plan to improve its competitive position
- ✓ Systems, the procedures the organization uses to operate
- ✓ Style, the orientation of leaders and managers
- ✓ Staff, the way talent is managed and developed
- ✓ Skills, current competencies
- ✓ Superordinate goals, the organization's values or guiding concepts

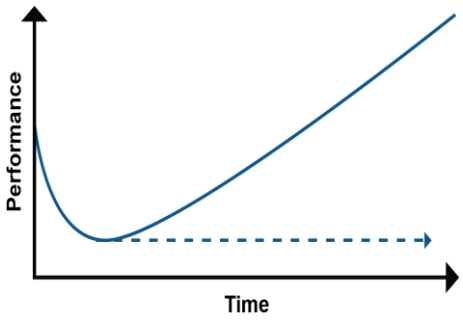
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HR's Role in Managing Change

- Identify impact of change.
- Assess ripple effect across the organization.
- Consult with leadership about ways to support the acceptance and institutionalization of the change.
- Involve stakeholders in solutions.
- Communicate quickly and often.
- Measure effectiveness in implementing the change.
- Track issues and follow up to deliver superior service to HR's internal customers.

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Nature of Change



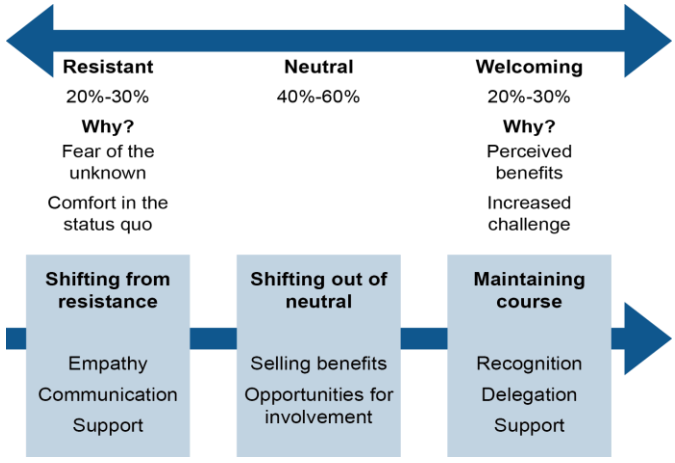
The J curve shows the challenge of introducing change into an organization.

Can we return to or exceed previous levels of productivity?

Will we be mired in resistance?

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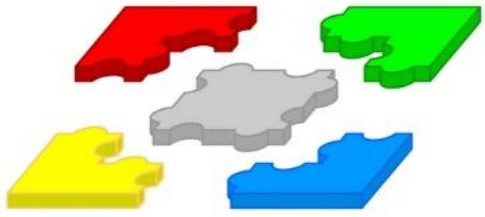
Managing Reactions to Change



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What Makes Change Possible?

- Shared purpose
- Reinforcement systems
- Skills required for change
- Consistent role models



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Lewin Change Model

Unfreezing

Unfreeze the current state.
The purpose of this step is to get people to accept that the change will occur. Reducing factors that work against change is critical at this stage.

Moving

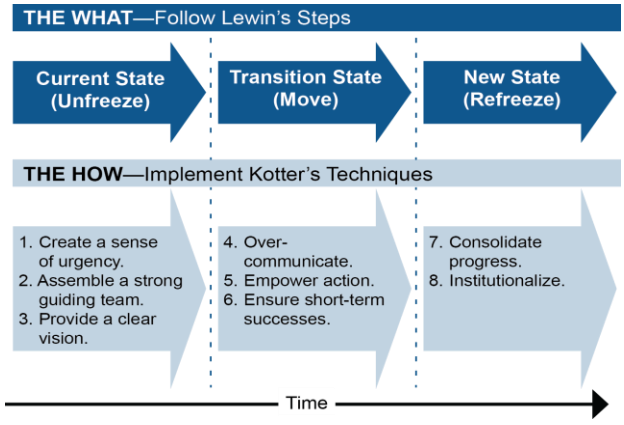
Move toward the new state.
During the second step, the focus is on getting people to accept the new, desired state.

Refreezing

Refreeze the new state.
Once the change has been implemented and generally accepted, the focus should be on making the new idea a regular part of the organization.

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An Integrated View of Change *



* "Managing Across Borders in Latin America," Cesar Aguirre

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Competency Connection: Consultation

Let's recap:

- The HR leader has secured an engagement from the CEO to develop solutions to the problematic performance of a division.
- An HR manager creates a team to identify possible causes.
- Employee turnover is identified as a possible cause.
- The team presents management with several possible solutions, described on the next slide.

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Competency Connection: Consultation

The proposed solutions include:

- Create a new onboarding system to better prepare new employees.
- Provide coaching to all management on developing and mentoring employees.
- Find alternative recruiting sources.
- Focus on fixing one problematic leader in the division.

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Competency Connection: Consultation

Let's discuss:

- How does the HR leader demonstrate the Consultation competency?
- Why is a systems approach to solving this problem a good idea?
- Of the four proposed solutions, which would present the greatest challenge for the organization in terms of managing change?
- What other competencies would be essential here?

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Critical Evaluation

The knowledge, skills and abilities (KSAOs) needed to collect and analyze qualitative and quantitative data, and to interpret and promote findings that evaluate HR initiatives and inform business decisions and recommendations.

Requires:

- Data advocate
- Data gathering
- Data analysis
- Evidence-based decision-making

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Evaluating Data Sources

Consider the quality of the data sources you use.

- Authority
- Evidence of bias
- Sources cited
- Facts relevant to use
- Current data
- Sound logic

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Common HR Data Sources

- Interviews
- Focus groups
- Surveys/questionnaires
- Observation
- Existing data

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Interviews

Individual interviews:

- Offer the opportunity for follow-up questions that may not be possible in a survey or focus group.
- Are rarely the sole form of gathering data.
- Are more effective if areas of discussion and specific questions are planned (e.g., with an interview guide).
- Should establish a positive and trusting relationship with the interviewees.

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Interview Advantages and Challenges

Advantages	Challenges
• Safer, confidential environment may generate significant information. • Comments can suggest direction for further group research (focus groups and surveys).	• Can be time-intensive. • Requires strong relationship-building skills. • Requires vigilance to avoid bias from influencing questions and interpretation of answers.

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Focus Groups

- A small group (normally six to twelve) invited to participate in a structured discussion (one to three hours) with a facilitator.
- Important considerations:
  - Planning
  - Context
  - Choice of facilitator
  - Selection of participants
  - Voluntary participation
  - Designated note taker
  - Facilitation techniques used (*examples:* mind mapping/ affinity diagramming, nominal group technique, Delphi technique)

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Focus Group Advantages and Challenges

Advantages	Challenges
• Provides a flexible format that is relatively comfortable for discussion • Supports group brainstorming, decision making, prioritization, and group consensus • Enables HR to learn about employee needs, attitudes, and opinions • Gives employees direct input	• Tends to foster “group think” • May be difficult to control if participants go off on tangents • Generally don’t allow for deep discussions • Can provide skewed or biased results if participants are not representative

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Surveys and Questionnaires

- Relatively inexpensive ways to gather a large amount of data from a large and dispersed group of subjects
- Important considerations:
  - Obtaining a valid (representative) sample
  - Designing the survey with analysis in mind
  - Asking the right questions (*examples:* questions that reflect appropriate internal and external environmental factors and are mindful of language and cultural differences)

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Survey/Questionnaire Advantages and Challenges

Advantages	Challenges
• Efficient way to gather a lot of data from a large and dispersed group • Easier to quantify data for analysis and reporting	• Can be difficult to obtain an acceptable response rate • Difficult to follow up on data from anonymous sources • Relies on self-reporting, which can be biased • Requires time and statistical expertise to assess sample and compile and analyze data

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Observation

Observing the workplace and work processes:

- Mitigates any self-reporting filters present in interviews, surveys, and focus groups.
- Can strengthen the HR professional's understanding of the work at hand and the culture of the workplace.
- Allows observers to note factors that participants are unaware of, consider routine, or are reluctant to share.

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Observation Advantages and Challenges

Advantages	Challenges
• Provides firsthand and immediate data rather than self-reported data, which can be affected by memory and selectivity. • Is time-efficient for subjects.	• Requires skill to be "unseen." • Requires vigilance to remove personal bias from observations. • Requires experience to note significant behaviors. • Observations may not be representative of the entire body of data.

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Existing Data

Many sources of existing data:

- Official documents about the business and culture
- Performance data from financial records, organizational databases, and HRIS
- Correspondence and reports
- Industry data and benchmarks
- Physical workplace items
- Virtual environments

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Existing Data Advantages and Challenges

Advantages	Challenges
• Eliminates the effects of observation and involvement and possible biases • Rich, multi-perspective source of data	• Can be time-intensive • Requires experience to extract key data • May require ingenuity to find data

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Reliability and Validity

Reliability

Ability of an instrument to provide consistent results

Example:
A checklist used to rate suppliers' proposals produces the same results when used by multiple scorers.

Validity

Ability of an instrument to measure the intended attributes

Example:
A checklist used to rate suppliers' proposals results in selection of suppliers who meet expectations.

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Sampling

- Samples must represent the population being measured.
- Samples must be sufficiently large to include possible variations.



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Measurement Bias



Analysts evaluate data in an irrational manner.

- Stereotyping
- Inconsistency
- First-impression error
- Negative emphasis
- Halo/horn effect
- Nonverbal bias
- Contrast effect
- Similar-to-me error
- Cultural noise

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Frequency Analysis Tools

Used to sort numerical data to reveal patterns

- Frequency distribution
  - Lists the grouped data from lowest to highest
- Frequency table
  - Shows the size of individual data groups

Mean Salary	Number of Incumbents
$55,000	2
$60,000	1
$65,000	2
$70,000	5
$75,000	1

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Measures of Central Tendency

Unweighted average (raw average): Gives equal weight to all data values.

Weighted average (weighted mean): Adds factors to reflect the importance of different values.

Organization	Number of Incumbents	Annual Salary	Total Salary
A	2	$55,000	$110,000
B	1	$60,000	$60,000
C	2	$65,000	$130,000
D	5	$70,000	$350,000
E	1	$75,000	$75,000
5	11	$325,000	$725,000

Unweighted average = $65,000
($325,000 ÷ 5 organization salaries)

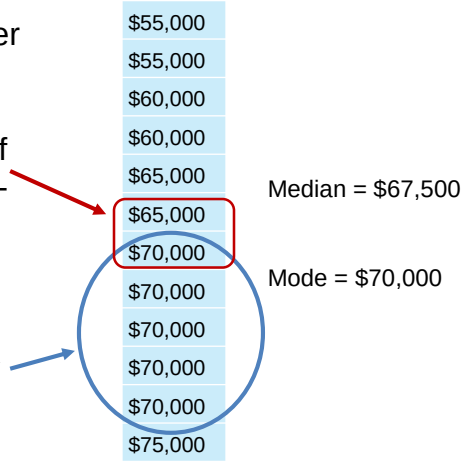
Weighted average = $65,909
($725,000 ÷ 11 organization salaries)

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Median and Mode

Median is the middle number in a range. Half are above and half are below. (Where there are an even number of data points, median is determined by averaging the two middle numbers.)

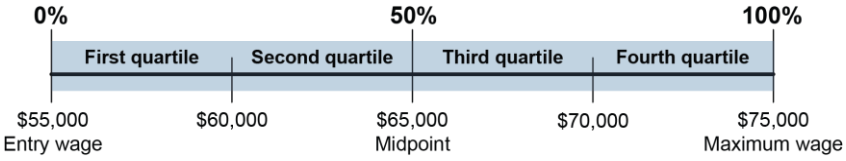
Mode is the most frequently occurring value.



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Quartiles and Percentiles

Show how groups of data relate to each other (dispersion)



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Value of Data Analysis

Metrics

- Measure single data points in relative comparisons and provide tabular outputs of counts and rates.
- Guide tactics and operations though quantitative analysis.
- Do not provide insights regarding the “why” behind the data.

Analytics

- Consider the past and present and forecast the future.
- Connect multiple data items.
- Provide computational analysis of data or statistics.
- Provide visual outputs of patterns and trends.
- Provide insights that can drive strategy.

Graduating from metrics to analytics can expose important connections and patterns in data to improve strategic decisions.

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Data Analysis Methods

Budget	Actual	Variance	%
$50,000	$48,000	$2,000	4%

Variance analysis
Identify difference between planned and actual performance.

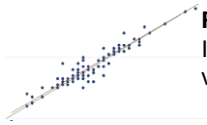
Ratio analysis
Examine relationships between data in financial statements; compare similar variables.



Root-cause analysis
Identify possible causes for an event/condition.



Trend analysis
Identify change in a variable over time.



Regression analysis
Identify relationships between variables and their strength.

Scenario or what-if analysis
Identify the impacts on X of different scenarios.

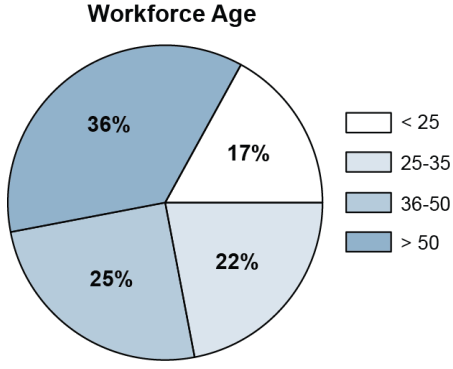
	5.00%	10.00%	15.00%	20.00%
60	$8,963.84	$10,092.35	$11,300.22	$12,584.59
120	$5,038.11	$6,277.16	$7,663.41	$9,179.64
180	$3,756.27	$5,104.37	$6,648.04	$8,342.41
240	$3,134.79	$4,583.85	$6,254.75	$8,069.42
300	$2,776.80	$4,316.33	$6,083.95	$7,972.65
360	$2,549.90	$4,168.46	$6,006.11	$7,937.34
420	$2,397.27	$4,083.44	$5,969.86	$7,924.32
480	$2,290.43	$4,033.44	$5,952.81	$7,919.50

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Graphic Analysis Tools

Pie chart

- Depicts as slices of a circle the constituents that comprise 100% of a data group.
- Communicates high-level information about data distribution.



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Graphic Analysis Tools

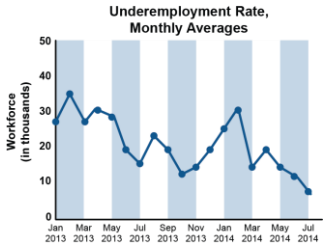
Histogram

- Sorts data into groups and shows relative sizes as columns of varying heights or lengths.
- Supports rapid comparison.



Trend diagram

- Plots data points of a defined variable over time.
- Shows cycles or developing trends.

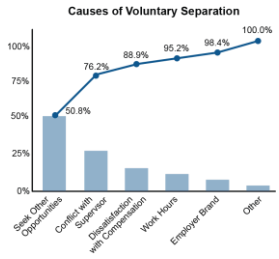


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Graphic Analysis Tools

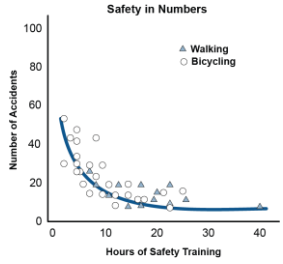
Pareto chart

- Ranks categories of data.
- Applies Pareto principle. (80% of problems are caused by 20% of causes.)



Scatter diagram

- Plots data points against variables.
- Tightness of clustering indicates strength of relationship.
- Direction of the line indicates a positive or negative relationship of the variables.



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Competency Connection: Critical Evaluation

Let's recap:

- We're building onto the Consultation example of the company in which one division is struggling with performance.
- The goal is to collect data from exit interviews that can be compared with similar data from better-performing divisions.
- An HR specialist assumes the task of analyzing the data so possible causes can be proposed to senior management.

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Competency Connection: Critical Evaluation

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Let's discuss:

- Which graphic analysis tools would be most useful in explaining the causes to management?
- If the company uses a standard exit interview template, will it be more likely to receive reliable results?
- What other competencies will be useful in this scenario?

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